



**ANNUAL COMPREHENSIVE FINANCIAL REPORT
of the
MUSCATINE COMMUNITY SCHOOL DISTRICT
Muscatine, Iowa**

For the Fiscal Year Ended June 30, 2024

2900 Mulberry Ave, Muscatine, Iowa 52761

In the county of Muscatine, State of Iowa

Annual Comprehensive Financial Report
of the

Muscatine Community School District

Muscatine, Iowa

For the Fiscal Year Ended June 30, 2024

Official Issuing Report
Tom Anderson, Director of Finance & Budget

Office Issuing Report
Finance Department

Introductory Section

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Muscatine Community School District
2900 Mulberry Ave
Muscatine, Iowa 52761

Phone: (563) 263-7223

November 8, 2024

John Dabeet, President,
Members of the Board of Education,
and the Citizens of Muscatine Community School District
Muscatine, Iowa

We are pleased to submit to you the Annual Comprehensive Financial Report (ACFR) of the Muscatine Community School District (the District) for the fiscal year ending June 30, 2024. This report has been prepared to conform to guidelines recommended by the Association of School Business Officials (ASBO) International and the Government Finance Officers Association (GFOA) of the United States and Canada.

Management's Discussion and Analysis (MD&A) immediately follows the independent auditor's report and provides a narrative introduction, overview, and analysis of the basic financial statements. This letter of transmittal is designed to complement the MD&A and should be read in conjunction with it.

Management Responsibility

Responsibility for both the accuracy of the data and the completeness and fairness of the presentation, including all disclosures, rests with the District. To the best of our knowledge and belief, the enclosed information is fairly stated in all material respects and is presented in a manner which sets forth the financial position and results of the operations of the governmental activities, business-type activities, each major fund and aggregate of the remaining funds of the District in accordance with generally accepted accounting principles, (GAAP). It includes all funds of the entire District. The District is not included in any other reporting entity, nor are any other entities included within this report. All disclosures necessary to enable a reader to gain maximum understanding of the District's financial activities have been included.

Independent Audit/Legal Requirements

The Code of the State of Iowa requires an annual audit of the District to be performed by an accounting firm selected in a competitive bid process. The annual audit meets the requirements of the Code of Iowa, generally accepted auditing standards, and the annual single audit requirements of Subpart F of Title 2 U.S. Code of Federal Regulations (CFR) Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance). The auditor's report on the basic financial statements and combining and individual fund statements and other schedules is included in the financial section of this report. Information related to this single audit, including a schedule of expenditures of federal awards, summary schedule of prior audit findings, the independent auditor's report on internal control over financial reporting and on compliance and other matters, independent auditor's report on compliance with requirements applicable to each major program and internal control over compliance, a schedule of findings and questioned costs and corrective action plans (if any) are included in the Compliance Section of this report.

"Every student is a success story"

All of the District's funds are presented in this report and have been audited by the District's independent certified public accountants, Bohnsack & Frommelt LLP, Certified Public Accountants. Bohnsack & Frommelt LLP, Certified Public Accountants, have issued an unmodified ("clean") opinion on the Muscatine Community School District's financial statements for the year ended June 30, 2024. The independent auditor's report is located at the front of the financial section of the ACFR.

Internal Control

Management of the District is responsible for establishing and maintaining an internal control structure designed to ensure that the assets of the District are protected from loss, theft, or misuse and to ensure that adequate accounting data are compiled to allow for the preparation of financial statements in conformity with generally accepted accounting principles. The internal control structure is designed to provide reasonable, but not absolute, assurance that these objectives are met. The concept of reasonable assurance recognizes that: (1) the cost of a control should not exceed the benefits likely to be derived, and (2) the evaluation of costs and benefits requires estimates and judgments by management.

All internal control evaluations occur within the above framework. We believe that the internal accounting controls of the school district adequately safeguard assets and provide reasonable assurance of proper recording of financial transactions.

As a recipient of federal, state, and local financial assistance, the District is also responsible for ensuring that adequate internal controls are in place to ensure compliance with applicable laws and regulations related to those programs. As part of the District's single audit, described earlier, tests are made to determine the adequacy of internal control, including that portion related to federal awards programs, as well as to determine that the District has complied with applicable laws and regulations.

Basis of Presentation

The charts and accounts used by the District have been prepared in conformity with accounting principles generally accepted in the United States of America as prescribed by the Governmental Accounting Standards Board and Audits of State and Local Government units issued by the American Institute of Certified Public Accountants. In addition, the District's accounting records materially conform to the Uniform Financial Accounting for Iowa Schools and Area Education Agencies issued by the Iowa Department of Education and Chapter 11 of the Code of Iowa. The chart of accounts manual is updated annually, and the District is materially in compliance with these requirements.

Profile of the District

The District is located in East Central Iowa along the picturesque banks of the Mississippi River. Muscatine is a city rich with history and a business sense. The city is located just 15 miles south of the nation's only East/West transcontinental interstate highway, Interstate 80, and alongside U.S. 61, a major North/South route through the central United States. Centrally located, Muscatine is an easy half-day drive from Minneapolis/St. Paul, Omaha, and Indianapolis, while being just hours from Des Moines and Chicago. The location has given us strategic importance for over 150 years. Once the "Pearl Button Capital of the World," Muscatine boasts a stable economic base that is appealing even to areas with many times our population. Moreover, our net of employment reaches out to communities on both sides of the Mississippi, making us a strong economic force in the Iowa/Illinois bi-state area.

The resident population of the Muscatine Community School District was approximately 23,797 in the year 2020 according to the U.S. Census Bureau. The District serves the education needs of approximately 4,574

students. All buildings are air-conditioned and equipped with state of the art technology. In the 2023-24 school year, the district had one preschool building, 6 elementary schools, one 7-8 junior high school, and one 9-12 high school. Construction on the newest elementary school, Jefferson Elementary was completed in 2015.

The District provides a full range of educational services for those attending the Muscatine Community School District including basic, regular, and enriched academic education, specialized instruction for students with disabilities, vocational education, and many individualized programs such as specialized instruction for students at-risk. There are no charter school relationships within the District.

The District is supported financially by state aid, property taxes, state and federal grants for special projects, and local revenue. The District is governed by a seven-member board of education, serving staggered terms of four years. School elections are held in November of odd numbered years. The Board of Directors is a policy-making and planning body whose decisions are carried out by school administrators. The District is subject to the general oversight of the Iowa Department of Education. This oversight generally includes an approval process that reviews compliance to standards enacted by legislative mandate.

The combined financial statements include all funds, organizations, agencies, boards, commissions, and other authorities. The District has also considered all potential component units for which it is financially accountable, and other organizations for which the nature and significance of their relationship with the District are such that exclusion would cause the District's financial statements to be misleading or incomplete. The criteria considered in determining financial accountability include appointing a voting majority of an organization's governing body, and 1) the ability of the District to impose its will on that organization or 2) the potential for the organization to provide specific benefits to, or impose specific financial burdens on the District.

Budgeting

The District's Board of Education annually adopts a budget and approves the related appropriations for the General, Special Revenue, Debt Service, Capital Projects, and Enterprise Funds in accordance with provisions outlined in the statutes of the State of Iowa. The budgets are prepared on an accrual basis, which details estimates of GAAP revenues and GAAP expenditures, and use of beginning fund balances, whereas the financial statements of the funds are prepared on either the modified accrual basis or accrual basis of accounting. A statement comparing the budget to actual receipts and disbursements is included in the required supplemental information in aggregate form for fund types for which budgets are required. For management control, the budget is reviewed on a line item basis. Formal and legal budgetary control for the certified budget is based upon four major classes of expenditures known as functions, not by fund or fund type.

It should be noted that school districts have two levels of budgetary control. One form of budgetary control exists through the certified budget, which includes all funds of the District (the type of budget explained in the preceding paragraph). This budget is certified with the County Auditor and the Iowa Department of Management each year. Iowa school districts may not certify a general fund budget in excess of its spending authority.

The other level of budgetary control is the unspent (maximum) authorized budget and pertains only to the General Fund of the District. The maximum authorized budget is the total spending authority in the General Fund of the District. The unspent budget is a budgetary concept and is not equivalent to General Fund cash. It is imperative for users of District financial information to make this important distinction. The unspent balance is the amount of spending authority that is carried over into the next fiscal year. The unspent balance is a budgetary carryover and does not represent actual dollars (General Fund cash) or

actual financial position (nonspendable, restricted, assigned or unassigned General Fund fund balance) of the District.

Economic Condition and Outlook

Major employers in the area: HNI Corporation, Grain Processing/Kent Feeds and Kent Corporation, SSAB, Hy-Vee Food Store, Bayer (formerly Monsanto), Kraft Heinz, Raymond Corporation, Musco Lighting, Stanley Consultants, and UnityPoint-Trinity.

The Quad Cities region is a bi-state, six-county region comprised of Clinton, Muscatine, and Scott Counties in Iowa, and Henry, Mercer, and Rock Island Counties in Illinois, which includes the Davenport-Moline-Rock Island IA-IL msa; the Clinton, IA msa, and the Muscatine, IA msa.

The unemployment rate in Muscatine County, Iowa was 3.6% in August 2024. This was lower than the national average of 4.2%.

The District enrollment is expected to decrease by about 674 students in the next six years to about 3,900 students. In the next four years, elementary enrollment will decrease by about 80 students to 2,146, junior high enrollment to increase by about 63 students to 607, and high school enrollment to decrease by over 230 students to 1,145 students. We continue monitoring the size of incoming kindergarten classes versus the size of the outgoing graduating senior class. The number of live births reported year to year will also be an important data point, as currently it indicates fewer live births and will impact cohort changes from year to year.

Taxable valuations of property in the District continue to increase each year. The average growth in the District's taxable valuations (including tax increment financing (TIF's)) over the last ten years has been 3.03%. In the 2023-24 fiscal year (taxable valuations as of January 1, 2022), the increase was 9.36%.

The three oldest school buildings in the District, Franklin, Grant, and Madison Elementary Schools, were originally built in 1954. Other school buildings in the District have original build dates between 1960 and 2015.

The financial solvency ratio of the District measures movement and distribution of current assets. The financial solvency ratio represents a school district's year-end position after payment of all current and outstanding or accrued liabilities. Iowa Association of School Boards recommends a target solvency ratio within a range of 5% to 15%. The District's solvency ratio at June 30, 2024 is 17.0%, with no change from June 30, 2023. Cash reserves included in our property tax levy helped maintain our solvency ratio.

The Iowa school funding formula is a complex formula that is pupil driven and increasing total spending authority occurs by increasing the number of pupils or increasing the cost per pupil. Certified enrollment for the District continues to decrease. The district cost per pupil for 2023-24 was \$7,635 and the cost per pupil for 2024-25 is \$7,826.

The Iowa Legislature has introduced a major change to the funding model for Area Education Agencies (AEAs), which support school districts with services such as special education, media, and educational services. Starting with the 2024-25 school year, funding for media and educational services will be allocated by the state on a per-pupil basis, flowing through districts rather than directly to the AEAs. During the 2024-25 school year, AEAs will retain 40% of this funding, while districts will control 60%. This shift allows districts the flexibility to either continue using AEA services or redirect the funds toward other necessary

general expenditures.

By the 2025-26 school year, districts will receive 100% of the media and educational services allocation. At that point, they can opt to either use those funds for AEA services or spend them on similar services from other providers. The transition year is crucial for districts to assess their needs and determine how to allocate resources effectively. Meanwhile, special education funding remains largely with the AEAs, though 10% will be redirected to districts by 2025-26.

In addition to the changes affecting Area Education Agencies (AEAs), the Iowa Legislature also approved a significant update to the teacher pay structure. Starting in fiscal year 2025, the minimum salary for teachers will rise to \$47,500, with a further increase to \$50,000 by 2026. Teachers with 12 or more years of experience will see their minimum pay increase to \$60,000 in 2025 and \$62,000 in 2026.

This increase in teacher salaries will require districts to allocate more of their budget toward compensation. The higher pay scale could also strain general funds if not supported by increased state funding, especially as districts gain flexibility in reallocating funds previously earmarked for AEAs. This combination of increased teacher pay and changes in AEA funding marks a critical period of financial adjustment for school districts across Iowa.

In recent years, the state of Iowa has faced an economic downturn that severely hampered its ability to fund schools at the same level as in prior years. The District has faced inadequate funding for state aid and other state-funded programs, and this has resulted in lower supplemental state aid.

Debt Administration

As of June 30, 2024 the District had \$21.8M in sales tax revenue bond debt. In 2021 the district completed a facilities study that resulted in projects selected based on the greatest needs determined by the facility study. The projects include secured entrances at two elementary schools and the junior high as well as additions to the junior high and one elementary school.

Long-term Financial Planning and Relevant Financial Policies

Financial Policies

The District invests in only those securities allowed by the Code of Iowa, Chapter 12C. The District's cash and pooled investments consist of depository accounts at financial institutions including short-term and long-term non-negotiable certificates of deposits. The cash balances of the District's funds are pooled. Interest revenue of \$2,546,439 was earned on all deposits and investments for the fiscal year ending June 30, 2024.

The District currently covers property and liability losses with traditional insurance coverage. The group health and dental plans are self-funded.

A comprehensive accounting system is promulgated by the Iowa Department of Education including account numbers for revenues and expenditures by function and object. The District additionally tracks revenues by source of funds and expenditures by location, curricular program, and funding source.

For long-term planning, the District utilizes a "Comprehensive Financial Planning Model" to project various scenarios and how they could affect the financial health of the District in the next five years. The District also has a "Five Year Capital Projects Plan" which is updated at least annually for projecting future capital project needs in the District.

Major Initiatives and Achievements

In 2020, Muscatine High School met with stakeholders to develop a vision of the skills and attributes that all students should have when they graduate from MHS and enter the workforce or continue with any of the multiple post-secondary opportunities. Feedback and input was gathered from students, staff, parents, and community members. Portrait of a Muskie Graduate developed multiple pathways for student success including; revised graduation requirements to better align with state requirements and created opportunities for work based learning experiences. As well as assuring better access to Career Pathways with Muscatine Community College.

Over the past several years, the graduation rates at MHS have slowly improved, but are still significantly below state averages. The high school team has expanded work-based learning opportunities for students. This past year over 75 students participated at a variety of local businesses including HNI, Musco, Lutheran Homes, and Ruan Transportation. They've also expanded the number of students participating in Career Academies at MCC. The Academies provide a structured learning track for Culinary, Healthcare, Welding, Business, IT, Automotive Tech, HVAC, K-12 teaching, Criminal Justice, and Credit Transfer programs for students looking to complete an associates degree in high school to transfer directly to a 4-year college or university. This year the high school has implemented an alternative learning program for juniors and seniors who are at-risk of not graduating. The program is currently serving 27 students in a smaller, more hands-on environment. The program provides a career path focus and supports students in credit attainment.

The district has made a focused effort on improving attendance and reducing the number of students chronically absent. The district has historically had very high levels of chronic absenteeism, frequently above 30% of students falling into that category. District and building level teams, in collaboration with our school resource officers, and the county attorney, established new procedures for tracking, communicating, and working with families to reduce absenteeism. Last year the number of students chronically absent was reduced to 14%, which is down from 33% two years ago.

We continue to follow our mission statement that every student will excel in thinking, learning, achieving and caring in partnership with our staff, families, and community. Our district's shared vision that every student is a success story engaging in real and relevant learning, being respected, accepted, and celebrated, and developing personalized pathways is carried out by our staff on a daily basis.

Certificate of Achievement for Excellence in Financial Reporting (GFOA) and Certificate of Excellence in Financial Reporting (ASBO)

The Government Finance Officers Association of the United States and Canada (GFOA) awarded a Certificate of Achievement for Excellence in Financial Reporting to Muscatine Community School District for its annual comprehensive financial report for the fiscal year ended June 30, 2023. This was the first year that the District has achieved this prestigious award from GFOA. The Association of School Business Officials (ASBO) International awarded the Certificate of Excellence in Financial Reporting to Muscatine Community School District for its annual comprehensive financial report for the fiscal year ended June 30, 2023. This is the second consecutive year that the District has achieved this prestigious award from ASBO. In order to be awarded these certificates, a governmental entity must publish an easily readable and

efficiently organized annual comprehensive financial report. This report must satisfy both generally accepted accounting principles and applicable legal requirements.

We wish to take this opportunity to thank the administrative office staff who assisted in obtaining and organizing data, our financial auditors, the Muscatine County Auditor and Treasurer offices and the city officials who provided much needed information. Without all of the above groups' efforts, the report could not have been completed.

Finally, sincere appreciation is extended to the Board of Directors, where the commitment to excellence begins. It is with great pride that this year's Annual Comprehensive Financial Report is submitted to the Board of Directors.

Respectfully submitted,

A handwritten signature in black ink, appearing to read "Thomas P. Anderson".

Thomas P. Anderson
Director of Finance & Budget

A handwritten signature in black ink, appearing to read "Clint Christopher".

Clint Christopher
Superintendent

Muscatine Community School District

Board of Education and School Officials

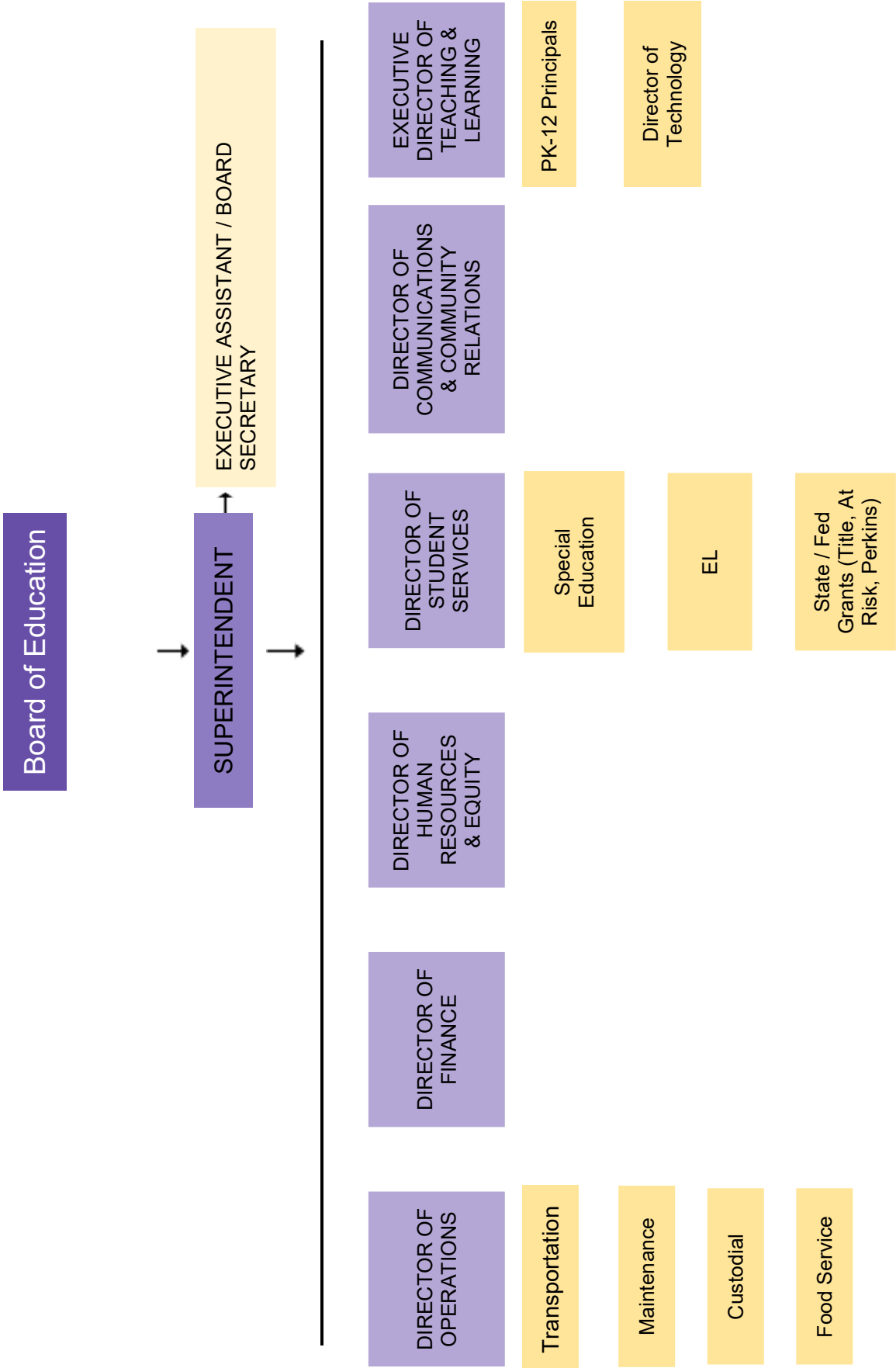
Year Ended June 30, 2024

Name	Title	Term Expires
Board of Education		
John Dabeet	President	2027
Lindsey Phillips	Vice President	2025
Matt Conard	Board Member	2025
Karen Cooney	Board Member	2027
Ken LaRue	Board Member	2025
Kim Schneider	Board Member	2027
Denny Schuur	Board Member	2027
School Officials		
Clint Christopher	Superintendent	2024
Tom Anderson	Director of Finance	2024
Daphne Donald	District Secretary	2024
Ahlers & Cooney, P.C.	Attorney	Indefinite

Muscatine Community School District
District Administration
June 30, 2024

Clint Christopher	Superintendent of Schools
Joelle McConnaha	Executive Director of Teaching & Learning
Tom Anderson	Director of Finance & Budget
Becky Wichers	Director of Student Services
Jaime Kroeger	Director of Human Resources & Equity
Chris Nienhaus	Director of Operations
Scott Comstock	Director of Technology
Tony Loconsole	Director of Communication & Community Engagement
Daphne Donald	Executive Administrative Assistant/Board Secretary
Jessi Freers	Principal - Muskie Early Learning Center
Corry Spies	Principal - Franklin Elementary School
Leslie Bennet	Principal - Grant Elementary School
Dr. Kandy Steel	Principal - Jefferson Elementary School
Stephanie Zillig	Principal - Madison Elementary School
Tammi Turner	Principal - McKinley Elementary School
Stacy Olson	Principal - Mulberry Elementary School
Jen Fridley	Principal - Susan Clark Junior High School
Ryan Castle	Principal - Muscatine High School
Mike Henson	Asst. Principal/Activities Director - Muscatine High School
Rachel Cuppy	Asst. Principal - Muscatine High School
Andy Werling	Asst. Principal - Muscatine High School
Morgan Mohr	Asst. Principal - Muscatine High School
Staci Orr	Asst. Principal - Susan Clark Junior School

Muscatine Community School District





**The Certificate of Excellence in Financial Reporting
is presented to**

Muscatine Community School District

**for its Annual Comprehensive Financial Report
for the Fiscal Year Ended June 30, 2023.**

The district report meets the criteria established for
ASBO International's Certificate of Excellence in Financial Reporting.



A handwritten signature in black ink, reading 'Ryan S. Stechschulte'.

Ryan S. Stechschulte
President

A handwritten signature in black ink, reading 'James M. Rowan'.

James M. Rowan, CAE, SFO
CEO/Executive Director



Government Finance Officers Association

Certificate of
Achievement
for Excellence
in Financial
Reporting

Presented to

**Muscatine Community School District
Iowa**

For its Annual Comprehensive
Financial Report
For the Fiscal Year Ended

June 30, 2023

Christopher P. Morill

Executive Director/CEO



To the Board of Education
Muscatine Community School District
Muscatine, Iowa

Report on the Audit of the Financial Statements

Opinions

We have audited the financial statements of the governmental activities, business-type activities, each major fund, and the aggregate remaining fund information of the Muscatine Community School District as of and for the year ended June 30, 2024, and the related notes to the financial statements, which collectively comprise the District's basic financial statements as listed in the table of contents.

In our opinion, the accompanying financial statements referred to above present fairly, in all material respects, the respective financial position of the governmental activities, the business-type activities, each major fund and the aggregate remaining fund information of the Muscatine Community School District, as of June 30, 2024, and the respective changes in financial position and, where applicable, cash flows thereof for the year then ended in accordance with accounting principles generally accepted in the United States of America.

Basis for Opinions

We conducted our audit in accordance with auditing standards generally accepted in the United States of America (GAAS) and the standards applicable to the financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States (*Government Auditing Standards*). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are required to be independent of Muscatine Community School District and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinions.

Responsibilities of Management for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the Muscatine Community School District's ability to continue as a going concern for twelve months beyond the financial statement date, including any currently known information that may raise substantial doubt shortly thereafter.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinions. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS and *Government Auditing Standards* will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the financial statements.

In performing an audit in accordance with GAAS and *Government Auditing Standards*, we:

- Exercise professional judgement and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of Muscatine Community School District's internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about Muscatine Community School District's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control-related matters that we identified during the audit.

Required Supplementary Information

Accounting principles generally accepted in the United States of America require that the management's discussion and analysis, budgetary comparison information, schedule of changes in the District's total OPEB liability and related ratios, and schedule of the District's proportionate share of the net pension liability and schedule of District contributions on pages 4-14 and 54-62 be presented to supplement the basic financial statements. Such information is the responsibility of management and, although not a part of the basic financial statements, is required by the Governmental Accounting Standards Board who considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic, or historical context.

We have applied certain limited procedures to the required supplementary information in accordance with auditing standards generally accepted in the United States of America, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management's responses to our inquiries, the basic financial statements, and other knowledge we obtained during our audit of the basic financial statements.

We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

Supplementary Information

Our audit was conducted for the purpose of forming opinions on the financial statements that collectively comprise the Muscatine Community School District's basic financial statements. The supplementary information, as listed in the table of contents and the Schedule of Expenditures of Federal Awards as required by Title 2, *U.S Code of Federal Regulations*, Part 200, *Uniform Administrative Requirements, Cost Principles and Audit Requirements for Federal Awards* (Uniform Guidance), are presented for purposes of additional analysis and are not a required part of the basic financial statements.

Such information is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the basic financial statements. The information has been subjected to the auditing procedures applied in the audit of the basic financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the basic financial statements or to the basic financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the supplementary information and Schedule of Expenditures of Federal Awards is fairly stated, in all material respects, in relation to the basic financial statements as a whole.

Other Information

Management is responsible for the other information included in the annual report. The other information comprises the introductory and statistical sections but does not include the basic financial statements and our auditor's report thereon. Our opinions on the basic financial statements do not cover the other information, and we do not express an opinion or any form of assurance thereon.

In connection with our audit of the basic financial statements, our responsibility is to read the other information and consider whether a material inconsistency exists between the other information and the basic financial statements, or the other information otherwise appears to be materially misstated. If, based on the work performed, we conclude that an uncorrected material misstatement of the other information exists, we are required to describe it in our report.

Other Reporting Required by Government Auditing Standards

In accordance with *Government Auditing Standards*, we have also issued our report dated November 8, 2024, on our consideration of the Muscatine Community School District's internal control over financial reporting and on our tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements and other matters. The purpose of that report is solely to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the Muscatine Community School District's internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering Muscatine Community School District's internal control over financial reporting and compliance.

Bohnsack & Frommelt LLP

Moline, Illinois
November 8, 2024

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Muscatine Community School District

Management's Discussion and Analysis Year Ended June 30, 2024

Muscatine Community School District provides this Management's Discussion and Analysis of its financial statements. This narrative overview and analysis of the financial activities is for the fiscal year ended June 30, 2024. We encourage readers to consider this information in conjunction with the District's financial statements, which follow:

2023-24 FINANCIAL HIGHLIGHTS

The District showed an increase in net position of \$6,770,712 and an increase of \$8,822,364 during the years ended June 30, 2024 and 2023, respectively.

Total revenues for the fiscal year ended June 30, 2024 and 2023 of \$80,513,667 and \$77,629,083 were comprised of general revenues in the amount of \$58,115,973 and \$54,587,649 and program revenues totaling \$22,397,694 and \$23,041,434 respectively.

As of June 30, 2024, the District's governmental funds reported combined fund balances of \$30,239,974 a decrease of \$19,728,626 in comparison to 2023. As of June 30, 2023, the District's governmental funds reported combined fund balances of \$49,968,600 an increase of \$24,233,188 in comparison to 2022.

USING THIS ANNUAL REPORT

The annual report consists of a series of financial statements and other information, as follows:

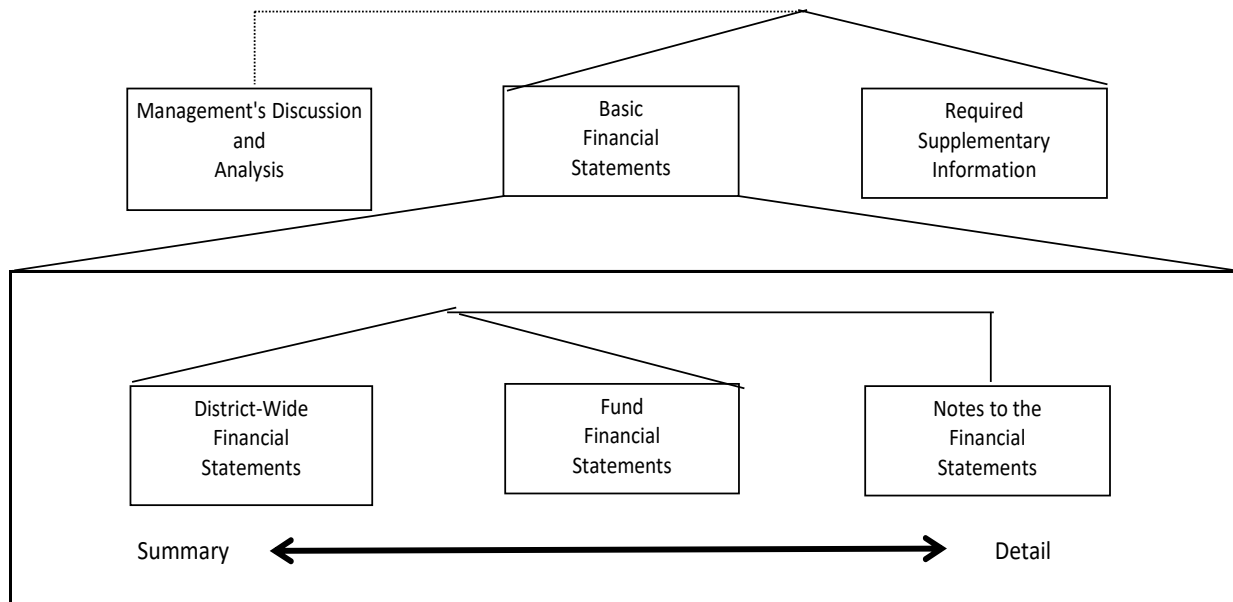
- Management's Discussion and Analysis introduces the basic financial statements and provides an analytical overview of the District's financial activities.
- The government-wide financial statements consist of a Statement of Net Position and a Statement of Activities. These provide information about the activities of Muscatine Community School District as a whole and present an overall view of the District's finances.
- The fund financial statements tell how governmental services were financed in the short-term as well as what remains for future spending. Fund financial statements report Muscatine Community School District's operations in more detail than the government-wide statements by providing information about the most significant funds. The remaining statements provide financial information about activities for which Muscatine Community School District acts solely as an agent or custodian for the benefit of those outside of the District.
- Notes to financial statements provide additional information essential to a full understanding of the data provided in the basic financial statements.
- Required supplementary information further explains and supports the financial statements with a comparison of the District's budget for the year.
- Other supplementary information provides detailed information about the nonmajor governmental funds. In addition, the Schedule of Expenditures of Federal Awards provides details of various programs benefitting the District.

Muscatine Community School District

Management's Discussion and Analysis Year Ended June 30, 2024

Figure A-1 shows how the various parts of this annual report are arranged and relate to one another.

Figure A-1
Muscatine Community School District Annual Financial Report



Muscatine Community School District

Management's Discussion and Analysis Year Ended June 30, 2024

Figure A-2 summarizes the major features of the District's financial statements, including the portion of the District's activities they cover and the types of information they contain.

Figure A-2 Major Features of the Government-Wide and Fund Financial Statements				
Government-Wide Statements		Fund Statements		
		Governmental Funds	Proprietary Funds	Fiduciary Funds
Scope	Entire District (except fiduciary funds)	The activities of the District that are not proprietary or fiduciary, such as special education and building maintenance	Activities the District operates similar to private businesses: school nutrition and internal service fund	Instances in which the District administers resources on behalf of someone else, such as scholarship programs, reunion moneys and funds for District employee purchases of pop, etc.
Required financial statements	Statement of net position Statement of activities	Balance sheet Statement of revenues, expenditures and changes in fund balances	Statement of net position Statement of revenues, expenses and changes in net position Statement of cash flows	Statement of fiduciary net position Statement of changes in fiduciary net position
Accounting basis and measurement focus	Accrual accounting and economic resources focus	Modified accrual accounting and current financial resources focus	Accrual accounting and economic resources focus	Accrual accounting and economic resources focus
Type of asset/liability information	All assets and liabilities, both financial and capital, short-term and long-term	Generally assets expected to be used up and liabilities that come due during the year or soon thereafter; no capital assets or long-term liabilities included	All assets and liabilities, both financial and capital, and short-term and long-term	All assets and liabilities, both short-term and long-term; funds do not currently contain capital assets, although they can
Type of inflow/outflow information	All revenues and expenses during the year, regardless of when cash is received or paid	Revenues for which cash is received during or soon after the end of the year; expenditures when goods or services have been received and the related liability is due during the year or soon thereafter	All revenues and expenses during the year, regardless of when cash is received or paid	All additions and deductions during the year, regardless of when cash is received or paid

Muscatine Community School District

Management's Discussion and Analysis Year Ended June 30, 2024

REPORTING THE DISTRICT'S FINANCIAL ACTIVITIES

Government-Wide Financial Statements

The government-wide financial statements report information about the District as a whole using accounting methods similar to those used by private-sector companies. The Statement of Net Position includes all of the District's assets, deferred outflows of resources, and liabilities and deferred inflows of resources. All of the current year's revenues and expenses are accounted for in the Statement of Activities, regardless of when cash is received or paid.

The two government-wide statements report the District's net position and how they have changed. Net position – the difference between the District's assets and deferred outflows and liabilities and deferred inflows – are one way to measure the District's financial health or financial position. Over time, increases or decreases in the District's net position are an indicator of whether financial position is improving or deteriorating, respectively. To assess the District's overall health, additional nonfinancial factors, such as changes in the District's property tax base and the condition of school buildings and other facilities need to be considered.

In the government-wide financial statements, the District's activities are divided into two categories:

Governmental activities: Most of the District's basic services are included here, such as regular and special education, transportation and administration. Property taxes and state aid finance most of these activities.

Business-type activities: The District charges fees to help it cover the costs of certain services it provides. The District's school nutrition program is included here.

Fund Financial Statements

The fund financial statements provide more detailed information about the District's funds, focusing on its most significant or "major" funds – not the District as a whole. Funds are accounting devices the District uses to keep track of specific sources of funding and spending on particular programs.

Some funds are required by state law and by bond covenants. The District establishes other funds to control and manage money for particular purposes, such as accounting for student activity funds, or to show that it is properly using certain revenues, such as federal grants.

The District has three kinds of funds:

1. **Governmental Funds:** Most of the District's basic services are included in governmental funds, which generally focus on (1) how cash and other financial assets that can readily be converted to cash flow in and out and (2) the balances left at year-end that are available for spending. Consequently, the governmental fund statements provide a detailed short-term view that helps determine whether there are more or fewer financial resources that can be spent in the near future to finance the District's programs. Because this information does not encompass the additional long-term focus of the government-wide statements, additional information in the reconciliations explains the relationship (or differences) between the two statements.

Muscatine Community School District

Management's Discussion and Analysis Year Ended June 30, 2024

The District's major governmental funds for 2023-24 were the General Fund and the Capital Projects Fund. The nonmajor governmental funds include two special revenue funds (the Management Fund and Student Activities Fund) and the Debt Service Fund. The required financial statements for governmental funds include a balance sheet and a statement of revenues, expenditures and changes in fund balances.

2. **Proprietary funds:** Services for which the District charges a fee are generally reported in proprietary funds. Proprietary funds are reported in the same way as the government-wide financial statements. The District has two types of proprietary funds. The District's Enterprise Fund, one type of proprietary fund, is the same as its business-type activities but provides more detail and additional information, such as cash flows. The District currently has one Enterprise Fund, the School Nutrition Fund.

Internal Service funds are used to report the same functions presented as governmental activities in the government-wide financial statements. The District maintains one internal service fund to account for the premium and claim payments for the self-insured health and dental insurance plan for District employees beginning July 1, 2021. Internal service funds are an accounting device used to accumulate and allocate costs internally among the District's various functions. Because the service provided by the District predominately benefits governmental, rather than business-type functions, it has been included within governmental activities in the government-wide financial statements.

The required financial statements for proprietary funds include a statement of net position, a statement of revenues, expenses and changes in net position and a statement of cash flows.

3. **Fiduciary funds:** The District is the trustee, or fiduciary, for assets that belong to others. This fund type includes custodial funds.

Custodial funds: These are funds for which the District accounts for certain revenue collected for District employee purchases and as a fiscal agent for other entities.

The District is responsible for ensuring the assets reported in the fiduciary funds are used only for their intended purposes and by those to whom the assets belong. The District excludes these activities from the government-wide financial statements because it cannot use these assets to finance its operations.

The required financial statements for fiduciary funds of the District include a statement of fiduciary net position, a statement of changes in fiduciary net position.

Reconciliations between the government-wide financial statements and the fund financial statements follow the fund financial statements.

Muscatine Community School District

Management's Discussion and Analysis Year Ended June 30, 2024

Government-Wide Financial Analysis

Figure A-3 below provides a summary of the District's net position as of June 30, 2024 compared to June 30, 2023.

Figure A-3 Condensed Statement of Net Position

	Governmental Activities		Business-Type Activities		Total School District	
	June 30, 2024	June 30, 2023	June 30, 2024	June 30, 2023	June 30, 2024	June 30, 2023
Current and other assets	\$ 64,762,661	\$ 80,015,356	\$ 2,188,113	\$ 2,176,386	\$ 66,950,774	\$ 82,191,742
Capital assets	79,578,101	60,843,713	2,128,588	444,128	81,706,689	61,287,841
Total assets	144,340,762	140,859,069	4,316,701	2,620,514	148,657,463	143,479,583
Deferred outflows of resources	7,969,196	4,739,978	260,416	151,228	8,229,612	4,891,206
Noncurrent liabilities	48,979,735	51,013,083	1,172,552	1,236,348	50,152,287	52,249,431
Other liabilities	16,273,719	12,079,318	185,196	114,163	16,458,915	12,193,481
Total liabilities	65,253,454	63,092,401	1,357,748	1,350,511	66,611,202	64,442,912
Deferred inflows of resources	26,804,152	27,303,052	192,485	116,301	26,996,637	27,419,353
Net position:						
Net investment in capital assets	62,992,542	59,954,963	2,128,588	444,128	65,121,130	60,399,091
Restricted	14,560,581	15,349,209	-	-	14,560,581	15,349,209
Unrestricted	(17,300,771)	(20,100,578)	898,296	860,802	(16,402,475)	(19,239,776)
Total net position	\$ 60,252,352	\$ 55,203,594	\$ 3,026,884	\$ 1,304,930	\$ 63,279,236	\$ 56,508,524

The District's combined net position as of June 30, 2024 increased by \$6,770,712 (12.0%) over the June 30, 2023 combined net position. Net position in the governmental activities increased by \$5,048,758 (9.1%) The net position of the District's business-type activities increased by \$1,721,954 (132.0%).

Net position increased primarily due to:

- The District invested approximately \$20 million in capital facilities net of depreciation expense. The investment included approximately \$1.7 million in capital assets to food service operations.
- The net pension liability and related deferred inflows of resources and deferred outflows of resources decreased overall approximately \$2.5 million.

Restricted net position represents resources subject to external restrictions, constitutional provisions or enabling legislation on how they can be used. The District's restricted net position decreased by \$788,628 (5.1%). The decrease is primarily due to expending resources restricted for school infrastructure on capital facilities.

Unrestricted net position (the part of net position that can be used to finance day-to-day operations without constraints established by debt covenants, enabling legislation or other legal requirements) increased by \$2,837,301 (14.7%).

Muscatine Community School District

Management's Discussion and Analysis Year Ended June 30, 2024

Figure A-4 shows the changes in net position for the year ended June 30, 2024 compared to the year ended June 30, 2023.

Figure A-4 Changes in Net Position

	Governmental Activities		Business-Type Activities		Total School District	
	June 30, 2024	June 30, 2023	June 30, 2024	June 30, 2023	June 30, 2024	June 30, 2023
Revenues:						
Program revenues:						
Charges for services	\$ 1,719,735	\$ 1,803,974	\$ 600,961	\$ 623,227	\$ 2,320,696	\$ 2,427,201
Operating grants and contributions	15,153,259	14,454,878	3,204,522	3,301,443	18,357,781	17,756,321
Capital grants and contributions	-	2,857,912	1,719,217	-	1,719,217	2,857,912
General revenues:						
Property taxes	20,335,407	18,866,992	-	-	20,335,407	18,866,992
Income surtax	393,965	366,592	-	-	393,965	366,592
Utility excise tax	201,615	184,017	-	-	201,615	184,017
Other tax	42,705	40,872	-	-	42,705	40,872
State foundation aid	28,170,803	28,196,973	-	-	28,170,803	28,196,973
Statewide sales and services tax	6,026,666	5,529,515	-	-	6,026,666	5,529,515
Revenue in lieu of tax	398,373	4,854	-	-	398,373	4,854
Other	2,453,229	1,354,703	93,210	43,131	2,546,439	1,397,834
Total revenues	74,895,757	73,661,282	5,617,910	3,967,801	80,513,667	77,629,083
Expenses:						
Instruction	40,258,735	40,399,163	-	-	40,258,735	40,399,163
Support services	26,438,630	21,913,717	-	-	26,438,630	21,913,717
Noninstructional	55,105	36,674	3,830,872	3,445,467	3,885,977	3,482,141
Other	3,159,613	3,011,698	-	-	3,159,613	3,011,698
Total expenses	69,912,083	65,361,252	3,830,872	3,445,467	73,742,955	68,806,719
Excess of revenues over expenses before transfers	4,983,674	8,300,030	1,787,038	522,334	6,770,712	8,822,364
Transfers	65,084	60,000	(65,084)	(60,000)	-	-
Increase in net position	5,048,758	8,360,030	1,721,954	462,334	6,770,712	8,822,364
Net position, beginning	55,203,594	46,843,564	1,304,930	842,596	56,508,524	47,686,160
Net position, ending	\$ 60,252,352	\$ 55,203,594	\$ 3,026,884	\$ 1,304,930	\$ 63,279,236	\$ 56,508,524

In 2023-24, property taxes, income surtax, utility excise tax, other taxes, state foundation aid, statewide sales and services tax, and revenue in lieu of tax accounted for 74.2% of the revenue from governmental activities while charges for services and operating grants and contributions accounted for 67.7% of the revenue from business-type activities.

The District's expenses primarily relate to instructional and support services which account for 90.4% of the total expenses.

Muscatine Community School District

Management's Discussion and Analysis Year Ended June 30, 2024

Total revenue for the District increased by \$2,884,584 (3.7%) in the fiscal year ended June 30, 2024. The most significant revenue category change was due to an increase in property taxes of \$1,468,415. Property taxes increased due to an increase in taxable assessed valuation of approximately 9% and a 1% tax rate decrease. Other income includes investment earnings which increased \$1.15 million due to increasing interest rates. Total District expenses increased by \$4,936,236 (7.2%), which is primarily due to planned spending on capital projects.

Governmental Activities

Revenue for the District's governmental activities in 2023-24 increased by \$1,234,475 (1.7%) from the previous year, while governmental activities expenses increased by \$4,550,831 (7.0%). Governmental activities net position as of June 30, 2024 increased by \$5,048,758 (9.1%) over the June 30, 2023 balance.

The table below presents the total and net cost of the District's four major governmental activities: instruction, support services, noninstructional programs and other expenses, for the year ended June 30, 2024 compared to the year ended June 30, 2023.

	Total Cost of Services		Net Cost of Services	
	June 30, 2024	June 30, 2023	June 30, 2024	June 30, 2023
Instruction	\$ 40,258,735	\$ 40,399,163	\$ 26,602,490	\$ 27,389,682
Support services	26,438,630	21,913,717	25,447,072	18,041,073
Noninstructional	55,105	36,674	55,105	36,674
Other	3,159,613	3,011,698	934,422	777,059
Total	\$ 69,912,083	\$ 65,361,252	\$ 53,039,089	\$ 46,244,488

For the year ended June 30, 2024:

- The cost financed by the users of the District's programs was \$1,719,735.
- Federal and state governments and some local sources subsidized certain programs with grants and contributions totaling \$15,153,259.
- The net cost of governmental activities was financed with \$20,335,407 in property taxes, \$393,965 in income surtax, \$201,615 in utility excise tax, \$42,705 in other tax, \$28,170,803 of unrestricted state grants, \$6,026,666 in statewide sales and services tax revenue, \$398,373 in revenue in lieu of tax, and \$2,453,229 in investment earnings.

For the year ended June 30, 2023:

- The cost financed by the users of the District's programs was \$1,803,974.
- Federal and state governments and some local sources subsidized certain programs with grants and contributions totaling \$17,312,790.
- The net cost of governmental activities was financed with \$18,866,992 in property taxes, \$366,592 in income surtax, \$184,017 in utility excise tax, \$40,872 in other tax, \$28,196,973 of unrestricted state grants, \$5,529,515 in statewide sales and services tax revenue, \$4,854 in revenue in lieu of tax, \$1,347,009 in investment earnings and \$7,694 gain on sale of capital assets.

Business-Type Activities

The District's business-type activities include the School Nutrition Fund. Revenues of the District's business-type activities in 2023-24 were \$5,617,910, an increase of \$1,650,109 (41.6%) from 2022-23 due to capital contributions of \$1,719,217. Expenses were \$3,830,872; an increase of \$385,405 (11.2%) from 2022-23 primarily due to increases in supplies and food costs.

Muscatine Community School District

Management's Discussion and Analysis Year Ended June 30, 2024

Individual Fund Analysis

As previously noted, the Muscatine Community School District uses fund accounting to ensure and demonstrate compliance with finance-related legal requirements.

As the District completed the year, its governmental funds reported combined fund balances of \$30,239,974, which reflects a decrease from last year's ending fund balances of \$49,968,600. The primary reason for the decrease in the combined fund balances at the end of the 2023-24 fiscal year is due to an decrease in the Capital Project Fund fund balance of \$19,553,680 due to planned spending on capital projects from the issuance of the Series 2022 and 2022B Revenue Bonds in the prior year.

Governmental Fund Highlights

- The fund balance in the District's General Fund decreased by \$216,560 from \$11,406,083 as of June 30, 2023 to \$11,189,523 as of June 30, 2024. The decrease is primarily due to transfers out of COVID-19 funding to the Capital Projects Fund to fund capital improvements.
- The fund balance in the Capital Projects Fund decreased by \$19,553,680. The statewide sales, service and use tax generated \$291,200 less in revenue in 2023-24 than in the previous fiscal year. Local tax generated from the physical plant and equipment levy was \$2,668,457 compared to the prior year of \$2,441,296 which represents a \$227,161 increase from 2022-23. Total facilities acquisition expenditures were \$25,289,729 in 2023-24 compared to \$10,734,859 in 2022-23. In the current year and prior year, major expenditures included the kitchen project and the secure entrances. The District issued \$25,000,000 in revenue bonds in the prior year to fund the capital projects in the current year.

Proprietary Fund Highlights

The net position of the Nutrition Fund increased by \$1,721,954 during 2023-24. Revenues increased \$1,650,109 primarily due to receiving \$1,719,217 in capital contributions. Expenses increased \$385,405 due to food and supplies cost.

Budgetary Highlights

A schedule showing the original and final budget amounts compared to the District's actual financial activity is included in the required supplementary information section of this report.

In accordance with the Code of Iowa, the Board of Education annually adopts a budget following required public notice and hearing for all funds, except private-purpose trust funds, internal service funds, and custodial funds. This is referred to as the certified budget. The certified budget may be amended during the year utilizing similar statutorily prescribed procedures. The District uses the GAAP (Generally Accepted Accounting Principles) method of accounting for budgeting purposes.

Iowa law requires that actual spending in each functional area of the budget does not exceed the amount budgeted to be spent in that functional area at any time during the fiscal year. It should also be noted that school districts have two levels of budgetary control. One form of budgetary control exists through the certified budget, which includes all funds of the District as noted above. This budget is certified with the County Auditor and the Department of Management each year. Iowa school districts may not certify a general fund budget in excess of its spending authority. The other level of budgetary control is the unspent (maximum) authorized budget and pertains only to the General Fund of the District. The maximum authorized budget is the total spending authority in the General Fund of the District. The unspent balance is a budgetary concept and does not mean the actual General Fund cash. It is imperative for users of District financial information to make this important distinction.

Muscatine Community School District

Management's Discussion and Analysis Year Ended June 30, 2024

The unspent balance is the amount of spending authority that is carried over into the next fiscal year. The unspent balance is a budgetary carryover and does not represent actual dollars (General Fund cash) or actual financial position (unreserved, undesignated General Fund balance) of the District. Total revenues were \$5,438,792 more than budgeted, a variance of 7.4%. Actual local sources were more than anticipated due to increased taxable assessed valuation and interest rates. Total expenditures were \$3,095,732 less than budgeted, a variance of 3.0% primarily due to instruction function. The District overexpended the support services function by \$1,062,766.

Capital Asset and Debt Administration

Capital Assets

By the end of the 2023-24 fiscal year, the District had invested \$81,706,689 (net of accumulated depreciation of \$64,427,947) in a broad range of assets, including school buildings, athletic facilities, computer and audio-visual equipment and administrative offices. This amount represents a net increase of \$20,418,848 or 33.3% from last year. (More detailed information about capital assets can be found in Note 4 to the financial statements). Total depreciation expense for the year was \$5,047,497.

Capital Assets (Net of Depreciation)

	Governmental Activities		Business-Type Activities		Total School District	
	June 30, 2024	June 30, 2023	June 30, 2024	June 30, 2023	June 30, 2024	June 30, 2023
Land	\$ 1,690,763	\$ 1,543,843	\$ -	\$ -	\$ 1,690,763	\$ 1,543,843
Construction in progress	6,900,809	10,355,329	-	-	6,900,809	10,355,329
Buildings	55,922,556	41,348,919	-	-	55,922,556	41,348,919
Improvements other than buildings	11,084,497	4,204,714	-	-	11,084,497	4,204,714
Furniture and equipment	3,341,172	3,186,600	2,128,588	444,128	5,469,760	3,630,728
Right to use lease equipment	302,812	95,518	-	-	302,812	95,518
Right to use subscription asset	335,492	108,790	-	-	335,492	108,790
Total	\$ 79,578,101	\$ 60,843,713	\$ 2,128,588	\$ 444,128	\$ 81,706,689	\$ 61,287,841

Increases in the current year are primarily due to construction in progress projects including a centralized kitchen, student center and HVAC and secure entrance projects. More information regarding the District's capital assets is provided in Note 4 to the financial statements.

Long-Term Liabilities

As of June 30, 2024, the District had the following long-term liabilities:

	Governmental Activities		Business-Type Activities		Total School District	
	June 30, 2024	June 30, 2023	June 30, 2024	June 30, 2023	June 30, 2024	June 30, 2023
Revenue bonds	\$ 21,808,000	\$ 25,000,000	\$ -	\$ -	\$ 21,808,000	\$ 25,000,000
Lease obligations	306,766	98,457	-	-	306,766	98,457
IT subscription liability	16,272	37,532	-	-	16,272	37,532
Compensated absences	115,811	102,882	-	-	115,811	102,882
Early retirement	1,123,662	1,666,729	-	-	1,123,662	1,666,729
Net OPEB liability	11,463,162	12,384,752	589,332	627,919	12,052,494	13,012,671
Net pension liability	18,169,826	15,667,226	583,220	608,429	18,753,046	16,275,655
Total	\$ 53,003,499	\$ 54,957,578	\$ 1,172,552	\$ 1,236,348	\$ 54,176,051	\$ 56,193,926

Muscatine Community School District

Management's Discussion and Analysis Year Ended June 30, 2024

More information regarding the District's long-term liabilities is provided in Notes 5, 6, and 7 to the financial statements.

ECONOMIC FACTORS BEARING ON THE DISTRICT'S FUTURE

At the time these financial statements were prepared and audited, the District was aware of several existing circumstances that could significantly affect its financial health in the future:

- The Iowa school funding formula is a complex formula that is pupil driven and increasing total spending authority is driven by increasing the number of pupils or increasing the cost per pupil. The legislature established an increase of "supplemental state aid" or SSA of 2.8% (\$127 per pupil) for the 2024/2025 school year. Funding at the state level continues to be a focal point for education. Low state supplemental aid increases are not satisfying cost of living increases as well as increased costs for operations.
- The October 1, 2024 certified student enrollment count, which is used to determine state foundation aid for the District for the 2025-26 school year, decreased by 105.9 to 4,316.9 from the October 1, 2023 count of 4,422.8. The number of open enrollment students from neighboring district's attending Muscatine Community School District decreased from 82.4 to 70.9. The number of open enrollment students attending neighboring school districts increased from 254.1 to 280.5. The 209.6 open enrollment student net loss costs approximately \$1.6 million in expense for the District's general operating fund.
- The District's 4-year-old preschool program enrollment decreased by 22 students to a total enrollment of 218. The State of Iowa provides funding for four-year-old students enrolled in the program at 50% of the regular program cost per student or \$3,913.00 per student for the 2024-25 school year. The District serves 141 preschool students, up 6 from the year before, and three community partner's serve the other 77, down 28 from the year before.
- The district completed \$25M of capital projects during 2023-2024. A new Central Production Kitchen opened, new secure entrances at three school buildings, a renovated Student Center at the high school, new and renovated softball and baseball complexes, and HVAC improvements throughout the district.
- The end of the Elementary and Secondary School Emergency Relief (ESSER) funds in 2023-2024 will have a significant impact with on-going expenses that the district will have to prioritize.
- Staff recruiting and retention concerns at the local and state levels may negatively impact the educational services that the District is able to provide. In addition, it may become necessary for the District to substantially increase wages to recruit and/or retain staff. Based upon the level of increased wages, this could impact the District's budget negatively in the future.
- The increasing rate of inflation potentially surpassing the rate of increase in supplemental state aid may reduce the District's buying power.

CONTACTING THE DISTRICT'S FINANCIAL MANAGEMENT

This financial report is designed to provide the District's citizens, taxpayers, customers, and investors and creditors with a general overview of the District's finances and to demonstrate the District's accountability for the money it receives. If you have questions about this report or need additional financial information, contact Tom Anderson, Director of Finance and Budget, Muscatine Community School District, 2900 Mulberry Avenue, Muscatine, Iowa 52761.

Muscatine Community School District

Statement of Net Position

June 30, 2024

	Primary Government		
	Governmental Activities	Business-Type Activities	Total
Assets			
Current assets:			
Cash and pooled investments	\$ 40,894,955	\$ 1,812,298	\$ 42,707,253
Receivables:			
Property tax:			
Current year	150,706	-	150,706
Succeeding year	20,783,699	-	20,783,699
Accounts	102,086	100	102,186
Income surtax	339,092	-	339,092
Due from other governments	2,491,123	254,870	2,745,993
Inventories	-	120,845	120,845
Prepaid expenses	1,000	-	1,000
Total current assets	64,762,661	2,188,113	66,950,774
Noncurrent assets:			
Capital assets:			
Nondepreciable	8,591,572	-	8,591,572
Depreciable, net	70,986,529	2,128,588	73,115,117
Total noncurrent assets	79,578,101	2,128,588	81,706,689
Total assets	144,340,762	4,316,701	148,657,463
Deferred Outflows of Resources			
OPEB related deferred outflows	1,342,358	47,706	1,390,064
Pension related deferred outflows	6,626,838	212,710	6,839,548
Total deferred outflows of resources	7,969,196	260,416	8,229,612

	Primary Government		
	Governmental	Business-Type	
	Activities	Activities	Total
Liabilities			
Current liabilities:			
Accounts payable	4,648,970	90,889	4,739,859
Salaries and benefits payable	6,476,413	31,324	6,507,737
Unearned revenue	-	39,983	39,983
Claims payable	621,000	-	621,000
Accrued interest	67,572	-	67,572
Revenue bonds	3,310,000	-	3,310,000
Lease obligations	144,462	-	144,462
IT subscription obligation	16,272	-	16,272
Compensated absences	115,811	-	115,811
Early retirement	437,219	-	437,219
Total OPEB liability, current	436,000	23,000	459,000
Total current liabilities	16,273,719	185,196	16,458,915
Noncurrent liabilities:			
Revenue bonds	18,498,000	-	18,498,000
Lease obligations	162,304	-	162,304
Early retirement	686,443	-	686,443
Total OPEB liability	11,463,162	589,332	12,052,494
Net pension liability	18,169,826	583,220	18,753,046
Total noncurrent liabilities	48,979,735	1,172,552	50,152,287
Total liabilities	65,253,454	1,357,748	66,611,202
Deferred Inflows of Resources			
Succeeding year property tax	20,783,699	-	20,783,699
OPEB related deferred inflows	4,477,334	142,954	4,620,288
Pension related deferred inflows	1,543,119	49,531	1,592,650
Total deferred inflows of resources	26,804,152	192,485	26,996,637
Net Position			
Net investment in capital assets	62,992,542	2,128,588	65,121,130
Restricted for:			
Categorical funding	1,055,609	-	1,055,609
Debt service	343,405	-	343,405
Management levy	1,583,603	-	1,583,603
Physical plant and equipment levy	1,925,409	-	1,925,409
Student activities	252,640	-	252,640
School infrastructure	9,399,915	-	9,399,915
Unrestricted	(17,300,771)	898,296	(16,402,475)
Total net position	\$ 60,252,352	\$ 3,026,884	\$ 63,279,236

See Notes to Basic Financial Statements.

Muscatine Community School District

Statement of Activities
Year Ended June 30, 2024

Functions/Programs	Expenses	Charges for Services
Governmental activities:		
Instruction	\$ 40,258,735	\$ 753,124
Support services:		
Student services	3,324,854	753,278
Instructional staff services	2,888,478	74,489
Administration services	6,342,253	79,040
Operation and maintenance of plant services	10,496,661	29,831
Transportation services	3,386,384	29,973
	26,438,630	966,611
Noninstructional programs	55,105	-
Other expenditures:		
Interest expense	934,422	-
AEA flowthrough	2,225,191	-
	3,159,613	-
Total governmental activities	69,912,083	1,719,735
Business-type activities:		
Food service operations	3,830,872	600,961
Total business-type activities	3,830,872	600,961
Total primary government	\$ 73,742,955	\$ 2,320,696
General revenues and transfers:		
General revenues:		
Property tax levied for:		
General purposes		
Capital outlay		
Other specific purposes		
Income surtax		
Utility excise tax		
Other taxes		
Statewide sales and services tax		
Revenue in lieu of tax		
Unrestricted state grants		
Unrestricted investment earnings		
Transfers		
Total general revenues and transfers		
Change in net position		
Net position, beginning of year		
Net position, end of year		

See Notes to Basic Financial Statements.

Program Revenues		Net (Expense) Revenue and Changes in Net Position			
Operating Grants and Contributions	Capital Grants and Contributions	Governmental Activities	Business-Type Activities	Total	
\$ 12,903,121	\$ -	\$ (26,602,490)	\$ -	\$ (26,602,490)	
-	-	(2,571,576)	-	(2,571,576)	
-	-	(2,813,989)	-	(2,813,989)	
-	-	(6,263,213)	-	(6,263,213)	
-	-	(10,466,830)	-	(10,466,830)	
24,947	-	(3,331,464)	-	(3,331,464)	
24,947	-	(25,447,072)	-	(25,447,072)	
-	-	(55,105)	-	(55,105)	
-	-	(934,422)	-	(934,422)	
2,225,191	-	-	-	-	
2,225,191	-	(934,422)	-	(934,422)	
15,153,259	-	(53,039,089)	-	(53,039,089)	
3,204,522	1,719,217	-	1,693,828	1,693,828	
3,204,522	1,719,217	-	1,693,828	1,693,828	
\$ 18,357,781	\$ 1,719,217	(53,039,089)	1,693,828	(51,345,261)	

15,981,692	-	15,981,692
2,668,457	-	2,668,457
1,685,258	-	1,685,258
393,965	-	393,965
201,615	-	201,615
42,705	-	42,705
6,026,666	-	6,026,666
398,373	-	398,373
28,170,803	-	28,170,803
2,453,229	93,210	2,546,439
65,084	(65,084)	-
58,087,847	28,126	58,115,973
5,048,758	1,721,954	6,770,712
55,203,594	1,304,930	56,508,524
\$ 60,252,352	\$ 3,026,884	\$ 63,279,236

Muscatine Community School District

**Balance Sheet
Governmental Funds
June 30, 2024**

	General	Capital Projects	Nonmajor	Total
Assets				
Cash and pooled investments	\$ 16,709,106	\$ 19,913,980	\$ 2,198,234	\$ 38,821,320
Receivables:				
Property tax:				
Current year	118,741	19,405	12,560	150,706
Succeeding year	16,614,096	2,669,603	1,500,000	20,783,699
Accounts	74,516	384	1,646	76,546
Income surtax	339,092	-	-	339,092
Due from other governments	1,702,509	779,577	9,037	2,491,123
Prepaid items	-	1,000	-	1,000
Total assets	\$ 35,558,060	\$ 23,383,949	\$ 3,721,477	\$ 62,663,486
Liabilities, Deferred Inflows of Resources, and Fund Balances				
Liabilities:				
Accounts payable	\$ 938,936	\$ 3,668,205	\$ 41,829	\$ 4,648,970
Salaries and benefits payable	6,476,413	-	-	6,476,413
Total liabilities	7,415,349	3,668,205	41,829	11,125,383
Deferred Inflows of Resources:				
Unavailable revenue:				
Succeeding year property tax	16,614,096	2,669,603	1,500,000	20,783,699
Income surtax	339,092	-	-	339,092
Grants	-	175,338	-	175,338
Total deferred inflows of resources	16,953,188	2,844,941	1,500,000	21,298,129
Fund balances:				
Nonspendable	-	1,000	-	1,000
Restricted for:				
Categorical funding	1,055,609	-	-	1,055,609
Debt service	-	-	343,405	343,405
Management levy	-	-	1,583,603	1,583,603
Physical plant and equipment levy	-	1,571,036	-	1,571,036
School infrastructure	-	15,298,767	-	15,298,767
Student activity purposes	-	-	252,640	252,640
Assigned	159,443	-	-	159,443
Unassigned	9,974,471	-	-	9,974,471
Total fund balances	11,189,523	16,870,803	2,179,648	30,239,974
Total liabilities, deferred inflows of resources and fund balances	\$ 35,558,060	\$ 23,383,949	\$ 3,721,477	\$ 62,663,486

Muscatine Community School District

Reconciliation of the Balance Sheet - Governmental Funds to the Statement of Net Position June 30, 2024

Total fund balances of governmental funds	\$ 30,239,974
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Amounts reported for governmental activities in the Statement of Net Position are different because:

Capital assets used in governmental activities are not financial resources and, therefore are not reported as assets in the governmental funds.	79,578,101
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Other long-term assets are not available to pay for current period expenditures and, therefore, are unavailable in the funds.	514,430
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Internal service funds are used by management to charge the costs of certain services to individual funds. The assets and liabilities of the internal service fund are included in governmental activities in the statement of net position.	1,478,175
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Pension and OPEB related deferred outflows of resources and deferred inflows of resources are not due and payable in the current year and, therefore are not reported in the governmental funds as follows:

OPEB related deferred outflows of resources	1,342,358
OPEB related deferred inflows of resources	(4,477,334)
Pension related deferred outflows of resources	6,626,838
Pension related deferred inflows of resources	(1,543,119)

Long-term liabilities, including bonds payable and compensated absences, are not due and payable in the current period and, therefore, are not reported as liabilities in the governmental funds.

Compensated absences	(115,811)
Revenue bonds	(21,808,000)
Accrued interest	(67,572)
Equipment lease obligations	(306,766)
IT subscription liability	(16,272)
Early retirement	(1,123,662)
Total OPEB liability	(11,899,162)
Net pension liability	(18,169,826)

Net position of governmental activities	\$ 60,252,352
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See Notes to Basic Financial Statements.

Muscatine Community School District

**Statement of Revenues, Expenditures and Changes in Fund Balances
Governmental Funds
Year Ended June 30, 2024**

	General	Capital Projects	Nonmajor	Total
Revenues:				
Local sources:				
Property tax	\$ 15,981,692	\$ 2,668,457	\$ 1,685,258	\$ 20,335,407
Utility excise tax	159,266	25,448	16,901	201,615
Income surtax	371,842	-	-	371,842
Other tax	33,735	5,390	3,580	42,705
Tuition	753,122	-	-	753,122
Private donations	201,261	-	-	201,261
Investment earnings	688,513	1,605,308	67,777	2,361,598
Other	223,209	-	542,143	765,352
State sources	37,759,767	6,076,949	33,395	43,870,111
Federal sources	5,654,229	49,423	-	5,703,652
Total revenues	61,826,636	10,430,975	2,349,054	74,606,665
Expenditures:				
Current:				
Instruction	38,082,115	4,464	1,054,190	39,140,769
Support services:				
Student services	3,428,403	-	6,724	3,435,127
Instructional staff services	2,901,675	22,315	7,308	2,931,298
Administration services	6,215,158	381,998	93,113	6,690,269
Operation and maintenance of plant services	6,022,037	841,320	950,825	7,814,182
Transportation services	2,029,841	740,832	140,122	2,910,795
	20,597,114	1,986,465	1,198,092	23,781,671
Noninstructional programs	-	-	55,105	55,105
Other expenditures:				
Facilities acquisition	-	25,289,729	-	25,289,729
Debt service:				
Principal	-	-	3,441,045	3,441,045
Interest and fiscal charges	-	-	944,308	944,308
AEA flowthrough	2,225,191	-	-	2,225,191
	2,225,191	25,289,729	4,385,353	31,900,273
Total expenditures	60,904,420	27,280,658	6,692,740	94,877,818
Excess (deficiency) of revenues over (under) expenditures	922,216	(16,849,683)	(4,343,686)	(20,271,153)
Other financing sources (uses):				
Proceeds from sale of capital assets	41,349	-	-	41,349
Issuance of long-term debt	-	436,094	-	436,094
Transfer in	70,000	1,245,209	4,385,300	5,700,509
Transfer (out)	(1,250,125)	(4,385,300)	-	(5,635,425)
Total other financing sources (uses)	(1,138,776)	(2,703,997)	4,385,300	542,527
Net change in fund balance	(216,560)	(19,553,680)	41,614	(19,728,626)
Fund balances, beginning of year	11,406,083	36,424,483	2,138,034	49,968,600
Fund balances, end of year	\$ 11,189,523	\$ 16,870,803	\$ 2,179,648	\$ 30,239,974

See Notes to Basic Financial Statements.

Muscatine Community School District

Reconciliation of the Statement of Revenues, Expenditures and Changes in Fund Balances - Governmental Funds to the Statement of Activities Year Ended June 30, 2024

Net change in fund balances - total governmental funds \$ (19,728,626)

Amounts reported for governmental activities in the Statement of
Activities are different because:

Capital outlays to purchase or build capital assets are reported in governmental funds as expenditures. However, those costs are not reported in the Statement of Net Position and are allocated over their estimated useful lives as depreciation expense in the Statement of Activities. The amounts of capital outlays and depreciation expense in the year are as follows:

Expenditures for capital assets	25,509,538	
Capital assets contributed to enterprise fund	(1,719,217)	
Depreciation expense	(4,988,989)	
Proceeds from sale of capital assets	(41,349)	
Loss on sale of capital assets	(25,595)	18,734,388

Revenues in the statement of activities that do not provide current financial resources are not reported as revenues in the funds, change in unavailable revenues:

Income surtax	22,123	
Grants	175,338	197,461

Internal service funds are used by management to charge the costs of certain activities to individual funds. The net revenue of the internal service fund is reported with governmental activities.

314,829

The issuance of long-term debt provides current financial resources to governmental funds, while the repayments of the principal of long-term debt consumes the current financial resources of governmental funds. The issuance of debt increases liabilities in the Statement of Net Position, while the repayment of long-term debt reduces long-term liabilities. The following is the detail of the net effect of these differences in the treatment of long-term debt related items:

Issuance of lease obligation	(436,094)	
Change in accrued interest payable	9,886	
Repayment of revenue bonds	3,192,000	
Repayment of lease	227,785	
Repayment of IT subscription liability	21,260	3,014,837

Some expenses reported in the Statement of Activities do not require the use of current financial resources and, therefore, are not reported as expenditures in the governmental funds, as follows:

Compensated absences	(12,929)	
Early retirement	543,067	
Net pension expense	2,495,249	
Total OPEB liability	(509,518)	2,515,869

Change in net position of governmental activities

\$ 5,048,758

Muscatine Community School District

Statement of Net Position

Proprietary Funds

June 30, 2024

	Enterprise Fund	Governmental Activities
	School Nutrition	Internal Service Fund
Assets		
Current:		
Cash and cash equivalents	\$ 1,812,298	\$ 2,073,635
Accounts receivable	100	25,540
Intergovernmental receivable	254,870	-
Inventories	120,845	-
Total current assets	2,188,113	2,099,175
Noncurrent:		
Capital assets, net of accumulated depreciation	2,128,588	-
Total assets	4,316,701	2,099,175
Deferred Outflows of Resources:		
OPEB related deferred outflows	47,706	-
Pension related deferred outflows	212,710	-
Total deferred outflows of resources	260,416	-
Liabilities		
Current:		
Accounts payable	90,889	-
Salaries and benefits payable	31,324	-
Unearned revenue	39,983	-
Claims payable	-	621,000
Total OPEB liability, current	23,000	-
Total current liabilities	185,196	621,000
Noncurrent:		
Total OPEB liability	589,332	-
Net pension liability	583,220	-
Total noncurrent liabilities	1,172,552	-
Total liabilities	1,357,748	621,000
Deferred Inflows of Resources:		
OPEB related deferred inflows	142,954	-
Pension related deferred inflows	49,531	-
Total deferred inflows of resources	192,485	-
Net Position		
Investment in capital assets	2,128,588	-
Unrestricted	898,296	1,478,175
Total net position	\$ 3,026,884	\$ 1,478,175

See Notes to Basic Financial Statements.

Muscatine Community School District

Statement of Revenues, Expenses and Changes in Net Position

Proprietary Funds

Year Ended June 30, 2024

	Enterprise Fund	Governmental Activities
	School Nutrition	Internal Service Fund
Operating revenues:		
Local sources, charges for services	\$ 600,961	\$ 6,004,388
Operating expenses:		
Noninstructional programs:		
Salaries	1,382,318	-
Benefits	477,299	-
Purchased services	23,975	5,781,190
Supplies	1,834,423	-
Depreciation	58,508	-
Other	54,349	-
Total noninstructional programs	3,830,872	5,781,190
Total operating expenses	3,830,872	5,781,190
Operating income (loss)	(3,229,911)	223,198
Nonoperating revenues:		
Interest on investments	93,210	91,631
State sources	21,673	-
Federal sources	3,182,849	-
Total nonoperating revenues	3,297,732	91,631
Income before transfers and capital contributions	67,821	314,829
Capital contributions	1,719,217	-
Transfers in	4,916	-
Transfers (out)	(70,000)	-
Change in net position	1,721,954	314,829
Net position, beginning of year	1,304,930	1,163,346
Net position, end of year	\$ 3,026,884	\$ 1,478,175

See Notes to Basic Financial Statements.

Muscatine Community School District

Statement of Cash Flows
Proprietary Funds
Year Ended June 30, 2024

	Enterprise Fund	Governmental Activities
	School Nutrition	Internal Service Fund
Cash flows from operating activities:		
Cash received from sale of lunches and breakfasts	\$ 630,815	\$ -
Cash received from miscellaneous operating activities	-	5,986,620
Cash payments to employees for services	(1,917,577)	-
Cash payments to suppliers for goods or services	(1,690,710)	(5,781,190)
Net cash provided by (used in) operating activities	(2,977,472)	205,430
Cash flows from noncapital financing activities:		
State grants received	21,673	-
Federal grants received	2,912,488	-
Transfers in	4,916	-
Transfers (out)	(70,000)	-
Net cash provided by noncapital financing activities	2,869,077	-
Cash flows (used in) capital related financing activities,		
Acquisition of capital assets	(23,751)	-
Cash flows from investing activities, interest on investments	93,210	91,631
Net increase in cash and cash equivalents	(38,936)	297,061
Cash and cash equivalents, beginning of year	1,851,234	1,776,574
Cash and cash equivalents, end of year	<u>\$ 1,812,298</u>	<u>\$ 2,073,635</u>
Reconciliation of operating income (loss) to net cash provided by (used in) operating activities:	1,812,298	
Operating income (loss)	\$ (3,229,911)	\$ 223,198
Adjustments to reconcile operating income (loss) to net cash provided by (used in) operating activities:		
Depreciation	58,508	-
Commodities used	220,644	-
Decrease in accounts receivable	32,758	11,232
(Increase) in inventories	(33,704)	-
Increase (decrease) in accounts payable and claims payable	35,097	(29,000)
Increase in salaries and benefits payable	15,840	-
Increase in total OPEB liability and related deferred outflows of resources and deferred inflows of resources	16,354	-
(Decrease) in net pension liability and related deferred outflows of resources and deferred inflows of resources	(90,154)	-
(Decrease) in unearned revenue	(2,904)	-
Net cash provided by (used in) operating activities	\$ (2,977,472)	\$ 205,430
Schedule of noncash items:		
Noncapital financing activities, federal commodities	\$ 220,644	\$ -
Capital financing activities, capital contributions	\$ 1,719,217	\$ -
See Notes to Basic Financial Statements.		

Muscatine Community School District

Statement of Fiduciary Net Position

Fiduciary Funds

June 30, 2024

	Custodial
Assets	
Cash and investments	\$ -
Other receivables	-
Total assets	-
Net position, restricted	\$ -

See Notes to Basic Financial Statements.

Muscatine Community School District

Statement of Changes in Fiduciary Net Position

Fiduciary Funds

Year Ended June 30, 2024

	<u>Custodial</u>
Additions:	
Other	\$ 6,923
Total additions	<u>6,923</u>
Deductions:	
Instruction:	
Administrative expenses	\$ 7,093
Total deductions	<u>7,093</u>
Change in net position	(170)
Net position, beginning of year	<u>170</u>
Net position, end of year	<u><u>\$ -</u></u>

See Notes to Basic Financial Statements.

Muscatine Community School District

Notes to Basic Financial Statements Year Ended June 30, 2024

Note 1. Summary of Significant Accounting Policies

Muscatine Community School District (the District) is a political subdivision of the state of Iowa and operates public schools for children in grades preschool through twelve and special education pre-kindergarten. The geographic area served includes the City of Muscatine, Iowa and the predominately agricultural territory of Muscatine County. The District is governed by a Board of Education whose members are elected on a nonpartisan basis.

The District's financial statements are prepared in conformity with U.S. generally accepted accounting principles as prescribed by the Governmental Accounting Standards Board.

Reporting entity:

For financial reporting purposes, Muscatine Community School District has included all funds, organizations, agencies, boards, commissions and authorities. The District has also considered all potential component units for which it is financially accountable and other organizations for which the nature and significance of their relationship with the District are such that exclusion would cause the District's financial statements to be misleading or incomplete. The Governmental Accounting Standards Board (GASB) has set forth criteria to be considered in determining financial accountability. These criteria include appointing a voting majority of an organization's governing body and (1) the ability of the District to impose its will on that organization or (2) the potential for the organization to provide specific benefits to, or impose specific financial burdens on, the District; and (3) fiscal dependency. The District has no component units which meet the GASB criteria.

Jointly governed organizations: The District participates in a jointly governed organization that provides services to the District but does not meet the criteria of a joint venture since there is no ongoing financial interest or responsibility by the participating governments. The District is a member of the Muscatine County Assessor's Conference Board.

Basis of presentation:

Government-wide financial statements: The Statement of Net Position and the Statement of Activities report information on all of the nonfiduciary activities of the District. For the most part, the effect of interfund activity has been removed from these statements. Governmental activities, which normally are supported by tax and intergovernmental revenues, are reported separately from business-type activities, which rely to a significant extent on fees and charges for service. Interfund services provided and used are not eliminated in the process of consolidation for the statements.

The Statement of Net Position presents the District's nonfiduciary assets and liabilities, with the difference reported as net position. Net position is reported in three categories:

Net investment in capital assets consists of capital assets, including restricted capital assets, net of accumulated depreciation and reduced by outstanding balances for bonds, notes and other debt attributable to the acquisition, construction or improvements of those assets.

Restricted net position results when constraints placed on net position use are either externally imposed by creditors, grantors, contributors or laws and regulations of other governments or imposed by law through constitutional provisions or enabling legislation.

Unrestricted net position consists of net position that does not meet the definition of the two preceding categories. Unrestricted net position often has constraints on resources imposed by management which can be removed or modified.

Muscatine Community School District

Notes to Basic Financial Statements Year Ended June 30, 2024

Note 1. Summary of Significant Accounting Policies (Continued)

The Statement of Activities demonstrates the degree to which the direct expenses of a given function or segments are offset by program revenues. Direct expenses are those that are clearly identifiable with a specific function. Program revenues include 1) charges to customer or applicants who purchase, use or directly benefit from goods, services or privileges provided by a given function and 2) grants, contributions and interest restricted to meeting the operational or capital requirements of a particular function. Property tax and other items not properly included among program revenues are reported instead as general revenues.

Fund financial statements: Separate financial statements are provided for governmental, proprietary and fiduciary funds, even though the latter are excluded from the government-wide financial statements. Major individual governmental funds are reported as separate columns in the fund financial statements. All remaining governmental funds are aggregated and reported as nonmajor governmental funds.

The District reports the following major governmental funds:

The General Fund is the general operating fund of the District. All general tax revenues and other revenues not allocated by law or contractual agreement to some other fund are accounted for in this fund. From the fund are paid the general operating expenditures, including instructional, support and other costs.

The Capital Projects Fund is used to account for all resources used in the acquisition and construction of capital facilities.

The other governmental funds of the District are considered nonmajor and are as follows:

The Debt Service Fund accounts for the payment of general long-term debt principal, interest and related costs.

Special Revenue Funds: Are used to account for the revenue sources that are legally restricted to expenditures for specific purposes:

The Management Fund accounts for tort liability insurance premiums, unemployment compensation insurance claims and early retirement incentive payments.

The Student Activity Fund accounts for money held by the District on behalf of the students who have raised these funds and are responsible for their disposition for co-curricular to extracurricular activities of the District.

Proprietary fund types are used to account for the District's ongoing organizations and activities which are similar to those found in the private sector. The measurement focus is upon income determination, financial position, and cash flows. The District has two proprietary funds, an enterprise fund and an internal service fund.

Enterprise funds are used to account for those operations that are financed and operating in a manner similar to private business or where the District has decided that the determination of revenues earned, costs incurred and/or net income is necessary for management accountability. The District's major enterprise fund is the School Nutrition Fund which accounts for the food service operations of the District.

Muscatine Community School District

Notes to Basic Financial Statements Year Ended June 30, 2024

Note 1. Summary of Significant Accounting Policies (Continued)

The Internal Service Fund is used to account for goods or services provided by one department to other departments of the District on a cost reimbursement basis. The District's Internal Service Fund is used to account for the premium and claim payments for the self-insured health insurance plans for District employees.

The District also reported fiduciary funds which focus on net position and changes in net position. The District's fiduciary funds include the following:

The Custodial funds are used to account for assets held by the District as an agent for individuals, private organizations and other governments. These are funds for which the District accounts for revenue collected for faculty accounts and related expenditures, and for funds collected for other various special group accounts.

Measurement focus and basis of accounting:

The government-wide financial statements and the proprietary and fiduciary fund financial statements are reported using the economic resources measurement focus and the accrual basis of accounting. Revenues are recorded when earned and expenses are recorded when a liability is incurred, regardless of the timing of related cash flows. Property tax is recognized as revenue in the year for which it is levied. Grants and similar items are recognized as revenue as soon as all eligibility requirements imposed by the provider have been satisfied.

Governmental fund financial statements are reported using the current financial resources measurement focus and the modified accrual basis of accounting. Revenues are recognized as soon as they are both measurable and available. Revenues are considered to be available when they are collectible within the current period or soon enough thereafter to pay liabilities of the current period. For this purpose, the government considers revenues to be available if they are collected within 60 days after year-end.

Property tax, intergovernmental revenues (shared revenues, grants and reimbursements from other governments) and interest associated with the current fiscal period are all considered to be susceptible to accrual. All other revenue items are considered to be measurable and available only when cash is received by the District.

Expenditures generally are recorded when a liability is incurred, as under accrual accounting. However, principal and interest on long-term debt, claims and judgments and compensated absences are recognized as expenditures only when payment is due. Capital asset acquisitions are reported as expenditures in governmental funds. Proceeds of general long-term debt and acquisitions under capital leases are reported as other financing sources.

Under terms of grant agreements, the District funds certain programs by a combination of specific cost-reimbursement grants and general revenues. Thus, when program expenses are incurred, there is both restricted and unrestricted net position available to finance the program. It is the District's policy to first apply cost-reimbursement grant resources to such programs and then general revenues.

Muscatine Community School District

Notes to Basic Financial Statements Year Ended June 30, 2024

Note 1. Summary of Significant Accounting Policies (Continued)

Proprietary funds distinguished operating revenues and expenses from nonoperating items. Operating revenues and expense generally result from providing services and producing and delivering goods in connection with a proprietary fund's principal ongoing operations. The principal operating revenues of the District's enterprise fund is charges to customers for sales and services. Operating expenses for enterprise funds include the cost of sales and services, administrative expenses and depreciation on capital assets. All revenues and expenses not meeting this definition are reported as nonoperating revenues and expenses.

Assets, deferred outflows of resources, liabilities, deferred inflows of resources and fund balance/fund net position:

The following accounting policies are followed in preparing the financial statements:

Cash, pooled investments and cash equivalents: The cash balances of most District funds are pooled and invested. Investments are stated at fair value except for nonnegotiable certificates of deposit, which are stated at cost.

For purposes of the statement of cash flows, all short-term cash investments that are highly liquid are considered to be cash equivalents. Cash equivalents are readily convertible to known amounts of cash, and, at the day of purchase, have maturity date no longer than three months.

Property tax receivable: Property tax in governmental funds is accounted for using the modified accrual basis of accounting. Property tax receivable is recognized in these funds on the levy or lien date, which is the date that the tax asking is certified by the Board of Education. Current year property tax receivable represents unpaid taxes from the current year. The succeeding year property tax receivable represents taxes certified by the Board of Education to be collected in the next fiscal year for the purposes set out in the budget for the next fiscal year. However, by statute, the tax asking and budget certification for the following fiscal year becomes effective on the first day of that year. Although the succeeding year property tax receivable has been recorded, the related revenue is a deferred inflow of resources in both the government-wide and fund financial statements and will not be recognized as revenue until the year for which it is levied.

The property tax revenue recognized in these funds became due and collectible in September and March of the fiscal year with 1½ percent per month penalty for delinquent payments; is based on January 1, 2022 assessed property valuations; is for the tax accrual period July 1, 2023 through June 30, 2024 and reflects the tax asking contained in the budget certified to the County Board of Supervisors in April 2023.

Due from other governments: Due from other governments represents amounts due from the state of Iowa, various shared revenues, grants and reimbursements from other governments.

Inventories: Inventories are valued at cost using the first-in, first-out method for purchased items and governmental commodities. Inventories of proprietary funds are recorded as expenses when consumed rather than when purchased or received.

Prepaid Items: The District accounts for prepaid items by using the purchases method.

Muscatine Community School District

Notes to Basic Financial Statements Year Ended June 30, 2024

Note 1. Summary of Significant Accounting Policies (Continued)

Capital assets: Capital assets are tangible and intangible assets, which include property, furniture and equipment, are reported in the applicable governmental or business-type activities columns in the District-wide Statement of Net Position. Capital assets are recorded at historical cost, except for intangible right-to-use lease assets, the measurement of which is discussed in the ensuing lease policy. Donated capital assets are recorded at acquisition value at the date of donation. Acquisition value is the price that would be paid to acquire an asset with equivalent service potential on the date of the donation. Intangible assets include those purchased or internally generated as well as right-to-use leased intangible assets. The costs of normal maintenance and repairs that do not add to the value of the asset or materially extend asset lives are not capitalized.

Capital assets are defined by the District as assets with an initial, individual cost in excess of the following thresholds and estimated useful lives in excess of two years:

Asset Class	Amount
Land	\$ 1
Buildings	25,000
Improvements other than buildings	25,000
Intangibles:	
Purchased or internally generated	50,000
Furniture and equipment:	
School Nutrition Fund equipment	500
Other furniture and equipment	5,000

Land and construction in progress are not depreciated. Capital assets are depreciated / amortized using the straight-line method of depreciation over the following estimated useful lives:

Asset Class	Estimated Useful Lives
Buildings	50 years
Improvements other than buildings	15 years
Intangibles:	
Purchased or internally generated	2 - 20 years
Furniture and equipment	5 - 15 years

Salaries and benefits payable: Payroll and related expenses for teachers with annual contracts corresponding to the current school year, which are payable in July and August, have been accrued as liabilities.

Muscatine Community School District

Notes to Basic Financial Statements Year Ended June 30, 2024

Note 1. Summary of Significant Accounting Policies (Continued)

Unearned revenue: Proprietary funds defer revenue recognition in connection with resources that have been received but not earned. Unearned revenue in the governmental funds arises when assets are recognized before revenue recognition criteria have been satisfied. Unearned revenue consists primarily of grant advances, school registration fees and meal deposits collected for the programs and services in the next school year.

Compensated absences: District employees accumulate a limited amount of earned but unused vacation for subsequent use or for payment upon termination, death or retirement. A liability is recorded when incurred in the government-wide financial statements. A liability for these amounts is reported in governmental fund financial statements only for employees who have resigned or retired. The compensated absences liability has been computed based on rates of pay in effect as of June 30, 2024.

Leases: The District is a lessee for noncancellable leases of equipment. The District recognizes a lease liability and an intangible right-to-use lease asset in the governmental activities of the government-wide financial statements.

At the commencement of a lease, the District initially measures the lease liability at the present value of payments expected to be made during the lease term. Subsequently, the lease liability is reduced by the principal portion of lease payments made. The lease asset is initially measured as the initial amount of the lease liability, adjusted for lease payments made at or before the lease commencement date, plus certain initial direct costs to place the asset in service. Subsequently, the lease asset is amortized on a straight-line basis over the life of the lease.

Key estimates and judgments related to leases include how the District determines (1) the discount rate it uses to discount the expected lease payments to present value, (2) lease term, and (3) lease payments.

The District uses the interest rate charged by the lessor as the discount rate. When the interest rate charged by the lessor is not provided, the District generally uses its estimated incremental borrowing rate as the discount rate for leases.

The lease term includes the noncancellable period of the lease. Lease payments included in the measurement of the lease liability are composed of fixed payments and purchase option price that the District is reasonably certain to exercise.

The District monitors changes in circumstances that would require a remeasurement of its lease and will remeasure the lease asset and liability if certain changes occur that are expected to significantly affect the amount of the lease liability.

Lease assets are reported with other capital assets and lease liabilities are reported with long-term debt on the statement of net position.

Subscription-Based Information Technology Arrangements (SBITA) – The District has entered into a contract that conveys control of the right to use information technology software. The District has recognized an IT subscription liability and an intangible right-to-use IT subscription asset in the government-wide financial statements.

Muscatine Community School District

Notes to Basic Financial Statements Year Ended June 30, 2024

Note 1. Summary of Significant Accounting Policies (Continued)

At the commencement of the IT subscription term, the District initially measures the subscription liability at the present value of payments expected to be made during the subscription term. Subsequently, the IT subscription liability is reduced by the principal portion of payments made. The right-to-use an IT subscription asset is initially measured as the sum of the initial IT subscription liability, adjusted for payments made at or before the commencement date, plus capitalization implementation costs less any incentives received from the SBITA vendor at or before the commencement of the subscription term. Subsequently, the right-to-use IT subscription asset is amortized on a straight-line basis over its useful life.

Key estimates and judgments related to IT subscription arrangements include how the District determines the discount rate it uses to discount the expected payments to present value, term and payments.

The District uses the interest rate charged by the IT subscription vendor as the discount rate. When the interest rate charged by the vendor is not provided, the District generally uses its estimated incremental borrowing rate as the discount rate.

The IT subscription term includes the noncancellable period of the subscription. Payments included in the measurement of the liability are composed of fixed payments.

The District monitors changes in circumstances that would require a remeasurement of its IT subscription and will remeasure the right-to-use IT subscription asset and liability if certain changes occur that are expected to significantly affect the amount of the subscription liability.

Right-to-use IT subscription assets are reported with other capital assets and IT subscription liabilities are reported with long-term debt on the statement of net position.

Pensions: For purposes of measuring the net pension liability, deferred outflows of resources and deferred inflows of resources related to pensions, and pension expense, information about the fiduciary net position of the Iowa Public Employees' Retirement System (IPERS) and additions to/deductions from IPERS' fiduciary net position have been determined on the same basis as they are reported by IPERS. For this purpose, benefit payments (including refunds of employee contributions) are recognized when due and payable in accordance with the benefit terms. Investments are reported at fair value.

Total OPEB Liability: For purposes of measuring total OPEB liability, deferred outflows of resources related to OPEB and OPEB expense, information has been determined based on the Muscatine Community School District's actuary report. For this purpose, benefit payments are recognized when due and payable in accordance with the benefit terms. The total OPEB liability attributable to the governmental activities will be paid primarily by the General Fund and the Enterprise, School Nutrition Fund.

Interfund activity: Exchange transactions between funds are reported as revenues in the seller funds and as expenditures/expenses in the purchaser funds. Flows of cash or goods from one fund to another without a requirement for repayment are reported as interfund transfers. Interfund transfers are reported as other financing sources/uses in governmental funds and after nonoperating revenues/expenses in proprietary funds. Repayments from funds responsible for particular expenditures/expenses to the funds that initially paid for them are not presented on the financial statements.

Muscatine Community School District

Notes to Basic Financial Statements Year Ended June 30, 2024

Note 1. Summary of Significant Accounting Policies (Continued)

Fund balance: In the governmental fund financial statements fund balances are classified as follows:

Nonspendable: Balances that cannot be spent because they are not expected to be converted to cash or they are legally or contractually required to remain intact.

Restricted: Amounts restricted to specific purposes when constraints placed on the use of the resources are either externally imposed by creditors, grantors or state or federal laws or imposed by law through constitutional provisions or enabling legislation.

Committed: Amounts which can be used only for specific purposes determined pursuant to constraints formally imposed by the Board of Education through resolution approved prior to year-end. Those committed amounts cannot be used for any other purpose unless the Board of Education removes or changes the specified use by taking the same action it employed to commit those amounts.

Assigned: Fund balances that contain self-imposed constraints of the government to be used for a particular purpose. The authority to assign fund balances has been delegated to the Director of Finance. The District has assigned \$159,443 primarily for instructional programs. Unlike commitments, assignments only exist temporarily. An additional action does not normally have to be taken for removal of an assignment.

Unassigned: Only the General Fund reports a positive unassigned fund balance. All amounts not included in other spendable classifications of the General Fund as well as any deficit fund balance of any other governmental fund is reported as unassigned.

When an expenditure is incurred for purposes for which amounts in the committed, assigned, or unassigned fund balance classifications could be used, the District's policy is generally to first apply the expenditure to restricted fund balance and then to less restrictive classifications – committed, assigned and then unassigned fund balances.

Deferred outflows/inflows of resources: In addition to assets, the balance sheet and/or statement of financial position will sometimes report a separate section for deferred outflows of resources. This separate financial statement element, deferred outflows of resources, represents a consumption of net assets that applies to a future period(s) and so will not be recognized as an outflow of resources (expenses/expenditures) until then. The District's deferred outflows of resources consist of unrecognized items not yet charged to pension expense and other postemployment benefit expense, and contributions from the employer after the measurement date but before the end of the employer's reporting period.

In addition to liabilities, the balance sheet and/or statement of financial position will sometimes report a separate section for deferred inflows of resources. This separate financial statement element, deferred inflows of resources, represents an acquisition of net assets that applies to a future period(s) and so will not be recognized as an inflow of resources (revenue) until that time.

The District's deferred inflows of resources in the government-wide statements consist of succeeding year property tax revenue, and unrecognized items not yet charged to pension expense and other postemployment benefit expense.

The District reports unavailable revenue in the governmental funds balance sheet from income surtax and property tax. This amount is deferred and recognized as an inflow of resources in the period that the amounts become available.

Muscatine Community School District

Notes to Basic Financial Statements Year Ended June 30, 2024

Note 1. Summary of Significant Accounting Policies (Continued)

Net position: In proprietary funds, fiduciary funds, and government-wide financial statements, net position represents the difference between assets, deferred outflows of resources, liabilities, and deferred inflows of resources. Net investment in capital assets, consists of capital assets, net of accumulated depreciation, reduced by the outstanding balances of any borrowings used for the acquisition, construction or improvement of those assets. Net investment in capital assets excludes unspent debt proceeds of \$9,213,684. Net position is reported as restricted when there are limitations imposed on their use through the enabling legislation adopted by the District or through external restrictions imposed by creditors, grantors or laws or regulations of other governments.

Net position restricted by enabling legislation as of June 30, 2024 consists of \$1,055,609 for categorical funding, \$343,405 for debt service, \$1,583,603 for management levy purposes, \$1,925,409 for physical plant and equipment levy, \$252,640 for student activities, and \$9,399,915 for school infrastructure.

Net position flow assumption: Sometimes the District will fund outlays for a particular purpose from both restricted (e.g. restricted bond or grant proceeds) and unrestricted resources. In order to calculate the amounts to report as restricted-net position and unrestricted-net position in the government-wide and proprietary fund financial statements, a flow assumption must be made about the order in which the resources are considered to be applied. It is the District's policy to consider restricted-net position to have been depleted before unrestricted-net position is applied.

Cash flows: For the purpose of cash flows, the District considers all highly liquid investments with a maturity of three months or less when purchased to be cash equivalents.

Estimates: The preparation of the financial statements in conformity with accounting principles generally accepted in the United States of America requires management to make estimates and assumptions that affect the amounts reported in the financial statements and accompanying notes. Actual results may differ from those estimates.

Budgets and budgetary control:

In accordance with the Code of Iowa, the District's Board of Education annually adopts a single district-wide budget and approves the related appropriations following required public notice and hearing from all funds except for the internal service fund and custodial funds. The budgets and related appropriations as well as the financial statements are prepared on the modified accrual basis or accrual basis of accounting. The budget may be amended during the year utilizing similar statutorily prescribed procedures. Formal and legal budgetary control for the certified budget is based upon four major classes of disbursements known as functional areas, not by fund. These four functional areas are instruction, support services, noninstructional programs and other expenditures.

The Code of Iowa also provides the District disbursements in the General Fund may not exceed the amount authorized by the school finance formula. The budgetary comparison and related disclosures are reported as Required Supplementary Information. During the year ended June 30, 2024, expenditures exceeded amounts budgeted in the support services function.

Muscatine Community School District

Notes to Basic Financial Statements Year Ended June 30, 2024

Note 2. Cash and Pooled Investments

At June 30, 2024, the District had the following cash and investments:

District:

Deposits with financial institutions	\$ 33,489,559
Investment Pools, Iowa Schools Joint Investment Trust	3,028,555
Treasury Bills	6,187,509
Petty cash	1,630
	<u>\$ 42,707,253</u>

Authorized investments: The District is authorized by statute to invest public funds in obligations of the United States government, its agencies and instrumentalities; certificates of deposit or other evidences of deposit at federally insured depository institutions approved by the Board of Education; prime eligible bankers acceptances; certain high rated commercial paper; perfected repurchase agreements; certain registered open-end management investment companies; certain joint investment trusts; and warrants or improvement certificates of a drainage district.

Interest rate risk: The District's investment policy limits the investment of operating funds in instruments that mature within 397 days. Funds not identified as operating funds may be invested in investments with maturities longer than 397 days but the maturities shall be consistent with the needs and use of the District. The District did not have investments subject to interest rate risk as of June 30, 2024.

The District categorizes its fair value measurements within the fair value hierarchy established by generally accepted accounting principles. The hierarchy is based on the valuation inputs used to measure the fair value of the asset. Level 1 inputs are quoted prices in active markets for identical assets; Level 2 inputs are significant other observable inputs; Level 3 inputs are significant unobservable inputs. As of June 30, 2024, the District's investments were as follows:

	Investment Maturities (in Years)					Level Input	Rating
	Fair Value	Less than 1	1-5	6-10	>10		Standard & Poor
Investment Pools, Iowa Schools Joint Investment Trust	\$ 3,028,555	\$ 3,028,555	\$ -	\$ -	\$ -	N/A	AAAm
Treasury Bills	6,187,509	6,187,509	-	-	-	2	AA+
Total	<u>\$ 9,216,064</u>	<u>\$ 9,216,064</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ -</u>		

At June 30, 2024, the District had investments in the Iowa Schools Joint Investment Trust (ISJIT) Diversified Fund which are valued at amortized cost of \$3,028,555 pursuant to Rule 2a-7 under the investment Company Act of 2040. There were no limitations or restrictions on withdrawals of the ISJIT investments.

Credit risk: Credit risk is the risk that an issuer of an investment will not fulfill its obligation to the holder of the investment. The District does not have a policy specific to credit risk. The credit related to the District investments are in the table above.

Muscatine Community School District

Notes to Basic Financial Statements Year Ended June 30, 2024

Note 2. Cash and Investments (Continued)

Custodial credit risk: The District's cash and pooled investments consisted of depository accounts at financial institutions. The District's deposits in banks as of June 30, 2024 were entirely covered by federal depository insurance or by the State Sinking Fund in accordance with Chapter 12C of the Code of Iowa. This Chapter provides for additional assessments against the depositories to insure there will be no loss of public funds. The custodial credit risk for investments is the risk that in the event of the failure of the counterparty to a transaction, a government will not be able to recover the value of its investments of collateral securities that are in the possession of another party. As of June 30, 2024, the District's cash and pooled investments are not exposed to custodial credit risk. The District does not have a separate custodial credit risk policy from state statutes.

Note 3. Interfund Transfers

The detail of interfund transfers for the year ended June 30, 2024 is as follows:

	Transfers In	Transfers Out
Major funds:		
General	\$ 70,000	\$ 1,250,125
Capital Projects	1,245,209	4,385,300
Other nonmajor governmental funds	4,385,300	-
Major fund, enterprise fund, School Nutrition	4,916	70,000
	<u>\$ 5,705,425</u>	<u>\$ 5,705,425</u>

Transfers generally move revenues from the fund statutorily required to collect the resources to the fund statutorily required to expend the resources. Transfers from the Capital Projects Fund to the nonmajor Debt Service Fund are to make principal and interest payments on the District's long-term debt. The transfers from the General Fund to the Capital Projects Fund were transfers of COVID-19 grant funding to fund capital improvements.

Note 4. Capital Assets

Capital assets activity for the year ended June 30, 2024 is as follows:

	Balance Beginning of Year	Increases	Decreases	Balance End of Year
Business-type activities:				
Furniture and equipment	\$ 1,223,253	\$ 1,742,968	\$ 31,903	\$ 2,934,318
Less accumulated depreciation	779,125	58,508	31,903	805,730
Business-type activities capital assets, net	<u>\$ 444,128</u>	<u>\$ 1,684,460</u>	<u>\$ -</u>	<u>\$ 2,128,588</u>

Muscatine Community School District

Notes to Basic Financial Statements
Year Ended June 30, 2024

Note 4. Capital Assets (Continued)

	Balance Beginning of Year	Increases	Decreases	Balance End of Year
Governmental activities:				
Capital assets not being depreciated and amortized:				
Land	\$ 1,543,843	\$ 146,920	\$ -	\$ 1,690,763
Construction in progress	10,355,329	23,325,104	26,779,624	6,900,809
Total capital assets not being depreciated and amortized	11,899,172	23,472,024	26,779,624	8,591,572
Capital assets being depreciated and amortized:				
Buildings	90,481,325	18,007,489	154,665	108,334,149
Improvements other than buildings	7,320,895	7,235,350	-	14,556,245
Furniture and equipment	10,261,930	1,047,012	480,049	10,828,893
Right to use lease equipment	401,514	436,063	401,514	436,063
Right to use subscription asset	207,259	372,007	125,870	453,396
Total capital assets being depreciated and amortized	108,672,923	27,097,921	1,162,098	134,608,746
Less accumulated depreciation and amortization for:				
Buildings	49,132,406	3,395,186	115,999	52,411,593
Improvements other than buildings	3,116,181	355,567	-	3,471,748
Furniture and equipment	7,075,330	864,162	451,771	7,487,721
Right to use lease equipment	305,996	228,769	401,514	133,251
Right to use subscription asset	98,469	145,305	125,870	117,904
Total accumulated depreciation and amortization	59,728,382	4,988,989	1,095,154	63,622,217
Total capital assets being depreciated and amortized, net	48,944,541	22,108,932	66,944	70,986,529
Governmental activities capital assets, net	\$ 60,843,713	\$ 45,580,956	\$ 26,846,568	\$ 79,578,101

Muscatine Community School District

Notes to Basic Financial Statements Year Ended June 30, 2024

Note 4. Capital Assets (Continued)

Depreciation expense was charged by the District as follows:

Governmental activities:	
Instruction	\$ 3,072,586
Support services:	
Instructional staff services	50,803
Administration services	8,618
Operation and maintenance of plant services	1,310,204
Transportation services	546,778
Total governmental activities depreciation and amortization expense	<u>\$ 4,988,989</u>
Business-type activities, food service operations	<u>\$ 58,508</u>

Note 5. Long-Term Liabilities

As summary of changes in long-term liabilities for the year ended June 30, 2024 is as follows:

	Balance Beginning of Year	Additions	Reductions	Balance End of Year	Due Within One Year
Governmental activities:					
Series 2022 Revenue Bonds	\$ 15,000,000	\$ -	\$ 1,905,000	\$ 13,095,000	\$ 1,979,000
Series 2022B Revenue Bonds	10,000,000	-	1,287,000	8,713,000	1,331,000
Compensated absences	102,882	491,898	478,969	115,811	115,811
Early retirement	1,666,729	-	543,067	1,123,662	437,219
Lease obligations	98,457	436,094	227,785	306,766	144,462
IT subscription liability	37,532	-	21,260	16,272	16,272
	<u>\$ 26,905,600</u>	<u>\$ 927,992</u>	<u>\$ 4,463,081</u>	<u>\$ 23,370,511</u>	<u>\$ 4,023,764</u>

Compensated Absences

The compensated absences attributable to the governmental activities will be paid primarily by the General Fund.

Muscatine Community School District

Notes to Basic Financial Statements Year Ended June 30, 2024

Note 5. Long-Term Liabilities (Continued)

Revenue Bonds

The Board of Education has authorized the District to issue \$32,000,000 in one or more series of School Infrastructure Sales, Services and Use Tax Revenue Bonds. On November 8, 2022, the District issued \$15,000,000 in School Infrastructure Sales, Services and Use Tax Revenue Bonds, Series 2022 and on December 28, 2022, the District issued \$10,000,000 in School Infrastructure Sales, Services and Use Tax Revenue Bonds, Series 2022B. The bonds were issued to build, furnish, and equip additions to existing school facilities as well as for demolition, remodeling, improvements and site improvements and the purchase and improvement of grounds. Details of the District's revenue bonds is as follows:

Issuance	Date of Issue	Interest Rates	Final Due Date	Annual Payments	Amount Originally Issued	Amount Outstanding
Series 2022 Revenue Bonds	11/08/22	3.89	6/1/2030	\$1,905,000-\$2,396,000	\$15,000,000	\$ 13,095,000
Series 2022B Revenue Bonds	12/28/22	3.46	6/1/2030	\$1,287,000-\$1,578,000	10,000,000	8,713,000
Total						\$ 21,808,000

A summary of the annual principal and interest requirements to maturity by year is as follows:

Ending June 30,	Interest Rate	Series 2022			Interest Rate	Series 2022B		
		Principal	Interest	Total		Principal	Interest	Total
2025	3.89	\$ 1,979,000	\$ 509,396	\$ 2,488,396	3.46	\$ 1,331,000	\$ 301,470	\$ 1,632,470
2026	3.89	2,057,000	432,412	2,489,412	3.46	1,378,000	255,417	1,633,417
2027	3.89	2,137,000	352,395	2,489,395	3.46	1,425,000	207,738	1,632,738
2028	3.89	2,220,000	269,266	2,489,266	3.46	1,475,000	158,433	1,633,433
2029	3.89	2,306,000	182,908	2,488,908	3.46	1,526,000	107,398	1,633,398
2030	3.89	2,396,000	93,204	2,489,204	3.46	1,578,000	54,599	1,632,599
Total		\$13,095,000	\$ 1,839,581	\$ 14,934,581		\$ 8,713,000	\$ 1,085,055	\$ 9,798,055

The Series 2022 and Series 2022B revenue bonds will be repaid using statewide sales, services and use tax collected in the Capital Projects Fund. The bonds have a first priority lien and are payable solely from the proceeds of the statewide sales, services and use tax revenues received by the District through their maturity in 2030. The bonds are not general obligations of the District. The pledge of statewide sales, services and use tax revenues constitutes approximately 67 percent of the annual statewide sales, services and use tax revenues of the District.

The total principal and interest remaining to be paid on the bonds is \$24,732,636. During the year ended June 30, 2024, principal of \$3,192,000 and interest of \$929,500 was paid on the bonds. Statewide sales, services and use tax revenues were \$6,026,666.

Muscatine Community School District

Notes to Basic Financial Statements Year Ended June 30, 2024

Note 5. Long-Term Liabilities (Continued)

The resolution providing for the issuance of the revenue bonds included the following provisions:

- All proceeds from the statewide sales, services and use tax shall be deposited into the revenue account.
- Monies in the revenue account shall be disbursed to the Sinking Fund and Surplus Revenue Fund in order of priority.
- The required amount to be deposited in the Sinking Fund in any month shall be the equal monthly amount necessary to pay in full the installment of interest coming due on the next interest payment date, plus the equal monthly amount necessary to pay in full the installment of principal coming due on the next succeeding principal payment date until the full amount of such installment is on hand. If for any reason the amount on hand in the Sinking Fund exceeds the required amount, the excess shall be withdrawn and paid into the Reserve Fund.
- The Debt Service Reserve Fund will be funded to a balance equal to the Reserve Fund Requirements. Monies deposited in the Debt Service Reserve Fund shall be used solely for the purpose of paying principal and interest on the Bonds or Parity Obligations.
- All money thereafter remaining in the Revenue Fund at the close of each month may be used to pay for other expenses of the Project, pay or redeem the Bonds or obligations or for any lawful purpose.

As of June 30, 2024, the District had \$343,405 in the required resolution Sinking Fund accounts.

Early Retirement

The District offered a voluntary early retirement plan in fiscal year 2023 and 2022 to its certified employees.

2023 Plan:

The plan approved in fiscal year 2023 required eligible employees to be at least age 55 and 25 years of continuous service to the District. The eligible employees must be a certified teacher/nurse with a full-time equivalency of .75 FTE or be employed by the District in any capacity other than the certified teacher/nurse and considered full-time. The early retirement incentive is .04 times base annual earnings. For the contract year immediately preceding the employee's effective date of retirement times the number of years service not to exceed 33 years. The maximum aggregate payment over five years will not exceed \$50,000.

2022 Plan:

Eligible employees were required to be at least age 55 and employees must have completed 15 years of service to the District. Employees completed an application which was required to be approved by the Board of Education. The early retirement incentive for each eligible employee is equal to \$10,000 per year for five years.

As of June 30, 2024, the District had obligations to 70 participants with a total liability of \$1,123,662. Actual early retirement expenditures for the year ended June 30, 2024 totaled \$543,067. Early retirement obligations are generally liquidated by the Management Fund or the General Fund.

Early retirement is recorded as a long-term liability of the Governmental Activities in the government-wide financial statements.

Muscatine Community School District**Notes to Basic Financial Statements
Year Ended June 30, 2024****Note 5. Long-Term Liabilities (Continued)****Equipment Leases**

The District has entered into two leases for copier equipment. The leases expire June 30, 2027. The details of the leases are as follows:

Year Ending June 30,	Gordon Flesch Copier Lease 1			Gordon Flesch Copier Lease 2		
	Principal	Interest	Total	Principal	Interest	Total
2025	\$ 17,384	\$ 1,015	\$ 18,399	\$ 127,078	\$ 7,419	\$ 134,497
2026	18,002	397	18,399	131,598	2,899	134,497
2027	1,529	4	1,533	11,175	33	11,208
Total	\$ 36,915	\$ 1,416	\$ 38,331	\$ 269,851	\$ 10,351	\$ 280,202

Subscription-Based Information Technology Arrangements (SBITA)

The District has entered into subscription based information technology arrangements (SBITA). The arrangements expire June 30, 2025. The details of the arrangements are as follows:

Year Ending June 30,	Naviance		
	Principal	Interest	Total
2025	\$ 16,272	\$ 644	\$ 16,916
Total	\$ 16,272	\$ 644	\$ 16,916

As of June 30, 2024, the District did not exceed its legal debt margin computed as follows:

Total assessed valuation	\$ 1,611,166,333
Debt limit, 5% of total assessed valuation	\$ 80,558,317
Amount of debt applicable to debt limit:	
Lease obligations	306,766
IT subscription liability	16,272
Total indebtedness	323,038
Legal debt margin	\$ 80,235,279

Muscatine Community School District

Notes to Basic Financial Statements Year Ended June 30, 2024

Note 6. Postemployment Benefits Other Than Pensions (OPEB)

General Information about the OPEB Plan

Plan description: The District's defined benefit OPEB plan, Muscatine School District Postemployment Plan Other Than Pensions (the Plan), provides postemployment benefits for eligible participants enrolled in its plans. The Plan is a single employer defined benefit OPEB plan administered by the District. Under Chapter 509A.13 of the Code of Iowa, "Group Insurance for Public Employees," If a governing body has procured insurance for its employees, the governing body shall allow its employees who retired before the age of sixty-five years of age to continue participation in the group plan at the employee's own expense until the employee attains sixty-five years of age. No assets are accumulated in a trust that meets the criteria in paragraph 4 of Statement No. 75.

Benefits provided: The Plan provides medical and prescription drug benefits for retirees and their spouses. Participants must be age 55 or older at retirement with 15 or more years of service with the District. The medical/prescription drug coverage is provided through a fully insured plan with United Healthcare of River Valley. Retirees under 65 pay the same premium for the medical/prescription drug benefit as active employees.

The full monthly premium rates as of January 1, 2023 for each plan are as shown below:

Rate Tier	\$500 PPO	HDHP
Single	\$ 852	\$ 697
Spouse	764	623

Employees covered by benefit terms: At June 30, 2024, the following employees were covered by the benefit terms:

Inactive employees or beneficiaries currently receiving benefit payments	28
Inactive employees entitled to but not yet receiving benefit payments	-
Active employees	734
	<u>762</u>

Muscatine Community School District

Notes to Basic Financial Statements Year Ended June 30, 2024

Note 6. Postemployment Benefits Other Than Pensions (OPEB) (Continued)

Total OPEB Liability

The District's total OPEB liability of \$12,511,494 was measured as of June 30, 2024 and was determined by an actuarial valuation as June 30, 2024.

	Total OPEB Liability
Balance at July 1, 2023	\$ 13,012,671
Changes for the year:	
Service cost	963,816
Interest	527,948
Changes of benefit terms	-
Differences between expected and actual experience	(1,443,594)
Changes in assumptions or other inputs	(90,476)
Benefit payments	(458,871)
Other changes	-
Net changes	(501,177)
Balance at June 30, 2024	\$ 12,511,494

There were no changes as a result of benefit terms. Change in assumptions include the discount rate was changed from 4.13% in 2023 to 4.21% in 2024.

Actuarial assumptions and other inputs: The total OPEB liability in the June 30, 2024 actuarial valuation was determined using the following actuarial assumptions and other inputs, applied to all periods included in the measurement unless otherwise specified:

Inflation	3.00% per annum
Salary increases	4.00% per annum
Discount rate	4.21% per annum
Retirees' share of benefit-related costs	100%
Health care cost trend rate	\$500 PPO Plan - 5.50% High deductible Health Plan - 5.50% Ultimate Health Care Cost Trend Rate - 4.50%

The discount rate was based on the S&P Municipal Bond 20 Year High Grade Rate Index. Mortality rates were based on the RP-2014 generational table scaled using MP-17 and applied on a gender-specific basis. The actuarial assumptions used in the June 30, 2024 valuation were based on the results of an actuarial experience study for the period 2010–2022.

Sensitivity of the total OPEB liability to changes in the discount rate: The following presents the total OPEB liability of the District, as well as what the District's total OPEB liability would be if it were calculated using a discount rate that is 1 percentage point lower or 1 percentage point higher than the current discount rate:

	1% Decrease	Discount Rate	1% Increase
	3.21%	4.21%	5.21%
Total OPEB liability	\$ 13,483,265	\$ 12,511,494	\$ 11,613,075

Muscatine Community School District

Notes to Basic Financial Statements Year Ended June 30, 2024

Note 6. Postemployment Benefits Other Than Pensions (OPEB) (Continued)

Sensitivity of the total OPEB liability to changes in the healthcare cost trend rates: The following presents the total OPEB liability of the District, as well as what the District's total OPEB liability would be if it were calculated using healthcare cost trend rates that are 1 percentage point lower or 1-percentage point higher than the current healthcare cost trend rates.

	1% Decrease (4.50% decreasing to 3.50%)	Healthcare Cost Trend Rates (5.50% decreasing to 4.50%)	1% Increase (6.50% decreasing to 5.50%)
Total OPEB liability	\$ 11,229,294	\$ 12,511,494	\$ 14,017,881

For the year ended June 30, 2024, the District recognized OPEB expense of \$984,743.

At June 30, 2024, the District reported deferred outflows of resources and deferred inflows of resources related to OPEB from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual experience	\$ -	\$ (2,017,779)
Changes of assumptions or other inputs	1,390,064	(2,602,509)
Net difference between projected and actual investments	-	-
Total	\$ 1,390,064	\$ (4,620,288)

Amounts reported as deferred outflows of resources and deferred inflows of resources related to OPEB will be recognized in OPEB expense as follows:

Year ended June 30:	
2025	\$ (507,021)
2026	(507,021)
2027	(507,021)
2028	(504,121)
2029	(502,611)
Thereafter	(702,429)
	\$ (3,230,224)

Note 7. Pension and Retirement Benefits

Plan Description – IPERS membership is mandatory for employees of the District, except for those covered by another retirement system. Employees of the District are provided with pensions through a cost-sharing multiple employer defined benefit pension plan administered by Iowa Public Employees' Retirement System (IPERS). IPERS issues a stand-alone financial report which is available to the public by mail at 7401 Register Drive P.O. Box 9117, Des Moines, Iowa 50306-9117 or at www.ipers.org.

IPERS benefits are established under Iowa Code chapter 97B and the administrative rules thereunder. Chapter 97B and the administrative rules are the official plan documents. The following brief description is provided for general informational purposes only. Refer to the plan documents for more information.

Muscatine Community School District

Notes to Basic Financial Statements Year Ended June 30, 2024

Note 7. Pension and Retirement Benefits (Continued)

Pension Benefits – A regular member may retire at normal retirement age and receive monthly benefits without an early-retirement reduction. Normal retirement age is age 65, any time after reaching age 62 with 20 or more years of covered employment, or when the member's years of service plus the member's age at the last birthday equals or exceeds 88, whichever comes first. These qualifications must be met on the member's first month of entitlement to benefits. Members cannot begin receiving retirement benefits before age 55. The formula used to calculate a Regular member's monthly IPERS benefit includes:

- A multiplier based on years of service.
- The member's highest five-year average salary, except members with service before June 30, 2012, will use the highest three-year average salary as of that date if it is greater than the highest five-year average salary.

If a member retires before normal retirement age, the member's monthly retirement benefit will be permanently reduced by an early-retirement reduction. The early-retirement reduction is calculated differently for service earned before and after July 1, 2012. For service earned before July 1, 2012, the reduction is 0.25 percent for each month that the member receives benefits before the member's earliest normal retirement age. For service earned starting July 1, 2012, the reduction is 0.50 percent for each month that the member receives benefits before 65.

Generally, once a member selects a benefit option, a monthly benefit is calculated and remains the same for the rest of the member's lifetime. However, to combat the effects of inflation, retirees who began receiving benefits prior to July 1990 receive a guaranteed dividend with their regular November benefit payments.

Disability and Death Benefits – A vested member who is awarded federal Social Security disability or Railroad Retirement disability benefits is eligible to claim IPERS benefits regardless of age. Disability benefits are not reduced for early retirement. If a member dies before retirement, the member's beneficiary will receive a lifetime annuity or a lump-sum payment equal to the present actuarial value of the member's accrued benefit or calculated with a set formula, whichever is greater. When a member dies after retirement, death benefits depend on the benefit option the member selected at retirement.

Contributions – Contribution rates are established by IPERS following the annual actuarial valuation, which applies IPERS' Contribution Rate Funding Policy and Actuarial Amortization Method. State statute limits the amount rates can increase or decrease each year to 1 percentage point. IPERS Contribution Rate Funding Policy requires that the actuarial contribution rate be determined using the "entry age normal" actuarial cost method and the actuarial assumptions and methods approved by the IPERS Investment Board. The actuarial contribution rate covers normal cost plus the unfunded actuarial liability payment based on a 30-year amortization period. The payment to amortize the unfunded actuarial liability is determined as a level percentage of payroll, based on the Actuarial Amortization Method adopted by the Investment Board.

In fiscal year 2024, pursuant to the required rate, Regular members contributed 6.29 percent of covered payroll and the District contributed 9.44 percent of covered payroll, for a total rate of 15.73 percent.

The District's contributions to IPERS for the year ended June 30, 2024 were \$3,516,256.

Muscatine Community School District

Notes to Basic Financial Statements Year Ended June 30, 2024

Note 7. Pension and Retirement Benefits (Continued)

Net Pension Liabilities, Pension Expense, and Deferred Outflows of Resources and Deferred Inflows of Resources Related to Pensions – At June 30, 2024, the District reported a liability of \$18,753,046 for its proportionate share of the net pension liability. The net pension liability was measured as of June 30, 2023, and the total pension liability used to calculate the net pension liability was determined by an actuarial valuation as of that date. The District's proportion of the net pension liability was based on the District's share of contributions to the pension plan relative to the contributions of all IPERS participating employers. At June 30, 2023, the District's proportion was 0.415473 percent, which was a decrease of 0.015311 from its proportion measured as of June 30, 2022.

For the year ended June 30, 2024, the District recognized pension expense of \$930,853.

At June 30, 2024, the District reported deferred outflows of resources and deferred inflows of resources related to pensions from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual experience	\$ 1,586,533	\$ 77,081
Changes of assumptions	-	297
Net difference between projected and actual earnings on pension plan investments	1,736,759	-
Changes in proportion and differences between District contributions and proportionate share of contributions	-	1,515,272
District contributions subsequent to the measurement date	3,516,256	-
Total	<u>\$ 6,839,548</u>	<u>\$ 1,592,650</u>

\$3,516,256 reported as deferred outflows of resources related to pensions resulting from the District contributions subsequent to the measurement date will be recognized as a reduction of the net pension liability in the year ended June 30, 2025.

Other amounts reported as deferred outflows of resources and deferred inflows of resources related to pensions will be recognized in pension expense as follows:

Year Ended June 30,	
2025	\$ (1,043,235)
2026	(1,852,322)
2027	3,923,133
2028	617,979
2029	85,087
2030	<u>\$ 1,730,642</u>

There were no non-employer contributing entities to IPERS.

Muscatine Community School District

Notes to Basic Financial Statements Year Ended June 30, 2024

Note 7. Pension and Retirement Benefits (Continued)

Actuarial Assumptions – The total pension liability in the June 30, 2023 actuarial valuation was determined using the following actuarial assumptions, applied to all periods included in the measurement, as follows:

Rate of Inflation (effective June 30, 2017)	2.60 percent per annum
Salary Increases (effective June 30, 2017)	3.25 percent to 16.25 percent, average, including inflation. Rates vary by membership group.
Long-term Investment rate of return (effective June 30, 2017)	7.00 percent, compounded annually, net of investment expense, including inflation.
Wage growth (effective June 30, 2017)	3.25 percent per annum, based on 2.60 percent inflation and 0.65 percent real wage inflation

The actuarial assumptions used in the June 30, 2023 valuation were based on the results of a quadrennial experience study covering the period of July 1, 2017 through June 30, 2021. Mortality rates used in the 2023 valuation were based on the PubG-2010 mortality tables with future mortality improvements modeled using Scale MP-2021.

The long-term expected rate of return on pension plan investments was determined using a building-block method in which best-estimate ranges of expected future real rates (expected returns, net of pension plan investment expense and inflation) are developed for each major asset class. These ranges are combined to produce the long-term expected rate of return by weighting the expected future real rates of return by the target asset allocation percentage and by adding expected inflation.

The target allocation and best estimates of arithmetic real rates of return for each major asset class are summarized in the following table:

Asset Class	Asset Allocation	Long-Term Expected Real Rate of Return
Domestic equity	21.0%	4.56%
International equity	16.5%	6.22%
Global smart beta equity	5.0%	5.22%
Core plus fixed income	23.0%	2.69%
Public credit	3.0%	4.38%
Cash	1.0%	1.59%
Private equity	17.0%	10.44%
Private real assets	9.0%	3.88%
Private credit	4.5%	4.60%
Total	100%	

Muscatine Community School District

Notes to Basic Financial Statements Year Ended June 30, 2024

Note 7. Pension and Retirement Benefits (Continued)

Discount Rate – The discount rate used to measure the total pension liability was 7.0 percent. The projection of cash flows used to determine the discount rate assumed employee contributions will be made at the contractually required rate and contributions from the District will be made at contractually required rates, actuarially determined. Based on those assumptions, the pension plan's fiduciary net position was projected to be available to make all projected future benefit payments of current active and inactive employees. Therefore, the long-term expected rate of return on pension plan investments was applied to all periods of projected benefit payments to determine the total pension liability.

Sensitivity of the District's Proportionate Share of the Net Pension Liability to Changes in the Discount Rate – The following presents the District's proportionate share of the net pension liability calculated using the discount rate of 7.0 percent, as well as what the District's proportionate share of the net pension liability would be if it were calculated using a discount rate that is 1-percentage-point lower (6.0 percent) or 1-percentage-point higher (8.0 percent) than the current rate.

	1% Decrease (6.0%)	Discount Rate (7.0%)	1% Increase (8.0%)
District's proportionate share of the net pension liability	\$ 39,873,155	\$ 18,753,046	\$ 1,054,047

Pension Plan Fiduciary Net Position – Detailed information about the pension plan's fiduciary net position is available in the separately issued IPERS financial report which is available on IPERS' website at www.ipers.org.

Payables to the Pension Plan – At June 30, 2024, the District reported payables to the defined benefit pension plan of \$280,844 for legally required employer contributions and \$187,130 for legally required employee contributions which had been withheld from employee wages but not yet remitted to IPERS.

Note 8. Risk Management

Muscatine Community School District is exposed to various risks of loss related to torts; theft; damage to and destruction of assets; errors and omissions; injuries to employees; and natural disasters. These risks are covered by the purchase of commercial insurance. The District assumes liability for any deductibles and claims in excess of coverage limitations. Settled claims from these risks have not exceeded commercial insurance coverage in any of the past three fiscal years.

The District has established the internal service fund to account for premium and claim payments for a self-insured group health and dental insurance plan for the District's employees to meet potential losses from medical claims. The District purchases commercial insurance to provide for aggregate stop-loss coverage for the excess of 125 percent of estimated claims for the plan year and specific stop-loss reinsurance coverage for the excess \$100,000 in insured claims for any one covered individual. Settled claims have not exceeded the commercial coverage in any of the past three calendar years.

Payments are made to the plan based on the actuarial estimates of amounts needed to pay prior and current year claims and to establish a reserve for catastrophic losses. Liabilities are reported when it is probable that a loss has occurred and the amount of the loss can be reasonably estimated. Claims payable include all known claims and an amount for claims that have been incurred but not reported (IBNR). Claim liabilities are estimated by considering the effects of inflation, recent claims settlement trends, including frequency and amount of pay-outs and other economic and social factors.

The plan receives an annual actuarial opinion and an annual report is filed with the State of Iowa Insurance Division.

Muscatine Community School District

Notes to Basic Financial Statements Year Ended June 30, 2024

Note 8. Risk Management (Continued)

Changes in the balances of claims payable for health and dental during the years ending are as follows:

	2024	2023
Claims payable, beginning of year	\$ 650,000	\$ 657,000
Incurring claims (including IBNR and changes in estimates)	6,387,381	7,085,009
Claim payments	6,416,381	7,092,009
Claims payable, end of year	<u>\$ 621,000</u>	<u>\$ 650,000</u>

Note 9. Area Education Agency

The District is required by the Code of Iowa to budget for its share of special education support, media and educational services provided through the area education agency. The District's actual amount for this purpose totaled \$2,225,191 for the year ended June 30, 2024 and is recorded in the General Fund.

Note 10. Categorical Funding

The District's fund balance restricted for categorical funding as of June 30, 2024 is comprised of the following programs:

Program	Amount
Home school assistance program	\$ 229,132
Teacher leadership and compensation system	240,121
Teacher salary supplement	13,507
Successful progression for early readers	104,262
Professional development	21,594
Four-year-old preschool	229,392
Gifted and talented	217,601
Total	<u><u>\$ 1,055,609</u></u>

Note 11. Commitments

The District has entered into contracts totaling \$37,552,870 for various building renovations. As of June 30, 2024, costs of \$26,268,655 had been incurred against the contracts. The balance of \$11,284,215 remaining as of June 30, 2024 will be paid as work on the projects progress.

Note 12. 28E Agreement

The District participates in a Chapter 28E agreement with Muscatine Agricultural Learning Center, the Friends of the Muscatine FFA and Eastern Iowa Community College. The agreement is to remain in effect for a minimum period of ten years. In the event the Muscatine Agricultural Learning Center is dissolved, there is a plan to split the remaining balance and assets owned between the three partners in the agreement.

Muscatine Community School District

Notes to Basic Financial Statements
Year Ended June 30, 2024

Note 12. 28E Agreement (Continued)

In accordance with the agreement, the Muscatine Agricultural Learning Center is to own and operate the facility to provide educational opportunities for students of Eastern Iowa Community College and the Muscatine Community School District. The Friends of the Muscatine FFA obtained financial support for the construction of the facility and have shared advisory and governance responsibilities with the other members of the agreement. Eastern Iowa Community College and the Muscatine Community School District provided funds for the construction of the facility as well as be a program and tenant partner of the learning center.

Note 13. Tax Abatements

Governmental Accounting Standards Board Statement No. 77 defines tax abatements as a reduction in tax revenues that results from an agreement between one or more governments and an individual or entity in which (a) one or more governments promise to forgo tax revenues to which they are entitled and (b) the individual or entity promises to take a specific action after the agreement has been entered into that contributes to economic development or otherwise benefits the governments or the citizens of those governments. Property tax revenues of the District were reduced by the following amounts for the year ended June 30, 2024 under tax abatement agreements of other entities:

Entity	Tax Abatement Program	Amount of Tax Abated
City of Muscatine, Iowa	Urban renewal and economic development projects	\$ 476,672
Muscatine County	Urban renewal and economic development projects	39,464

The State of Iowa reimburses the District an amount equivalent to the increment of valuation on which property tax is divided times \$5.40 per \$1,000 of taxable valuation. For the year ended June 30, 2024, this reimbursement amounted to \$271,222.

Note 14. Governmental Accounting Standards Board (GASB) Statements

The District adopted the following statement during the year ended June 30, 2024:

GASB Statement No. 100, *Accounting Changes and Error Corrections- An Amendment of GASB Statement No. 62*, issued June 2022. The primary objective of this Statement is to enhance accounting and financial reporting requirements for accounting changes and error corrections to provide more understandable, reliable, relevant, consistent, and comparable information for making decisions or assessing accountability.

The above statement did not have a material impact on the District's Financial Statements.

As of June 30, 2024, GASB had issued several statements not yet required to be implemented by the District. The Statements which might impact the District are as follows:

GASB Statement No. 101, *Compensated Absences*, issued June 2022, will be effective for the District beginning with its fiscal year ending June 30, 2025. The objective of this Statement is to better meet the information needs of financial statement users by updating the recognition and measurement guidance for compensated absences. That objective is achieved by aligning the recognition and measurement guidance under a unified model and by amending certain previously required disclosures. This Statement requires that liabilities for compensated absences be recognized for (1) leave that has not been used and (2) leave that has been used but not yet paid in cash or settled through noncash means.

Muscatine Community School District

Notes to Basic Financial Statements Year Ended June 30, 2024

Note 14. Governmental Accounting Standards Board (GASB) Statements (Continued)

A liability should be recognized for leave that has not been used if (a) the leave is attributable to services already rendered, (b) the leave accumulates, and (c) the leave is more likely than not to be used for time off or otherwise paid in cash or settled through noncash means. With respect to financial statements prepared using the current financial resources measurement focus, this Statement requires that expenditures be recognized for the amount that normally would be liquidated with expendable available financial resources. This Statement amends the existing requirements to disclose the gross increases and decreases in a liability for compensated absences to allow governments to disclose only the net change in the liability (As long as they identify it as a net change). In addition, governments are no longer required to disclose which governmental funds typically have been used to liquidate the liability for compensated absences.

GASB Statement No. 102, *Certain Risk Disclosures*, issued December 2023, will be effective for the District beginning with its fiscal year ending June 30, 2025. The objective of this Statement is to provide users of government financial statements with information about risks related to a government's vulnerabilities due to certain concentrations or constraints that is essential to their analyses for making decisions or assessing accountability. A government should provide information in sufficient detail to enable users of financial statements to understand the nature of the circumstances disclosed and the government's vulnerability to the risk of a substantial impact associated with the concentration or constraint. The disclosures should include descriptions of the following: (a) The concentration or constraint (b) Each event associated with the concentration or constraint that could cause a substantial impact if the event had occurred or had begun to occur prior to the issuance of the financial statements (c) Actions taken by the government prior to the issuance of the financial statements to mitigate the risk.

GASB Statement No. 103, *Financial Reporting Model Improvements*, issued April 2024, will be effective for the District beginning with its fiscal year ending June 30, 2026. The objective of this statement is to improve key components of the financial reporting model to enhance its effectiveness in providing information that is essential for decision making and assessing a government's accountability. This statement also addresses certain application issues.

GASB Statement No. 104, *Disclosure of Certain Capital Assets*, issued September 2024, will be effective for the District beginning with its fiscal year ending June 30, 2026. The objective of this statement is to provide users of government financial statements with essential information about certain types of capital assets. This Statement requires certain types of capital assets to be disclosed separately in the capital assets note disclosures required by Statement 34. Lease assets recognized in accordance with Statement No. 87, *Leases*, and intangible right-to-use assets recognized in accordance with Statement No. 94, *Public-Private and Public-Public Partnerships and Availability Payment Arrangements*, should be disclosed separately by major class of underlying asset in the capital as-sets note disclosures. Subscription assets recognized in accordance with Statement No. 96, *Subscription-Based Information Technology Arrangements*, also should be separately disclosed. In addition, this Statement requires intangible assets other than those three types to be disclosed separately by major class. This Statement also requires additional disclosures for capital assets held for sale

The District's management has not yet determined the effect these Statements will have on the District's financial statements.

Note 15. Subsequent Event

On August 26, 2024, the Board of Education approved the sale of \$4,048,000 School Infrastructure Sales, Services, and Use Tax Revenue Bonds Series 2024. The bonds are being issued to build, furnish and equip additions to existing school facilities. The bonds have an interest rate of 3.7 percent with interest due semi-annually each December 1 and June 1 commencing June 1, 2025. The bonds require annual principal payments ranging from \$194,000 to \$3,000,000 each June 1 commencing June 1, 2026 until maturity on June 1, 2031.

Required Supplementary Information

Muscatine Community School District

**Required Supplementary Information
Schedule of Changes in the District's Total OPEB
Liability and Related Ratios
Last Seven Fiscal Years**

	2024	2023
Total OPEB liability		
Changes for the year:		
Service cost	\$ 963,816	\$ 950,683
Interest	527,948	487,110
Changes of benefit terms	-	-
Differences between expected and actual experience	(1,443,594)	-
Changes in assumptions or other inputs	(90,476)	(40,702)
Benefit payments	(458,871)	(588,380)
Other changes	-	-
Net changes in total OPEB liability	(501,177)	808,711
Total OPEB liability - beginning	13,012,671	12,203,960
Total OPEB liability - ending	<u>\$ 12,511,494</u>	<u>\$ 13,012,671</u>
Covered employee payroll	\$ 31,198,913	\$ 36,126,238
Total OPEB liability as a percentage of covered employee payroll	40%	36%

Notes to Schedule:

Changes of benefit terms:

There were no changes as a result of changes in benefit terms.

Changes of assumption:

Changes of assumptions or other inputs reflect a change in the discount rate. The following are the discount rates used in each period:

4.21%	4.13%
-------	-------

No assets are accumulated in a trust that meets the criteria in paragraph 4 of Statement No. 75

Note: The schedule is intended to present information for ten years.
Information prior to 2018 is not available.

2022	2021	2020	2019	2018
\$ 1,275,974	\$ 1,105,503	\$ 1,055,742	\$ 963,578	\$ 895,100
307,748	333,441	326,379	316,093	295,308
-	-	-	-	-
(930,129)	-	(304,474)	-	-
(2,378,099)	543,543	48,935	166,039	111,193
(376,796)	(425,284)	(357,516)	(387,137)	(529,164)
-	-	102,046	17,642	(145,967)
(2,101,302)	1,557,203	871,112	1,076,215	626,470
14,305,262	12,748,059	11,876,947	10,800,732	10,174,262
\$ 12,203,960	\$ 14,305,262	\$ 12,748,059	\$ 11,876,947	\$ 10,800,732
\$ 34,733,055	\$ 30,714,996	\$ 30,714,996	\$ 31,689,758	\$ 31,689,758
35%	47%	42%	37%	34%
4.09%	2.18%	2.66%	2.79%	2.98%

Muscatine Community School District

Required Supplementary Information

**Budgetary Comparison Schedule of Revenues, Expenditures/Expenses and Changes in Balances -
Budget and Actual - All Governmental Funds and Enterprise Fund
Year Ended June 30, 2024**

	Governmental Funds - Actual	Enterprise Fund - Actual
Revenues:		
Local sources	\$ 25,032,902	\$ 694,171
State sources	43,870,111	21,673
Federal sources	5,703,652	3,182,849
Total revenues	74,606,665	3,898,693
Expenditures/expenses:		
Instruction	39,140,769	-
Support services	23,781,671	-
Noninstructional programs	55,105	3,830,872
Other expenditures	31,900,273	-
Total expenditures/expenses	94,877,818	3,830,872
Excess (deficiency) of revenues over (under) expenditures/expenses	(20,271,153)	67,821
Other financing sources (uses):		
Transfers, net	65,084	(65,084)
Capital contributions	-	1,719,217
Proceeds from sale of capital assets	41,349	-
Issuance of long-term debt	436,094	-
Total other financing sources (uses)	542,527	1,654,133
Net change in fund balance	(19,728,626)	1,721,954
Fund balance/net position, beginning of year	49,968,600	1,304,930
Fund balance/net position, end of year	\$ 30,239,974	\$ 3,026,884

See Notes to Required Supplementary Information.

Total Actual		Budgeted Amounts		Final to Actual
		Original	Final	Variance
\$	25,727,073	\$ 21,401,101	\$ 21,401,101	\$ 4,325,972
	43,891,784	42,417,453	42,417,453	1,474,331
	8,886,501	9,248,012	9,248,012	(361,511)
	78,505,358	73,066,566	73,066,566	5,438,792
	39,140,769	42,085,746	42,585,746	3,444,977
	23,781,671	22,218,905	22,718,905	(1,062,766)
	3,885,977	4,154,269	4,404,269	518,292
	31,900,273	30,595,502	32,095,502	195,229
	98,708,690	99,054,422	101,804,422	3,095,732
	(20,203,332)	(25,987,856)	(28,737,856)	8,534,524
	-	-	-	-
	1,719,217	-	-	1,719,217
	41,349	26,738	26,738	14,611
	436,094	317,890	317,890	118,204
	2,196,660	344,628	344,628	1,852,032
	(18,006,672)	\$ (25,643,228)	\$ (28,393,228)	\$ 10,386,556
	51,273,530			
\$	33,266,858			

Muscatine Community School District

Required Supplementary Information

Schedule of the District's Proportionate Share of the Net Pension Liability

Iowa Public Employees' Retirement System

Last Ten Fiscal Years

	2024*	2023*	2022*	2021*
District's proportion of the net pension liability	0.415473%	0.430784%	-0.176831%	0.443829%
District's proportionate share of the net pension liability	\$ 18,753,046	\$ 16,275,655	\$ 610,468	\$ 31,177,801
District's covered payroll	\$ 34,486,529	\$ 34,691,146	\$ 35,324,557	\$ 35,225,232
District's proportionate share of the net pension liability as a percentage of its covered payroll	54.38%	46.92%	1.73%	88.51%
Plan fiduciary net pension as a percentage of the total pension liability	90.13%	91.40%	100.81%	82.90%

*The amounts presented for each fiscal year were determined as of the prior fiscal-year end.

See Notes to Required Supplementary Information.

2020*	2019*	2018*	2017*	2016*	2015*
0.461709%	0.467878%	0.473695%	0.481257%	0.494997%	0.503636%
\$ 26,735,971	\$ 29,608,449	\$ 31,544,108	\$ 30,287,033	\$ 24,455,266	\$ 19,973,711
\$ 35,137,791	\$ 35,169,191	\$ 35,364,277	\$ 34,536,797	\$ 33,911,814	\$ 32,956,000
76.09%	84.19%	89.20%	87.69%	72.11%	60.61%
85.45%	83.62%	82.21%	81.82%	85.19%	87.61%

Muscatine Community School District

Required Supplementary Information

Schedule of District Contributions (in Thousands)

Iowa Public Employees' Retirement System

Last Ten Fiscal Years

	2024	2023	2022	2021
Statutorily required contribution	\$ 3,516	\$ 3,444	\$ 3,275	\$ 3,336
Contributions in relation to the statutorily required contribution	\$ (3,516)	\$ (3,444)	\$ (3,275)	\$ (3,336)
Contribution deficiency (excess)	\$ -	\$ -	\$ -	\$ -
District's covered payroll	\$ 37,246	\$ 36,487	\$ 34,691	\$ 35,235
Contributions as a percentage of covered payroll	9.44%	9.44%	9.44%	9.47%

See Notes to Required Supplementary Information.

2020		2019		2018		2017		2016		2015	
\$	3,325	\$	3,317	\$	3,141	\$	3,158	\$	3,084	\$	3,028
\$	(3,325)	\$	(3,317)	\$	(3,141)	\$	(3,158)	\$	(3,084)	\$	(3,028)
\$	-	\$	-	\$	-	\$	-	\$	-	\$	-
\$	35,225	\$	35,138	\$	35,169	\$	35,364	\$	34,537	\$	33,912
	9.44%		9.44%		8.93%		8.93%		8.93%		8.93%

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Muscatine Community School District

Notes to Required Supplementary Information

Note 1. Budgets and Budgetary Accounting

This budgetary comparison is presented as required supplementary information in accordance with Government Accounting Standards Board Statement No. 41 for governments with significant budgetary perspective differences resulting from not being able to present budgetary comparisons for the General Fund and each major special revenue fund.

In accordance with the Code of Iowa, the Board of Education annually adopts a budget following required public notice and hearing for all funds except private-purpose trust, internal service and custodial funds. The budget may be amended during the year utilizing similar statutorily prescribed procedures. The District's budget is prepared in accordance with generally accepted accounting principles.

Formal and legal budgetary control for the certified budget is based upon four major classes of expenditures known as functional areas, not by fund or fund type. These four functional areas are instruction, support services, noninstructional programs and other expenditures. Although the budget document presents functional area expenditures or expenses by fund, the legal level of control is at the aggregated functional level, not at the fund or fund type level. The Code of Iowa also provides the District expenditures in the General Fund may not exceed the amount authorized by the school finance formula. There was one amendment to the original budget during the year to increase expenditures \$2,750,000.

The District exceeded the amended budget in the support services function.

Note 2. Iowa Public Employees' Retirement System Pension Liability

There are no significant changes in benefit terms.

Changes of assumptions:

The 2023 valuation incorporated the following refinements after a quadrennial experience study:

- Changed mortality assumptions to the PubG-2010 mortality tables with mortality improvements modeled using Scale MP-2021.
- Adjusted retirement rates for Regular members.
- Lowered disability rates for Regular members.
- Adjusted termination rates for all membership groups.

The 2018 valuation implemented the following refinements as a result of a demographic assumption study dated June 28, 2018:

- Changed mortality assumptions to the RP-2014 mortality tables with mortality improvements modeled using Scale MP-2017
- Adjusted retirement rates
- Lowered disability rates
- Adjusted the probability of a vested Regular member electing to receive a deferred benefit.
- Adjusted the merit component of the salary increase assumption.

The 2017 valuation implemented the following refinements as a result of an experience study dated March 24, 2017:

- Decreased the inflation assumption from 3.00% to 2.60%.
- Decreased the assumed rate of interest on member accounts from 3.75% to 3.50% per year.
- Decreased the discount rate from 7.50% to 7.00%.
- Decreased the wage growth assumption from 4.00% to 3.25%.
- Decreased the payroll growth assumption from 4.00% to 3.25%.

Muscatine Community School District

**Combining Balance Sheet
Nonmajor Governmental Funds
June 30, 2024**

	Special Revenue			
	Management	Student	Debt	
	Levy	Activity	Service	Total
Assets				
Cash and pooled investments	\$ 1,581,342	\$ 273,487	\$ 343,405	\$ 2,198,234
Receivables:				
Property tax:				
Current year	12,560	-	-	12,560
Succeeding year	1,500,000	-	-	1,500,000
Accounts	1,646	-	-	1,646
Due from other governments	9,037	-	-	9,037
Total assets	\$ 3,104,585	\$ 273,487	\$ 343,405	\$ 3,721,477
Liabilities, Deferred Inflows of Resources, and Fund Balances				
Liabilities:				
Accounts payable	\$ 20,982	\$ 20,847	\$ -	\$ 41,829
Total liabilities	20,982	20,847	-	41,829
Deferred inflows of resources, Unavailable revenue-succeeding year property tax	1,500,000	-	-	1,500,000
Fund balance:				
Restricted	1,583,603	252,640	343,405	2,179,648
Total fund balances	1,583,603	252,640	343,405	2,179,648
Total liabilities, deferred inflows of resources and fund balances	\$ 3,104,585	\$ 273,487	\$ 343,405	\$ 3,721,477

Muscatine Community School District

Combining Statement of Revenues, Expenditures and Changes in Fund Balances

Nonmajor Governmental Funds

Year Ended June 30, 2024

	Special Revenue			
	Management	Student	Debt	
	Levy	Activity	Service	Total
Revenues:				
Local sources:				
Property tax	\$ 1,685,258	\$ -	\$ -	\$ 1,685,258
Utility excise tax	16,901	-	-	16,901
Other tax	3,580	-	-	3,580
Investment earnings	51,050	16,727	-	67,777
Other	10,505	531,638	-	542,143
State sources	33,395	-	-	33,395
Total revenues	1,800,689	548,365	-	2,349,054
Expenditures:				
Current:				
Instruction	487,869	566,321	-	1,054,190
Support services:				
Student services	6,724	-	-	6,724
Instructional services	7,308	-	-	7,308
Administration services	93,113	-	-	93,113
Operation and maintenance of plant services	941,235	9,590	-	950,825
Transportation services	135,432	4,690	-	140,122
Noninstructional programs	55,105	-	-	55,105
Debt service:				
Principal	-	-	3,441,045	3,441,045
Interest	-	-	944,308	944,308
Total expenditures	1,726,786	580,601	4,385,353	6,692,740
Excess (deficiency) of revenues over (under) expenditures	73,903	(32,236)	(4,385,353)	(4,343,686)
Other financing sources, transfer in	-	-	4,385,300	4,385,300
Net change in fund balances	73,903	(32,236)	(53)	41,614
Fund balances, beginning of year	1,509,700	284,876	343,458	2,138,034
Fund balances, end of year	\$ 1,583,603	\$ 252,640	\$ 343,405	\$ 2,179,648

Muscatine Community School District

**Schedule of Combining Balance Sheet
Capital Project Fund - By Account
June 30, 2024**

	Capital Projects Accounts			
	Statewide Sales, Services and Use Tax	Physical Plant and Equipment Levy	Other Capital Projects	Total
Assets				
Cash and pooled investments	\$ 8,844,989	\$ 1,855,307	\$ 9,213,684	\$ 19,913,980
Receivables:				
Property tax:				
Current year	-	19,405	-	19,405
Succeeding year	-	2,669,603	-	2,669,603
Accounts	384	-	-	384
Due from other governments	554,542	225,035	-	779,577
Prepaid items	-	1,000	-	1,000
Total assets	\$ 9,399,915	\$ 4,770,350	\$ 9,213,684	\$ 23,383,949
Liabilities, Deferred Inflows of Resources, and Fund Balances				
Liabilities:				
Accounts payable	\$ 322,055	\$ 353,373	\$ 2,992,777	\$ 3,668,205
Total liabilities	322,055	353,373	2,992,777	3,668,205
Deferred Inflows of Resources:				
Unavailable revenue:				
Succeeding year property tax	-	2,669,603	-	2,669,603
Grants	-	175,338	-	175,338
Total deferred inflows of resources	-	2,844,941	-	2,844,941
Fund Balances:				
Nonspendable	-	1,000	-	1,000
Restricted for:				
Physical plant and equipment	-	1,571,036	-	1,571,036
School infrastructure	9,077,860	-	6,220,907	15,298,767
Total fund balances	9,077,860	1,572,036	6,220,907	16,870,803
Total liabilities and fund balances	\$ 9,399,915	\$ 4,770,350	\$ 9,213,684	\$ 23,383,949

Muscatine Community School District

Combining Schedule of Revenues, Expenditures and Changes in Fund Balances

Capital Project Fund - By Account

Year Ended June 30, 2024

	Capital Projects Accounts			
	Statewide Sales, Services and Use Tax	Physical Plant and Equipment Levy	Other Capital Projects	Total
Revenues:				
Local sources:				
Property tax	\$ -	\$ 2,668,457	\$ -	\$ 2,668,457
Utility excise tax	-	25,448	-	25,448
Other tax	-	5,390	-	5,390
Investment earnings	487,321	146,286	971,701	1,605,308
State sources	6,026,666	50,283	-	6,076,949
Federal sources	-	49,423	-	49,423
Total revenues	6,513,987	2,945,287	971,701	10,430,975
Expenditures:				
Current:				
Instruction	-	4,464	-	4,464
Support services:				
Instructional staff services	-	22,315	-	22,315
Administration services	-	381,998	-	381,998
Operation and maintenance of plant services	42,861	798,459	-	841,320
Transportation services	-	740,832	-	740,832
Capital outlay, facilities acquisition	4,113,730	2,602,560	18,573,439	25,289,729
Total expenditures	4,156,591	4,550,628	18,573,439	27,280,658
Excess (deficiency) of revenues over expenditures	2,357,396	(1,605,341)	(17,601,738)	(16,849,683)
Other financing sources (uses):				
Issuance of lease obligation	-	436,094	-	436,094
Transfer in	-	1,245,209	-	1,245,209
Transfer (out)	(4,122,647)	(262,653)	-	(4,385,300)
Total other financing sources (uses)	(4,122,647)	1,418,650	-	(2,703,997)
Net change in fund balance	(1,765,251)	(186,691)	(17,601,738)	(19,553,680)
Fund balance, beginning of year	10,843,111	1,758,727	23,822,645	36,424,483
Fund balance, end of year	\$ 9,077,860	\$ 1,572,036	\$ 6,220,907	\$ 16,870,803

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Statistical Section

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Muscatine Community School District

Statistical Section Contents

The statistical section of the District's annual comprehensive financial report presents detailed information as a context for understanding what the information presented in the financial statements, note disclosures and required supplementary information say about the District's overall financial health.

Contents	Page
Financial Trends These schedules contain trend information to help the reader understand how the District's financial performance and well-being have changed over time.	68-82
Revenue Capacity These schedules contain trend information to help the reader assess the factors affecting the District's ability to generate its property taxes.	83-88
Debt Capacity These schedules contain trend information to help the reader assess the affordability of the District's current levels of outstanding debt and the District's ability to issue additional debt in the future.	89-94
Demographic and Economic Information These schedules offer demographic and economic indicators to help the reader understand the environment within which the District's financial activities take place and to help make comparisons over time and with other governments.	95-96
Operating Information These schedules contain information about the District's operations and resources to help the reader understand how the District's financial information relates to the services the District provides and the activities it performs.	97-103

Schedule 1
Muscatine Community School District

Net Position by Component
Last Ten Fiscal Years
(accrual basis of accounting)
(Unaudited)

	2015	2016	2017	2018
Governmental activities:				
Net investment in capital assets	\$ 46,923,807	\$ 45,702,866	\$ 44,299,135	\$ 44,706,963
Restricted	4,936,794	8,549,840	10,634,314	12,817,306
Unrestricted	(18,322,531)	(14,563,450)	(21,033,968)	(21,869,993)
Total governmental activities	33,538,070	39,689,256	33,899,481	35,654,276
Business-type activities:				
Net investment in capital assets	205,788	178,122	159,578	293,367
Restricted	-	-	-	-
Unrestricted	(567,952)	(253,978)	(290,166)	(308,552)
Total business-type activities	(362,164)	(75,856)	(130,588)	(15,185)
Total primary government net position	\$ 33,175,906	\$ 39,613,400	\$ 33,768,893	\$ 35,639,091

Source: District financial records

Fiscal Year					
2019	2020	2021	2022	2023	2024
\$ 45,857,273	\$ 56,499,125	\$ 54,644,500	\$ 54,622,845	\$ 59,954,963	\$ 62,992,542
13,744,874	6,271,838	11,260,430	15,606,772	15,349,209	14,560,581
(23,916,653)	(28,250,419)	(29,435,352)	(23,436,284)	(20,100,578)	(17,300,771)
35,685,494	34,520,544	36,469,578	46,793,333	55,203,594	60,252,352
237,703	430,951	396,906	343,995	444,128	2,128,588
-	-	-	-	-	-
(307,079)	(940,477)	(504,321)	498,601	860,802	898,296
(69,376)	(509,526)	(107,415)	842,596	1,304,930	3,026,884
\$ 35,616,118	\$ 34,011,018	\$ 36,362,163	\$ 47,635,929	\$ 56,508,524	\$ 63,279,236

Schedule 2
Muscatine Community School District

Expenses, Program Revenues and Net (Expense) Revenue
Last Ten Fiscal Years
(accrual basis of accounting)
(Unaudited)

	2015	2016	2017	2018
Expenses:				
Governmental activities:				
Instruction	36,976,995	41,338,720	43,347,977	41,772,323
Student services	1,662,045	1,569,091	1,633,616	2,266,884
Instructional staff services	1,559,083	1,100,125	1,095,563	3,035,618
Administration services	6,487,486	6,384,601	7,388,213	6,702,042
Operation and maintenance of plant services	4,630,455	5,113,600	6,741,682	5,597,853
Transportation services	2,172,991	2,016,404	2,130,793	1,711,612
Noninstructional	42,635	39,303	71,289	56,864
Interest on long-term debt	9,731	-	-	-
AEA flowthrough	2,207,805	2,227,592	2,188,667	2,232,030
Depreciation (unallocated)	2,366,966	-	-	-
Total governmental activities	58,116,192	59,789,436	64,597,800	63,375,226
Business-type activities:				
Food service operations	2,704,480	2,471,149	2,520,856	2,592,265
Total business-type activities	2,704,480	2,471,149	2,520,856	2,592,265
Total primary government expenses	60,820,672	62,260,585	67,118,656	65,967,491
Program revenues:				
Governmental activities:				
Charges for services	1,816,146	1,700,056	1,819,678	1,977,538
Operating grants and contributions	12,002,620	11,732,304	11,333,959	11,073,851
Capital grants and contributions	-	-	-	-
Total governmental activities	13,818,766	13,432,360	13,153,637	13,051,389
Business-type activities:				
Charges for services	894,309	940,384	1,010,732	932,166
Operating grants and contributions	1,857,055	1,816,930	1,856,198	1,696,149
Capital grants and contributions	-	-	-	87,159
Total business-type activities	2,751,364	2,757,314	2,866,930	2,715,474
Total primary government revenues	16,570,130	16,189,674	16,020,567	15,766,863
Net (expense) revenues:				
Total governmental activities	(44,297,426)	(46,357,076)	(51,444,163)	(50,323,837)
Total business-type activities	46,884	286,165	346,074	123,209
Total primary government	\$ (44,250,542)	\$ (46,070,911)	\$ (51,098,089)	\$ (50,200,628)

Source: District financial records

Fiscal Year					
2019	2020	2021	2022	2023	2024
43,314,984	44,170,510	41,812,013	36,699,594	40,399,163	40,258,735
2,417,633	2,352,438	2,381,632	2,811,996	3,049,134	3,324,854
2,537,509	2,567,827	2,858,838	2,322,656	2,491,710	2,888,478
6,768,712	6,907,640	6,419,036	5,606,906	6,107,029	6,342,253
5,496,058	6,528,785	6,893,340	6,370,244	7,803,613	10,496,661
2,864,267	2,447,356	2,471,995	2,636,471	2,462,231	3,386,384
53,384	34,468	63,626	39,581	36,674	55,105
-	23,802	14,232	7,523	777,059	934,422
2,223,267	2,234,604	2,245,266	2,247,029	2,234,639	2,225,191
-	-	-	-	-	-
65,675,814	67,267,430	65,159,978	58,742,000	65,361,252	69,912,083
2,731,280	2,758,212	3,043,110	3,133,822	3,445,467	3,830,872
2,731,280	2,758,212	3,043,110	3,133,822	3,445,467	3,830,872
68,407,094	70,025,642	68,203,088	61,875,822	68,806,719	73,742,955
1,926,772	2,469,963	1,035,923	1,326,420	1,803,974	1,719,735
11,278,903	10,888,353	12,701,568	14,299,397	14,454,878	15,153,259
-	-	1,000,000	516,614	2,857,912	-
13,205,675	13,358,316	14,737,491	16,142,431	19,116,764	16,872,994
714,572	479,666	96,197	132,787	623,227	600,961
1,966,766	1,842,749	3,344,758	3,927,797	3,301,443	3,204,522
-	-	-	-	-	1,719,217
2,681,338	2,322,415	3,440,955	4,060,584	3,924,670	5,524,700
15,887,013	15,680,731	18,178,446	20,203,015	23,041,434	22,397,694
(52,470,139)	(53,909,114)	(50,422,487)	(42,599,569)	(46,244,488)	(53,039,089)
(49,942)	(435,797)	397,845	926,762	479,203	1,693,828
\$ (52,520,081)	\$ (54,344,911)	\$ (50,024,642)	\$ (41,672,807)	\$ (45,765,285)	\$ (51,345,261)

Schedule 3
Muscatine Community School District

General Revenues and Total Change in Net Position
Last Ten Fiscal Years
(accrual basis of accounting)
(Unaudited)

	2015	2016	2017	2018
General revenues and other changes in net position:				
Governmental activities:				
Taxes:				
Property taxes levied for:				
General purposes	15,630,757	16,030,349	16,382,742	15,438,227
Capital outlay	1,489,958	1,801,520	1,859,649	2,225,492
Other specific purposes	1,237,006	1,313,487	1,257,231	1,314,313
Income surtax	304,655	288,944	320,449	290,503
Statewide sales and services tax	5,333,846	5,021,639	5,005,378	4,730,465
Revenue in lieu of tax	-	-	741,288	723,801
Unrestricted state grants	27,744,373	28,014,759	27,659,942	27,140,362
Unrestricted Investment earnings	31,848	37,564	55,307	206,705
Other	-	-	-	-
Transfers	-	-	-	8,764
Total governmental activities	51,772,443	52,508,262	53,281,986	52,078,632
Business-type activities:				
Unrestricted Investment earnings	91	143	784	958
Transfers	-	-	-	(8,764)
Total business-type activities	91	143	784	(7,806)
Total primary government	51,772,534	52,508,405	53,282,770	52,070,826
Change in net position:				
Total governmental activities	5,415,367	1,064,099	2,958,149	(391,507)
Total business-type activities	286,256	346,217	123,993	(57,748)
Total primary government	\$ 5,701,623	\$ 1,410,316	\$ 3,082,142	\$ (449,255)

Source: District financial records

Fiscal Year					
2019	2020	2021	2022	2023	2024
15,428,323	14,729,130	14,742,785	15,756,998	15,433,714	15,981,692
2,279,803	2,346,486	2,400,787	2,469,024	2,441,296	2,668,457
1,536,586	1,528,111	1,519,518	1,005,403	991,982	1,685,258
308,137	332,891	308,888	290,413	366,592	393,965
5,077,534	5,081,114	5,238,521	5,762,198	5,529,515	6,026,666
687,877	637,213	632,233	608,190	4,854	398,373
26,768,156	27,313,595	27,480,212	27,008,170	28,196,973	28,170,803
402,920	328,124	49,291	34,186	1,347,009	2,453,229
5,404	441,898	3,029	-	232,583	244,320
6,617	5,602	(3,743)	(21,833)	60,000	65,084
52,501,357	52,744,164	52,371,521	52,912,749	54,604,518	58,087,847
2,368	1,249	523	1,416	43,131	93,210
(6,617)	(5,602)	3,743	21,833	(60,000)	(65,084)
(4,249)	(4,353)	4,266	23,249	(16,869)	28,126
52,497,108	52,739,811	52,375,787	52,935,998	54,587,649	58,115,973
(1,407,757)	2,321,677	9,771,952	52,912,749	54,604,518	5,048,758
(440,046)	393,492	931,028	23,249	(16,869)	1,721,954
\$ (1,847,803)	\$ 2,715,169	\$ 10,702,980	\$ 52,935,998	\$ 54,587,649	\$ 6,770,712

Schedule 4
Muscatine Community School District

Fund Balances, Governmental Funds
Last Ten Fiscal Years
(modified accrual basis of accounting)
(Unaudited)

	2015	2016	2017	2018
General Fund:				
Nonspendable	\$ 73,669	\$ 66,360	\$ -	\$ 15,557
Restricted	1,672,511	1,327,564	1,156,085	685,896
Assigned	-	-	-	36,752
Unassigned	7,703,207	10,452,234	12,466,016	12,965,694
Total General Fund	9,449,387	11,846,158	13,622,101	13,703,899
All other governmental funds:				
Nonspendable	-	-	-	-
Restricted for:				
Management levy	907,227	987,832	968,826	1,060,803
Physical plant and equipment levy	832,202	1,714,864	1,034,046	1,251,599
School infrastructure	785,787	3,856,878	6,761,917	9,198,953
Debt service	-	-	-	-
Student activity purposes	418,918	408,570	409,639	322,837
Instructional programs	53,457	53,495	53,518	53,333
Total all other governmental funds	2,997,591	7,021,639	9,227,946	11,887,525
Total governmental funds	\$ 12,446,978	\$ 18,867,797	\$ 22,850,047	\$ 25,591,424

Source: District financial records

Fiscal Year					
2019	2020	2021	2022	2023	2024
\$ 2,500	\$ -	\$ 1,606	\$ -	\$ -	\$ -
705,960	431,302	520,584	1,022,096	1,033,931	1,055,609
36,301	60,534	76,093	143,324	159,311	159,443
12,020,555	10,644,009	10,294,149	10,773,667	10,212,841	9,974,471
12,765,316	11,135,845	10,892,432	11,939,087	11,406,083	11,189,523
-	-	694,723	-	-	1,000
1,513,601	1,939,713	1,624,403	1,932,710	1,509,700	1,583,603
972,601	1,513,947	2,698,575	1,286,287	1,758,727	1,571,036
10,041,605	1,818,964	5,414,312	10,251,170	34,665,756	15,298,767
-	-	-	-	343,458	343,405
228,747	277,377	311,375	326,158	284,876	252,640
31,588	31,318	-	-	-	-
12,788,142	5,581,319	10,743,388	13,796,325	38,562,517	19,050,451
\$ 25,553,458	\$ 16,717,164	\$ 21,635,820	\$ 25,735,412	\$ 49,968,600	\$ 30,239,974

Schedule 5
Muscatine Community School District

Governmental Funds Revenues
Last Ten Fiscal Years
(modified accrual basis of accounting)
(Unaudited)

	2015	2016	2017	2018
Local sources:				
Local tax	\$ 18,628,986	\$ 19,494,605	\$ 19,791,734	\$ 19,478,972
Tuition	530,347	453,670	632,257	533,893
Other revenues	1,317,747	1,237,625	1,242,727	1,394,914
Total local sources	20,477,080	21,185,900	21,666,718	21,407,779
State sources:				
Statewide sales, services and use tax	5,021,639	5,005,378	4,730,465	5,077,534
State foundation aid and state grants	\$ 37,361,833	\$ 37,788,815	\$ 37,698,636	\$ 36,498,300
Total state sources	42,383,472	42,794,193	42,429,101	41,575,834
Federal sources, federal grants	2,430,675	2,040,564	2,261,820	2,151,907
Total revenues	\$ 65,291,227	\$ 66,020,657	\$ 66,357,639	\$ 65,135,520

Source: District financial records

Fiscal Year					
2019	2020	2021	2022	2023	2024
\$ 19,843,188	\$ 18,924,223	\$ 18,959,719	\$ 19,547,749	\$ 19,438,625	\$ 20,951,569
503,304	622,077	562,040	640,251	808,606	753,122
1,529,784	2,176,011	1,643,106	1,078,897	2,306,495	3,328,211
21,876,276	21,722,311	21,164,865	21,266,897	22,553,726	25,032,902
5,070,647	5,072,669	4,806,557	5,665,028	6,317,866	6,026,666
36,409,590	36,952,814	37,392,218	36,731,914	37,354,199	37,843,445
41,480,237	42,025,483	42,198,775	42,396,942	43,672,065	43,870,111
2,325,347	1,886,347	3,301,861	5,340,726	8,160,418	5,703,652
\$ 65,681,860	\$ 65,634,141	\$ 66,665,501	\$ 69,004,565	\$ 74,386,209	\$ 74,606,665

Schedule 6
Muscatine Community School District

Governmental Funds Expenditures and Debt Service Ratio
Last Ten Fiscal Years
(modified accrual basis of accounting)
(Unaudited)

	2015	2016	2017	2018
Instruction	\$ 37,509,233	\$ 39,758,470	\$ 39,889,517	38,155,452
Student services	1,642,590	1,551,908	1,605,362	2,213,283
Instructional staff services	1,523,383	1,065,752	1,053,761	2,993,896
Administration services	6,456,225	6,339,083	7,172,972	6,437,236
Operation and maintenance of plant	4,928,889	4,889,562	5,172,014	5,259,618
Transportation services	1,912,098	1,765,709	1,966,010	1,545,824
Noninstructional programs	62,880	74,045	80,058	71,401
Capital outlay, facilities acquisition	9,609,011	2,208,369	3,666,962	3,515,809
Long term debt:				
Principal	607,138	-	-	-
Interest	10,829	-	-	-
AEA flowthrough	2,207,805	2,227,592	2,188,667	2,232,030
Total expenditures	\$ 66,470,081	\$ 59,880,490	\$ 62,795,323	\$ 62,424,549
Debt service as a percentage of noncapital expenditures	N/A	0.00%	0.00%	0.00%

Source: District financial records

Fiscal Year					
2019	2020	2021	2022	2023	2024
\$ 39,501,315	\$ 39,639,483	\$ 37,726,518	\$ 37,919,349	\$ 40,228,526	\$ 39,140,769
2,403,268	2,251,659	2,289,440	3,033,934	3,286,156	3,435,127
2,482,642	2,431,121	2,766,544	2,509,883	2,632,911	2,931,298
6,516,189	6,673,957	6,174,406	6,327,461	6,486,586	6,690,269
5,737,353	5,569,627	6,042,770	6,099,963	6,715,290	7,814,182
2,483,398	1,933,584	1,946,085	2,266,944	2,080,094	2,910,795
60,260	46,318	36,740	39,581	36,674	55,105
4,324,155	15,042,686	2,046,244	3,903,891	10,734,859	25,289,729
-	472,118	446,152	566,475	133,520	3,441,045
-	-	25,966	19,591	699,601	944,308
2,223,267	2,234,604	2,245,266	2,247,029	2,234,639	2,225,191
\$ 65,731,847	\$ 76,295,157	\$ 61,746,131	\$ 64,934,101	\$ 75,268,856	\$ 94,877,818
0.00%	0.77%	0.80%	0.97%	1.29%	6.32%

Schedule 7
Muscatine Community School District

Other Financing Sources and Uses and Net Change in Fund Balances
Governmental Funds
Last Ten Fiscal Years
(modified accrual basis of accounting)
(Unaudited)

	2015	2016	2017	2018
Excess (deficiency) of revenues over (under) expenditures	\$ 6,140,167	\$ 3,562,316	\$ 2,710,971	\$ (49,987)
Other financing sources (uses):				
Sale of capital assets	5,504	280,000	419,933	21,642
Issuance of lease	-	-	-	-
Issuance of long-term debt	-	-	-	-
Insurance proceeds	-	-	-	-
Transfers in	617,967	-	-	8,764
Transfers out	(617,967)	-	-	-
Total other financing sources (uses)	5,504	280,000	419,933	30,406
Net change in fund balances	\$ 6,145,671	\$ 3,842,316	\$ 3,130,904	\$ (19,581)

Source: District financial records

Fiscal Year					
2019	2020	2021	2022	2023	2024
\$ (10,661,016)	\$ 4,919,370	\$ 4,070,464	\$ 4,070,464	\$ (882,647)	\$ (20,271,153)
5,404	441,898	3,029	26,738	7,694	41,349
-	1,377,222	-	24,223	-	436,094
-	-	-	-	25,048,141	-
-	-	-	-	-	-
6,617	5,602	526,931	1,039,981	3,875,623	5,700,509
-	-	(530,674)	(1,061,814)	(3,815,623)	(5,635,425)
12,021	1,824,722	(714)	29,128	25,115,835	542,527
\$ (10,648,995)	\$ 6,744,092	\$ 4,069,750	\$ 29,128	\$ 25,115,835	\$ (19,728,626)

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Schedule 8
Muscatine Community School District

Financial Solvency Ratio
Last Ten Fiscal Years
(Unaudited)

School Year	Unassigned/Assigned	Actual Revenues	Financial Solvency Ratio
2014-2015	\$ 7,776,877	\$ 54,585,176	14.25%
2015-2016	10,518,594	54,997,281	19.13%
2016-2017	12,466,016	55,401,110	22.50%
2017-2018	13,004,226	53,843,042	24.15%
2018-2019	12,056,855	53,698,443	22.45%
2019-2020	10,704,543	52,700,748	20.31%
2020-2021	10,370,243	54,176,391	19.14%
2021-2022	10,916,991	56,936,147	19.17%
2022-2023	10,372,152	60,859,974	17.04%
2023-2024	10,133,914	59,601,445	17.00%

Source: District financial records

Note: Actual revenues excludes AEA flowthrough

Schedule 9
Muscatine Community School District

Assessed Value and Actual Value of Taxable Property
Last Ten Fiscal Years
(Unaudited)

Fiscal Year	Actual Value			
	Residential Property	Commercial Property	Industrial Property	Other Property
2015	\$ 678,712,836	\$ 256,168,542	\$ 185,846,854	\$ 105,321,342
2016	698,343,846	263,712,236	177,497,685	104,017,616
2017	720,534,047	246,832,599	187,072,974	141,113,273
2018	743,835,988	263,034,580	186,024,645	141,545,653
2019	741,181,339	276,595,354	198,990,531	146,914,997
2020	766,696,198	287,356,698	204,021,657	150,725,878
2021	772,270,929	290,860,495	204,021,414	138,636,389
2022	811,248,981	298,236,967	208,943,766	139,860,437
2023	809,863,051	299,725,389	211,880,535	140,039,778
2024	938,650,325	319,291,628	230,992,819	109,128,610

Source: Iowa Department of Management and Muscatine County Auditor.

Notes: Property is assessed on a calendar year basis. The assessments finalized as of January 1 of each year and are applied to the second fiscal year following the tax assessment year.

(a) Per \$1,000 of assessed value.

	Less Exemptions	Total Taxable Value - Actual	Total Direct Rate (a)
\$	2,409,452	\$ 1,223,640,122	15.42605
	2,346,484	1,241,224,899	15.80950
	2,248,328	1,293,304,565	15.53914
	2,198,324	1,332,242,542	14.91989
	2,106,264	1,361,575,957	14.82884
	2,005,716	1,406,794,715	13.83172
	1,918,672	1,403,870,555	13.51952
	1,808,058	1,456,482,093	13.52839
	1,737,781	1,459,770,972	13.42230
	1,647,046	1,596,416,336	13.23077

Schedule 10
Muscatine Community School District

Direct and Overlapping Property Tax Rates
Last Ten Fiscal Years
(rate per \$1,000 of assessed value)
(Unaudited)

Fiscal Year Ended 30-Jun	District Direct Rates				Total
	General Purposes	Capital Purposes	Management Fund	Debt Service	
2015	13.14708	1.23000	1.04897	0.00000	15.42605
2016	13.32300	1.43000	1.05650	0.00000	15.80950
2017	13.09847	1.43000	1.01067	0.00000	15.53914
2018	12.21685	1.67000	1.03304	0.00000	14.91989
2019	11.97960	1.67000	1.17924	0.00000	14.82884
2020	11.01102	1.67000	1.15070	0.00000	13.83172
2021	10.73543	1.67000	1.11409	0.00000	13.51952
2022	11.14286	1.67000	0.71553	0.00000	13.52839
2023	11.03837	1.67000	0.71393	0.00000	13.42230
2024	10.45166	1.67000	1.10911	0.00000	13.23077

Source: Iowa Department of Management and Muscatine County Auditor.

Overlapping Rates			
City of Muscatine	Muscatine County	Community College	Other
15.67209	7.70380	0.92782	0.46646
15.67209	7.88491	0.96863	0.51081
15.67209	7.88396	1.00909	0.55054
15.67209	7.57719	1.03000	0.46629
15.67209	7.15000	1.03000	0.49942
15.67209	7.81123	0.99000	0.50555
15.67209	7.64393	0.82406	0.49479
15.67209	7.39481	0.92357	0.47934
15.97054	6.86153	0.94542	0.49604
15.67219	6.49289	0.94840	0.45929

Schedule 11
Muscatine Community School District

Principal Property Tax Payers
Current Year and Nine Years Ago
(Unaudited)

Name of Taxpayer	2024			2015		
	Taxable Value	Rank	Percentage of Total Taxable Value	Taxable Value	Rank	Percentage of Total Taxable Value
SSAB Iowa Inc	\$ 68,404,254	1	4.28%	\$ 72,541,560	1	5.93%
Grain Processing	54,706,280	2	3.43%	39,764,550	2	3.25%
HNI Corporation	50,753,740	3	3.18%	33,598,240	3	2.75%
Wal-View Developments	33,528,666	4	2.10%			
Central Iowa Power				25,508,864	4	2.08%
MCL Land Company LLC	14,462,943	5	0.91%			
Natural Gas Pipeline	13,508,436	6	0.85%	10,271,916	5	0.84%
GRIDCO LLC	10,701,129	7	0.67%			
Wal-Mart Real Estate Business Trust	10,487,298	8	0.66%	10,202,870	6	0.83%
Heinz H J Company LP	10,393,098	9	0.65%	10,033,410	7	0.82%
Menard Inc	10,389,343	10	0.65%	9,704,700	8	0.79%
Interstate Power & Light Co				9,405,927	9	0.77%
Bridgestone Bandag LLC				8,758,360	10	0.72%
Total	<u>\$ 277,335,187</u>		<u>17.37%</u>	<u>\$ 229,790,397</u>		<u>18.78%</u>
Total Taxable Value	<u>\$ 1,596,416,336</u>			<u>\$ 1,223,640,122</u>		

Source: Muscatine County Auditor, State Auditor

Schedule 12
Muscatine Community School District

Property Tax Levies and Collections
Last Ten Fiscal Years
(Unaudited)

Fiscal Year	Taxes Levied for the Fiscal Year		Collected Within the Fiscal Year of the Levy		Collections In Subsequent Years (1)	Total Collections to Date	
			Amount	Percentage of Levy (1)		Amount	Percentage of Levy
2015	\$	18,473,208	\$ 18,311,358	99.12%	\$ 14,607	\$ 18,325,965	99.20%
2016		18,880,738	19,109,115	101.21%	4,605	19,113,720	101.23%
2017		19,387,762	19,465,309	100.40%	2,272	19,467,581	100.41%
2018		19,123,994	19,195,625	100.37%	(1,616)	19,194,009	100.37%
2019		19,440,875	19,499,200	100.30%	12,333	19,511,533	100.36%
2020		18,626,628	18,572,495	99.71%	2,598	18,575,093	99.72%
2021		18,425,815	18,624,465	101.08%	137,451	18,761,916	101.82%
2022		19,129,318	19,183,779	100.28%	3,166	19,186,944	100.30%
2023		19,017,615	19,051,010	100.18%	9,351	19,060,360	100.22%
2024		20,511,206	20,537,022	100.13%	38,609	20,575,631	100.31%

Source: Iowa Department of Management, Muscatine County Auditor and School District financial records.

(1) The County is unable to provide the year to attribute to collections in subsequent years.

Schedule 14
Muscatine Community School District

Outstanding Debt by Type
Last Ten Fiscal Years
(Unaudited)

Fiscal Year	General Obligation Bonds	Revenue Bonds	(1) Leases	IT Subscription Liability	Note Payable	Total Primary Government	Percentage of Personal Income	Per Capita
2015	-	-	\$ -	\$ -	\$ -	\$ -	0.00%	\$ -
2016	-	-	-	-	-	-	-	-
2017	-	-	-	-	-	-	-	-
2018	-	-	-	-	-	-	-	-
2019	-	-	-	-	-	-	-	-
2020	-	-	-	-	905,104	905,104	0	38
2021	-	-	293,667	-	458,952	752,619	0.06%	32
2022	-	-	210,367	11,001	-	210,367	0.02%	9
2023	-	25,000,000	98,457	37,532	-	25,135,989	N/A	1,056
2024	-	21,808,000	306,766	16,272	-	22,131,038	N/A	930

Source: District financial records

N/A = not available.

(1) Notes payable, IT subscription liability and leases are paid from property taxes.

Schedule 14
Muscatine Community School District

Outstanding Debt by Type
Last Ten Fiscal Years
(Unaudited)

Fiscal Year	General Obligation Bonds	Revenue Bonds	(1) Leases	IT Subscription Liability	Note Payable	Total Primary Government	Percentage of Personal Income	Per Capita
2015	-	-	\$ -	\$ -	\$ -	\$ -	0.00%	\$ -
2016	-	-	-	-	-	-	-	-
2017	-	-	-	-	-	-	-	-
2018	-	-	-	-	-	-	-	-
2019	-	-	-	-	-	-	-	-
2020	-	-	-	-	905,104	905,104	0	38
2021	-	-	293,667	-	458,952	752,619	0.06%	32
2022	-	-	210,367	11,001	-	210,367	0.02%	9
2023	-	25,000,000	98,457	37,532	-	25,135,989	N/A	1,056
2024	-	21,808,000	306,766	16,272	-	22,131,038	N/A	930

Source: District financial records

N/A = not available.

(1) Notes payable, IT subscription liability and leases are paid from property taxes.

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Schedule 15
Muscatine Community School District

Direct and Overlapping Governmental Activities Debt
As of June 30, 2024
(Unaudited)

Governmental Unit	Debt Outstanding	Estimated Percentage Applicable*	Estimated Share of Direct and Overlapping Debt
City of Muscatine	\$ 28,414,907	94.56%	\$ 26,869,100
Muscatine County	9,660,000	65.68%	6,344,660
Eastern Iowa Community College (EICC)	25,725,000	9.77%	2,514,321
Subtotal, overlapping debt			<u>35,728,080</u>
District direct debt			<u>22,131,038</u>
Total direct and overlapping debt			<u><u>\$ 57,859,118</u></u>

Source: Muscatine County Auditor.

Notes:

Overlapping governments are those that coincide, at least in part, with the geographic boundaries of the District. This statistical page estimates the portion of the outstanding debt of those overlapping governments that is borne by the residents and businesses of the District. This process recognizes that, when considering the District's ability to issue and repay long-term debt, the entire debt burden borne by the residents and business should be taken into account. However, this does not imply that every taxpayer is a resident, and therefore responsible for repaying the debt, of each overlapping government.

* The percentage of overlapping debt applicable is estimated using taxable property values. Applicable percentages were estimated by determining the portion of another governmental unit's taxable value that is within the District's boundaries and dividing it by each unit's total taxable value. (Calculated by dividing the amount of the value applicable to the District by the total value for that taxing authority; 2022 assessed values are used.)

Schedule 16
Muscatine Community School District

Legal Debt Margin Information
Last Ten Fiscal Years
(Unaudited)

	2015	2016	2017	2018
Legal Debt Margin Calculation				
Assessed value	<u>\$ 1,223,640,122</u>	<u>\$ 1,241,224,899</u>	<u>\$ 1,293,304,565</u>	<u>\$ 1,332,242,542</u>
Debt limit (5% of assessed value)	61,182,006	62,061,245	64,665,228	66,612,127
Debt applicable to limit	<u>-</u>	<u>-</u>	<u>-</u>	<u>-</u>
Legal debt margin	<u>\$ 61,182,006</u>	<u>\$ 62,061,245</u>	<u>\$ 64,665,228</u>	<u>\$ 66,612,127</u>
Total net debt applicable to the limit as a percentage of debt limit	0.00%	0.00%	0.00%	0.00%

Source: Iowa Department of Management, Muscatine County Auditor's Office and School District financial records.

Legal Debt Margin Calculation for Fiscal Year 2024					
Assessed value					<u>\$ 1,611,166,333</u>
Debt limit (5% of assessed value)					\$ 80,558,317
Debt applicable to limit					323,038
Legal debt margin					<u>\$ 80,235,279</u>
2019	2020	2021	2022	2023	2024
<u>\$ 1,361,575,957</u>	<u>\$ 1,406,794,715</u>	<u>\$ 1,419,937,655</u>	<u>\$ 1,470,923,950</u>	<u>\$ 1,473,074,257</u>	<u>\$ 1,611,166,333</u>
68,078,798	70,339,736	70,996,883	73,546,198	73,653,713	80,558,317
-	-	293,667	210,367	135,989	323,038
<u>\$ 68,078,798</u>	<u>\$ 70,339,736</u>	<u>\$ 70,703,216</u>	<u>\$ 73,335,831</u>	<u>\$ 73,517,724</u>	<u>\$ 80,235,279</u>
0.00%	0.00%	0.00%	0.42%	0.29%	0.40%

Schedule 17
Muscatine Community School District

Pledged Revenue Coverage
Last Ten Fiscal Years
(Unaudited)

Fiscal Year	Revenue Bonds				
	Revenue	Debt Service		Coverage	
		Principal	Interest		
2015	\$ 5,067,154	n/a	n/a	n/a	
2016	5,087,694	n/a	n/a	n/a	
2017	5,206,015	n/a	n/a	n/a	
2018	4,633,834	n/a	n/a	n/a	
2019	5,070,647	n/a	n/a	n/a	
2020	5,072,669	n/a	n/a	n/a	
2021	4,806,557	n/a	n/a	n/a	
2022	5,665,028	n/a	n/a	n/a	
2023	6,317,866	n/a	476,079	13.3	
2024	6,026,666	3,192,000	929,500	6.5	

Source: District financial records

Notes: Details regarding the District's outstanding debt can be found in Note 5 of the notes to the financial statements.

These bonds are backed by a one-cent statewide sales, service and use tax.

n/a = not applicable. No non-general obligation debt.

Schedule 18
Muscatine Community School District

Demographic and Economic Statistics
Last Ten Calendar Years
(Unaudited)

Calendar Year	Population (a)	Personal Income (b)	Per Capita Personal Income	Muscatine County Area Unemployment Rate (c) *
2015	23,819	\$ 1,005,233,257	\$ 42,203	4.50%
2016	23,819	1,029,528,637	43,223	3.80%
2017	23,819	1,050,012,997	44,083	3.80%
2018	23,819	1,082,192,446	45,434	3.20%
2019	23,819	1,110,417,961	46,917	2.60%
2020	23,819	1,147,051,583	48,157	2.70%
2021	23,797	1,216,859,595	51,135	5.80%
2022	23,797	1,292,105,709	54,297	3.40%
2023	23,797	N/A	N/A	3.40%
2024	23,797	N/A	N/A	3.60%

Source:

(a) United States Census Bureau. The 2012/2013 population increase reflects the added population from areas annexed into the City in 2012 and 2013. The 2020/2021 population is from the 2020 census.

(b) Bureau of Economic Analysis. Per capita income for the City of Muscatine is not available. amounts shown are for Muscatine County and reflect average per capita income for the calendar years which end midway through the fiscal years shown. Personal income for the City has been estimated using the per capita income for Muscatine County multiplied by the City's population.

(c) Iowa Workforce Development

Notes: N/A = not available.

* Based on a ten-month period, January through October.

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Schedule 19
Muscatine Community School District

Principal Employers
Current Year and Nine Years Ago
(Unaudited)

Employer	2024			2015		
	Approximate Number of Employees (1)	Rank	Percentage of Estimated Total County Employment (2)	Approximate Number of Employees (1)	Rank	Percentage of Estimated Total County Employment (2)
HNI Corporation/The HON Company, Allsteel	3,100	1	16.0%	3,700	1	16.4%
Grain Processing/Kent Feeds	949	2	4.9%	900	2	4.0%
Muscatine Community School District	839	3	4.3%	795	3	3.5%
SSAB	509	4	2.6%			
Hy-Vee Food Store	468	5	2.4%	380	6	1.7%
Bayer U.S. - Crop Science (Formerly Monsanto)	460	6	2.4%	423	5	1.9%
Raymond-Muscatine, Inc. (Previously BT Prime Mover)	450	7	2.3%	305	10	1.4%
Musco Sports Lighting	411	8	2.1%	320	9	1.4%
Kraft-Heinz, U.S.A. (Formerly Heinz, U.S.A.)	382	9	2.0%	378	7	1.7%
UnityPoint Health-Trinity Muscatine (Formerly Trinity Muscatine)	365	10	1.9%	462	4	2.0%
Wal-Mart Superstore	320	11	1.6%	345	8	1.5%
Muscatine Power & Water	260	12	1.3%	290	11	1.3%
Muscatine County	231	13	1.2%	190	15	0.8%
City of Muscatine	227	14	1.2%	221	13	1.0%
SECO Investment Co. (Stanley Engineering Co.)	189	15	1.0%	260	12	1.2%
Bridgestone Bandag LLC (Formerly Bandag, Inc.)				200	14	0.9%
Total	9,160		47.2%	9,169		40.62%

1. Muscatine Chamber of Commerce & Industry provided the 2024 employment figures. The 2015 figures were from City of Muscatine historical records and may be on a basis which differs from the data provided by the Muscatine Chamber of Commerce & Industry.
2. Iowa Workforce Development. Employment data for the City of Muscatine is not available. Employers listed are the largest in the immediate area of the City of Muscatine. Percentages shown are based on total employment in Muscatine County. The average monthly employment in Muscatine County was 19,405 in 2024 and 22,575 in 2015.

Schedule 20
Muscatine Community School District

Full-Time Equivalent District Employees By Type
Last Ten Fiscal Years
(Unaudited)

	2015	2016	2017	2018
<u>Supervisory:</u>				
Superintendent	n/a	1.0	1.0	1.0
Assistant Superintendent	n/a	1.0	1.0	1.0
Principals	n/a	12.0	11.0	10.0
Assistant Principals	n/a	6.0	7.0	6.0
Directors	n/a	4.0	4.0	4.0
All Other Administrators/Supervisors	n/a	6.0	6.0	6.0
Total Supervisory	-	30.0	30.0	28.0
<u>Instruction:</u>				
Regular Program Teachers	n/a	340.0	333.2	319.1
Special Education Teachers	n/a	60.0	73.2	68.5
Instructional Coaches/PD Leads	n/a	15.0	13.5	19.0
Total Instruction	-	415.0	419.9	406.6
<u>Student services:</u>				
Guidance Counselors	n/a	12.0	10.0	11.5
Media Specialists/Librarians	n/a	5.0	3.7	4.0
Nurses	n/a	8.0	6.5	7.0
Other Student Support	n/a	4.0	6.0	3.0
Total Student Services	-	29.0	26.1	25.5
<u>Support and administration:</u>				
Office/Classified Professionals	n/a	17.0	19.0	21.0
Secretary/Clerical/Associates/ Paraprofessional	n/a	139.9	146.8	144.6
Custodial	n/a	37.9	31.3	33.9
Maintenance/Mechanics	n/a	10.0	11.0	11.0
Transportation	n/a	15.0	14.0	13.0
Food Service Workers	n/a	37.7	37.3	35.5
Food Service Support	n/a	4.0	4.0	4.0
All Other Support	n/a	1.0	1.0	1.0
Total Support and Administration	-	262.5	264.5	263.9
Total	-	736.5	740.5	724.0

Source: District financial records

Note: Information prior to 2016 is not available (n/a)

						Percentage Change 2015 - 2024
2019	2020	2021	2022	2023	2024	
1.0	1.0	1.0	1.0	1.0	1.0	0.00%
1.0	1.0	-	-	-	-	-100.00%
10.0	12.0	10.0	9.0	9.0	9.0	-18.18%
6.0	5.0	4.0	6.0	6.0	5.0	-28.57%
5.0	5.0	7.0	8.0	8.0	8.0	100.00%
6.0	6.0	6.0	4.0	4.0	4.0	-33.33%
29.0	30.0	28.0	28.0	28.0	27.0	-10.00%
305.3	306.8	298.8	276.0	276.3	279.4	-16.16%
61.5	67.7	60.2	62.0	60.4	59.8	-18.25%
20.0	14.8	13.0	16.0	19.0	22.0	62.96%
386.8	389.2	372.0	354.0	355.7	361.2	-13.98%
16.5	13.5	15.0	14.3	13.3	14.5	45.00%
5.0	4.0	4.0	5.0	5.0	5.0	36.61%
7.0	7.0	7.0	7.0	7.0	7.0	8.53%
4.0	4.0	4.0	10.0	10.0	5.0	-16.67%
32.5	28.5	30.0	36.3	35.3	31.5	20.64%
17.0	17.0	15.0	14.0	15.0	16.5	-13.16%
152.2	163.1	142.5	143.3	156.6	174.0	18.54%
33.1	32.7	34.0	34.0	39.9	36.4	16.08%
10.0	13.0	12.0	13.0	12.0	12.5	13.64%
13.0	12.3	12.5	12.5	13.0	13.0	-7.14%
35.0	41.2	36.9	39.4	38.2	44.0	17.73%
4.0	4.0	4.0	5.0	5.0	5.0	25.00%
3.0	3.0	3.0	3.0	3.0	3.0	200.00%
267.3	286.2	259.9	264.2	282.7	304.3	15.08%
715.6	733.9	689.9	682.4	701.6	724.0	-2.22%

Schedule 21
Muscatine Community School District

Operating Statistics
Last Ten Fiscal Years
(Unaudited)

Fiscal Year	Certified Enrollment	(1) Operating Expenditures	Cost Per Pupil	Percentage Change	Governmental Expenditures
2015	5,344.4	\$ 53,627,898	\$ 10,034	1.37%	\$ 66,470,081
2016	5,328.4	54,828,103	10,290	2.55%	59,880,490
2017	5,170.0	55,813,833	10,796	4.92%	62,795,322
2018	5,084.2	55,993,274	11,013	2.01%	62,424,549
2019	4,935.8	56,860,292	11,520	4.60%	65,731,847
2020	4,894.0	56,564,823	11,558	0.33%	76,295,157
2021	4,811.8	59,227,769	12,309	6.50%	61,746,131
2022	4,690.0	60,444,144	12,888	4.70%	64,934,101
2023	4,604.5	63,894,401	13,220	2.57%	75,268,856
2024	4,574.8	64,982,927	14,205	7.45%	94,877,818

Source: Nonfinancial information from District records. District financial records.

(1) Operating expenditures are total governmental expenditures less debt service and capital outlay.

Cost Per Pupil		Percentage Change	Teaching Staff	Pupil-Teacher Ratio	Percentage of Students Receiving Free or Reduced Price Meals
\$	12,437	8.20%	413	7.73%	53.64% FY15
	11,238	-9.64%	440	8.26%	53.35% FY16
	12,146	8.08%	440	8.51%	52.52% FY17
	12,278	1.09%	429	8.44%	53.05% FY18
	13,317	8.46%	415	8.41%	55.01% FY19
	15,589	17.06%	414	8.45%	53.24% FY20
	12,832	-17.69%	398	8.27%	50.18% FY21
	13,845	7.90%	383	8.17%	52.20% FY22
	16,347	18.07%	381	8.27%	55.52% FY23
	20,739	26.87%	381	8.33%	55.90% FY24

Schedule 22
Muscatine Community School District

School Building Information
Last Ten Fiscal Years
(Unaudited)

School	2015	2016	2017	2018
Muskie ELC (1962)				
Square feet, 1962, 78, 01	29,438	29,438	29,438	29,438
Capacity*	260	260	260	260
Enrollment	283	261	262	244
Franklin Elementary (1954)				
Square feet, 1954, 12	35,557	35,557	35,557	35,557
Capacity*	300	300	300	300
Enrollment	309	293	298	295
Grant Elementary (1954)				
Square feet, 1954, 71, 01, 09	37,233	37,233	37,233	37,233
Capacity*	300	300	300	300
Enrollment	318	341	368	362
Jefferson Elementary (1928) (2015)				
Square feet, 2015	66,000	66,000	66,000	66,000
Capacity*	450	450	450	450
Enrollment	344	362	440	447
Madison Elementary (1954)				
Square feet, 1954, 65, 69, 02, 08-09, 11	43,229	43,229	43,229	43,229
Capacity*	450	450	450	450
Enrollment	308	290	293	257
McKinley Elementary (1960)				
Square feet, 1960, 65, 67, 00, 08, 19	50,832	50,832	50,832	50,832
Capacity*	n/a	n/a	n/a	n/a
Enrollment	325	320	413	424
Mulberry Elementary (1961)				
Square feet, 1965, 77, 00, 10	38,300	38,300	38,300	38,300
Capacity*	300	300	300	300
Enrollment	297	290	304	250
Washington Elementary				
Square feet	48,870	48,870	CLOSED	CLOSED
Capacity*	n/a	n/a		
Enrollment	322	277		
Central Middle School (1938)				
Square feet, 1938, 91, 07	132,223	132,223	132,223	132,223
Capacity*	n/a	n/a	n/a	n/a
Enrollment	584	556	563	574
Susan Clark JH (West MS) (1960)				
Square feet, 1960, 66, 71, 88, 06	109,873	109,873	109,873	109,873
Capacity*	770	770	770	770
Enrollment	623	622	582	547
Muscatine High School (1973)				
Square feet, 1973, 82, 96, 04, 13, 19	325,969	325,969	325,969	325,969
Capacity*	1,750	1,750	1,750	1,750
Enrollment	1,557	1,453	1,459	1,495

Source: District records.

Notes: * Capacity calculation is number of possible classrooms times maximum of 25 students each
 * Elementary Buildings were PK-5 or K-5 through 2017; K-6 beginning in 2018
 * Muskie ELC was Colorado Elementary through 2017; Preschool/PK beginning in 2018
 * Two Middle Schools were 6-8 through 2019; 7-8 in 2020

Fiscal Year					
2019	2020	2021	2022	2023	2024
29,438	29,438	29,438	29,438	29,438	29,438
260	260	260	260	260	260
229	217	212	244	190	171
35,557	35,557	35,557	35,557	35,557	35,557
300	300	300	300	300	300
309	317	260	239	265	290
37,233	37,233	37,233	37,233	37,233	39,539
300	300	300	300	300	300
324	363	326	326	299	305
66,000	66,000	66,000	66,000	66,000	66,000
450	450	450	450	450	450
478	497	455	447	434	424
43,229	43,229	43,229	43,229	43,229	44,990
450	450	450	450	450	450
250	462	428	427	425	390
61,300	61,300	61,300	61,300	61,300	61,300
450	450	450	450	450	450
415	471	470	484	448	431
38,300	38,300	38,300	38,300	38,300	38,300
300	300	300	300	300	300
254	299	292	266	259	282
CLOSED	CLOSED	CLOSED	CLOSED	CLOSED	CLOSED
132,223	132,223	CLOSED	CLOSED	CLOSED	CLOSED
n/a	n/a				
602	390				
109,873	109,873	109,873	109,873	109,873	111,566
770	770	770	770	770	770
520	364	740	742	662	600
325,969	359,969	359,969	359,969	359,969	359,969
1,750	1,750	1,750	1,750	1,750	1,750
1,476	1,456	1,491	1,485	1,537	1,463

Schedule 23
Muscatine Community School District

Certified Staff Salaries
Last Ten Fiscal Years
(Unaudited)

School Year	Minimum	Maximum	Average
2014-2015	\$ 36,393	\$ 73,677	\$ 51,211
2015-2016	36,876	75,096	52,480
2016-2017	36,981	75,418	52,800
2017-2018	37,297	75,990	52,708
2018-2019	37,307	76,003	54,020
2019-2020	37,300	75,993	54,207
2020-2021	38,036	77,400	55,713
2021-2022	38,549	78,350	56,767
2022-2023	40,549	80,350	58,213
2023-2024	44,023	87,530	59,050

Source: District personnel records.

Note: n/a = not available

Compliance

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Muscatine Community School District

**Schedule of Expenditures of Federal Awards
Year Ended June 30, 2024**

Federal Grantor/Pass-Through Grantor/ Program Title or Cluster Title	Federal Assistance Listing Number	Pass-Through Entity Identifying Number	Provided to Subrecipients	Total Federal Expenditures
Indirect:				
U.S. Department of Agriculture:				
Pass-Through Iowa Department of Education:				
<i>Child Nutrition Cluster Program:</i>				
School Breakfast Program	10.553	FY24 4552	\$ -	\$ 651,347
National School Lunch Program	10.555	FY24 4553	-	1,563,449
National School Lunch Program- Supply Chain Assistance	10.555	FY24 4014	-	106,587
Commodities -DOD (Noncash)	10.555	FY24	-	98,091
Commodities (Noncash)	10.555	FY24	-	122,553
			-	1,890,680
Summer Food Service Program for Children	10.559	FY24 4556	-	503,947
Fresh Fruit and Vegetable Program	10.582	FY24 4557	-	136,875
Total Child Nutrition Cluster, U.S. Department of Agriculture			-	3,182,849
U.S. Department of Treasury:				
Pass-Through Iowa Department of Homeland Security and Emergency Management:				
Coronavirus State and Local Fiscal Recovery Funds- School Safety Improvement Grant	21.027	SLRF-2022- HSEMD-139	-	224,761
U.S. Department of Education:				
Pass-Through Iowa Department of Education:				
Title I Grants to Local Educational Agencies	84.010	FY24 4501	-	1,267,952
<i>Special Education IDEA Cluster,</i>				
Special Education - Grants to States (IDEA, Part B)	84.027	FY24 4525	-	72,104 (1)
Career and Technical Education- Basic Grants to States	84.048	FY24 4531	-	59,495
Supporting Effective Instruction State Grants	84.367	FY24 4643	-	164,888
Stronger Connections Grant Program	84.424F	FY24 4668	-	108,844
Student Support and Academic Enrichment	84.424	FY24 4669	-	80,594
Education Stabilization Fund:				
COVID-19 Elementary and Secondary School Emergency Relief (ESSER II) Fund	84.425D	FY24 4055	-	64,400
COVID-19 ARP- Elementary and Secondary School Emergency Relief (ARP-ESSER) Fund	84.425U	FY24 4043	-	373,903
COVID-19 ARP- Elementary and Secondary School Emergency Relief (ARP-ESSER) Fund	84.425U	FY24 4045	-	2,879,815
COVID-19 ARP- Elementary and Secondary School Emergency Relief (ARP-ESSER) Fund	84.425U	FY24 4076	-	10,212
			-	3,263,930
COVID-19 ARP-Elementary and Secondary School Emergency Relief (ARP-HCY-II) Fund	84.425W	FY24 4044	-	17,310
Total Education Stabilization Fund			-	3,345,640
Pass-Through Mississippi Bend Area Education Agency:				
<i>Special Education IDEA Cluster,</i>				
Special Education - Grants to States (IDEA, Part B)	84.027	FY24 4521-4720	-	226,131 (1)
Title III English Language Acquisition State Grants	84.365	FY24 4644-4720	-	1,375
			-	227,506
Pass-Through State of Iowa Vocational Rehabilitation:				
Vocational Rehabilitation Grants to States	84.126	FY24 4598	-	70,935
Total U.S. Department of Education			-	5,397,958
Total Expenditures of Federal Awards			\$ -	\$ 8,805,568

(1) Total federal assistance listing number Special Education Cluster, 84.027 \$298,235.

See notes to schedule of expenditures of federal awards.

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Muscatine Community School District

Notes to Schedule of Expenditures of Federal Awards Year Ended June 30, 2024

Note 1. Basis of Presentation

The accompanying schedule of expenditures of federal awards (the "schedule") includes the federal grant activity of Muscatine Community School District under programs of the federal government for the year ended June 30, 2024. The information in this schedule is presented in accordance with the requirements of Title 2 U.S. *Code of Federal Regulations* Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance). Because the schedule presents only a selected portion of the operations of the District, it is not intended to and does not present the financial position, changes in net position or cash flows of the District.

Note 2. Significant Accounting Policies

Expenditures reported on the schedule of expenditures of federal awards are reported on the modified accrual or accrual basis of accounting based on the fund type of the program. Such expenditures are recognized following the cost principles contained in the Uniform Guidance, wherein certain types of expenditures are not allowable or are limited as to reimbursement. Therefore, some amounts presented in this schedule may differ from amounts presented in, or used in the preparation of the basic financial statements. Revenue from federal awards is recognized when the District has done everything necessary to establish its right to revenue. For governmental funds, revenue from federal awards is recognized when its both measurable and available. Expenditures of federal awards are recognized in the accounting period when the liability is incurred.

Note 3. Indirect Cost Rate

The District has elected not to use the 10-percent de minimis indirect cost rate allowed under the Uniform Guidance.

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Muscatine Community School District
2900 Mulberry Ave
Muscatine, Iowa 52761

Phone:
(563) 263-7223

Muscatine Community School District

**Summary Schedule of Prior Audit Findings
Year Ended June 30, 2024**

		Reason for Recurrence and Corrective Action Plan or Other Explanation
Findings	Status	

Other Findings Related to Required Statutory Reporting:

IV-H-23	There were variances in certified	Not corrected.	Student data changes are not
IV-H-22	enrollment.		timely communicated. See IV-H-24.

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**Independent Auditor's Report on Internal Control Over
Financial Reporting and on Compliance and Other Matters
Based on an Audit of Financial Statements Performed in
Accordance With Government Auditing Standards**

To the Board of Education
Muscatine Community School District
Muscatine, Iowa

We have audited, in accordance with the auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards* issued by the Comptroller General of the United States (*Government Auditing Standards*), the financial statements of the governmental activities, the business-type activities, each major fund and the aggregate remaining fund information of Muscatine Community School District (the District) as of and for the year ended June 30, 2024, and the related notes to the financial statements, which collectively comprise the District's basic financial statements and have issued our report thereon dated November 8, 2024.

Report on Internal Control Over Financial Reporting

In planning and performing our audit of the financial statements, we considered the District's internal control over financial reporting (internal control) as a basis for designing audit procedures that are appropriate in the circumstances for the purpose of expressing our opinions on the financial statements, but not for the purpose of expressing an opinion on the effectiveness of the District's internal control. Accordingly, we do not express an opinion on the effectiveness of Muscatine Community School District's internal control.

A deficiency in internal control exists when the design or operation of a control does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct misstatements on a timely basis. A material weakness is a deficiency, or a combination of deficiencies, in internal control such that there is a reasonable possibility that a material misstatement of the District's financial statements will not be prevented, or detected and corrected on a timely basis. A significant deficiency is a deficiency, or a combination of deficiencies, in internal control that is less severe than a material weakness, yet important enough to merit attention by those charged with governance.

Our consideration of internal control was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control that might be material weaknesses or significant deficiencies. Given these limitations, during our audit we did not identify any deficiencies in internal control that we consider to be material weaknesses. However, material weaknesses or significant deficiencies may exist that have not been identified.

Report on Compliance and Other Matters

As part of obtaining reasonable assurance about whether the District's financial statements are free from material misstatement, we performed tests of its compliance with certain provisions of laws, regulations, contracts and grant agreements, noncompliance with which could have a direct and material effect on the financial statements. However, providing an opinion on compliance with those provisions was not an objective of our audit and, accordingly, we do not express such an opinion. The results of our tests disclosed no instances of noncompliance or other matters that are required to be reported under *Government Auditing Standards*. However, we noted certain immaterial instances of non-compliance or other matters which are described in Part IV of the accompanying Schedule of Findings and Questioned Costs.

Comments involving statutory and other legal matters about the District's operations for the year ended June 30, 2024 are based exclusively on knowledge obtained from procedures performed during our audit of the financial statements of the District. Since our audit was based on tests and samples, not all transactions that might have had an impact on the comments were necessarily audited. The comments involving statutory and other legal matters are not intended to constitute legal interpretations of those statutes.

Purpose of This Report

The purpose of this report is solely to describe the scope of our testing of internal control and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the District's internal control or on compliance. This report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the District's internal control and compliance. Accordingly, this communication is not suitable for any other purpose.

Bohnsack & Frommelt LLP

Moline, Illinois
November 8, 2024



**Independent Auditor's Report on Compliance For Each
Major Federal Program and Report on Internal Control
Over Compliance Required by the Uniform Guidance**

To the Board of Education
Muscatine Community School District
Muscatine, Iowa

Report on Compliance for Each Major Federal Program

Opinion on Each Major Federal Program

We have audited Muscatine Community School District's (the District) compliance with the types of compliance requirements identified as subject to audit in the *OMB Compliance Supplement* that could have a direct and material effect on each of the District's major federal programs for the year ended June 30, 2024. The District's major federal programs are identified in the summary of auditor's results section of the accompanying Schedule of Findings and Questioned Costs.

In our opinion, Muscatine Community School District complied, in all material respects, with the compliance requirements referred to above that could have a direct and material effect on each of its major federal programs for the year ended June 30, 2024.

Basis for Opinion on Each Major Federal Program

We conducted our audit of compliance in accordance with auditing standards generally accepted in the United States of America (GAAS); the standards applicable to financial audits contained in *Government Auditing Standards* issued by the Comptroller General of the United States (*Government Auditing Standards*); and the audit requirements of Title 2 U.S. *Code of Federal Regulations* Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance). Our responsibilities under those standards and the Uniform Guidance are further described in the Auditor's Responsibilities for the Audit of Compliance section of our report.

We are required to be independent of the District and to meet our other ethical responsibilities in accordance with relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion on compliance for each major federal program. Our audit does not provide a legal determination of the District's compliance with the compliance requirements referred to above.

Responsibilities of Management for Compliance

Management is responsible for compliance with the requirements referred to above and for the design, implementation, and maintenance of effective internal control over compliance with the requirements of laws, statutes, regulations, rules and provisions of contracts or grant agreements applicable to the District's federal programs.

Auditor's Responsibilities for the Audit of Compliance

Our objectives are to obtain reasonable assurance about whether material noncompliance with the compliance requirements referred to above occurred, whether due to fraud or error, and express an opinion on the District's compliance based on our audit. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS, *Government Auditing Standards*, and the Uniform Guidance will always detect material noncompliance when it exists. The risk of not detecting material noncompliance resulting from fraud is higher than for that resulting from error; as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Noncompliance with the compliance requirements referred to above is considered material, if there is a substantial likelihood that, individually or in the aggregate, it would influence the judgment made by a reasonable user of the report on compliance about the District's compliance with the requirements of each major federal program as a whole.

In performing an audit in accordance with GAAS, *Government Auditing Standards*, and the Uniform Guidance, we

- exercise professional judgment and maintain professional skepticism throughout the audit,
- identify and assess the risks of material noncompliance, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the District's compliance with the compliance requirements referred to above and performing such other procedures as we considered necessary in the circumstances.
- obtain an understanding of the District's internal control over compliance relevant to the audit in order to design audit procedures that are appropriate in the circumstances and to test and report on internal control over compliance in accordance with the Uniform Guidance, but not for the purpose of expressing an opinion on the effectiveness of the District's internal control over compliance. Accordingly, no such opinion is expressed.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and any significant deficiencies and material weaknesses in internal control over compliance that we identified during the audit.

Report on Internal Control Over Compliance

A deficiency in internal control over compliance exists when the design or operation of a control over compliance does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, noncompliance with a type of compliance requirement of a federal program on a timely basis. *A material weakness in internal control over compliance* is a deficiency, or a combination of deficiencies, in internal control over compliance, such that there is a reasonable possibility that material noncompliance with a type of compliance requirement of a federal program will not be prevented, or detected and corrected, on a timely basis. *A significant deficiency in internal control over compliance* is a deficiency, or a combination of deficiencies, in internal control over compliance with a type of compliance requirement of a federal program that is less severe than a material weakness in internal control over compliance, yet important enough to merit attention by those charged with governance.

Our consideration of internal control over compliance was for the limited purpose described in the Auditor's Responsibilities for the Audit of Compliance section above and was not designed to identify all deficiencies in internal control over compliance that might be material weaknesses or significant deficiencies in internal control over compliance. Given these limitations, during our audit we did not identify any deficiencies in internal control over compliance that we consider to be material weaknesses, as defined above. However, material weaknesses or significant deficiencies in internal control over compliance may exist that were not identified.

Our audit was not designed for the purpose of expressing an opinion on the effectiveness of internal control over compliance. Accordingly, no such opinion is expressed.

The purpose of this report on internal control over compliance is solely to describe the scope of our testing of internal control over compliance and the results of that testing based on the requirements of the Uniform Guidance. Accordingly, this report is not suitable for any other purpose.

Bohnsack & Frommelt LLP

Moline, Illinois
November 8, 2024

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Muscatine Community School District

**Schedule of Findings and Questioned Costs
Year Ended June 30, 2024**

I. Summary of the Independent Auditor's Results

Financial Statements

Type of auditor's report issued:

Unmodified

Internal control over financial reporting:

• Material weakness(es) identified?

☐

Yes

☒

No

• Significant deficiency identified?

☐

Yes

☒

None Reported

• Noncompliance material to financial statements noted?

☐

Yes

☒

No

Federal Awards

Internal control over major programs:

• Material weakness(es) identified?

☐

Yes

☒

No

• Significant deficiency identified?

☐

Yes

☒

None Reported

Type of auditor's report issued on compliance for major programs:

Unmodified

• Any audit findings disclosed that are required to be reported
in accordance with 2 CFR 200.516(a)?

☐

Yes

☒

No

Identification of major programs:

Federal Assistance

Listing Number	Name of Federal Program or Cluster
84.010	Title I Grants to Local Educational Agencies
Education Stabilization Fund:	
84.425D	COVID-19 Elementary and Secondary School Emergency Relief (ESSER II) Fund
84.425U	COVID-19 ARP- Elementary and Secondary School Emergency Relief (ARP-ESSER) Fund
84.425W	COVID-19 ARP-Elementary and Secondary School Emergency Relief (ARP-HCY-II) Fund

Dollar threshold used to distinguish between type A and type B programs: \$750,000

Auditee qualified as low-risk auditee?

☒

Yes

☐

No

(Continued)

Muscatine Community School District

**Schedule of Findings and Questioned Costs
Year Ended June 30, 2024**

Part II: Findings Related to the Basic Financial Statements

Instances of noncompliance:

No matters were reported.

Internal control deficiencies:

No matters were reported.

Part III: Findings and Questioned Costs for Federal Awards

Instances of noncompliance:

No matters were reported.

Internal control deficiencies:

No matters were reported.

Part IV: Other Findings Related to Statutory Reporting

IV-A-24

Certified Budget –

Finding: Expenditures for the year ended June 30, 2024, exceeded the amended certified budget for the support services function.

Recommendation: The certified budget should be amended in accordance with Chapter 24.9 of the Code of Iowa before expenditures are allowed to exceed the budget.

Response and corrective action plan: The District will amend the budget, allowing a higher threshold for estimated expenditures, to comply with the certified budget requirements.

Conclusion: Response accepted.

IV-B-24

Questionable Expenditures – No expenditures were noted that we believe may not meet the requirements of public purpose as defined in an Attorney General's opinion dated April 25, 1979.

IV-C-24

Travel Expense – No expenditures of District money for travel expenses of spouses of District officials or employees were noted. No travel advances to District officials or employees were noted.

(Continued)

Muscatine Community School District

Schedule of Findings and Questioned Costs Year Ended June 30, 2024

IV-D-24

Business Transactions – No business transactions between the District and District officials or employees were noted except for the following:

Name	Position	Vendor	Relationship	Amount
Brian Mathis	Teacher	Surface Cure	Owner	\$ 14,953

In accordance with the Attorney General's opinion dated November 9, 1976, the transactions do not appear to represent a conflict of interest.

IV-E-24

Restricted Donor Activity- No transactions were noted between the District, District officials or District employees and restricted donors in compliance with Chapter 68B of the Code of Iowa.

IV-F-24

Bond Coverage – Surety bond coverage of District officials and employees is in accordance with statutory provisions. The amount of coverage should be reviewed annually to insure that the coverage is adequate for current operations.

IV-G-24

Board Minutes – No transactions requiring Board approval which had not been approved by the Board were noted.

IV-H-24

Certified Enrollment-

Finding: There were variances to the October 2023 certified enrollment submitted to the Iowa Department of Education.

Recommendation: We recommend the District review and verify enrollment data before the October 1st process.

Response and Corrective Action Plan: The District will review enrollment data prior to submission to ensure accuracy of the information certified to the Department of Education.

Conclusion: Response accepted.

IV-I-24

Supplementary Weighting –

Finding: There were variances to the October 2023 supplementary weighting data submitted to the Iowa Department of Education.

Recommendation: We recommend the District review supplementary weighting data prior to the October 1st process.

Response and Corrective Action Plan: The District will review supplementary weighting data prior to submission to ensure accuracy of the information certified to the Department of Education.

Conclusion: Response accepted.
(Continued)

Muscatine Community School District

Schedule of Findings and Questioned Costs Year Ended June 30, 2024

IV-J-24

Deposits and Investments – No instances of noncompliance with the deposit and investment provisions of Chapter 12B and Chapter 12C of the Code of Iowa and the District's investment policy were noted.

IV-K-24

Certified Annual Report – The Certified Annual Report was certified to the Iowa Department of Education timely.

IV-L-24

Categorical Funding – No instances were noted of categorical funding being used to supplant rather than supplement other funds.

IV-M-24

Statewide Sales and Services Tax – No instances of noncompliance with the use of the statewide sales and services tax revenue provisions of Chapter 423F.3 of the Code of Iowa were noted.

Pursuant to Chapter 423F.5 of the Code of Iowa, the annual audit is required to include certain reporting elements related to the statewide sales and services tax revenue. Districts are required to include these reporting elements in the Certified Annual Report (CAR) submitted to the Iowa Department of Education. For the year ended June 30, 2024, the District reported the following information regarding the statewide sales and services tax revenue in the District's CAR:

Beginning balance	\$ 10,843,111
Revenue / transfers in:	
Statewide sales and services tax revenue	6,026,666
Interest and other	487,321
Expenditures/transfers out:	
Transfer out	4,122,647
Operation and maintenance of plant services	42,861
School infrastructure:	
Buildings	4,113,730
Ending balance	<u>\$ 9,077,860</u>

For the year ended June 30, 2024, the District reduced the tax levy as a result of the moneys received under Chapter 423E or 423F of the Code of Iowa as follows:

	Per \$1,000 of Taxable Valuation	Property Tax Dollars
Debt service levy	\$ 3.74	\$ 6,026,666



Muscatine Community School District
2900 Mulberry Ave
Muscatine, Iowa 52761

Phone:
(563) 263-7223

Muscatine Community School District

**Corrective Action Plan
Year Ended June 30, 2024**

Current Number	Comment	Corrective Action Plan	Anticipated Date of Completion	Contact Person
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Other Findings Related to Required Statutory Reporting:

IV-A-24	Expenditures for the year ended June 30, 2024 exceeded the amended certified budget for the support services function.	See response and corrective action plan at IV-A-24	Fiscal Year 2025	Tom Anderson
IV-H-24	There were variances in certified enrollment.	See response and corrective action plan at IV-H-24	Fiscal Year 2025	Scott Comstock
IV-I-24	There were variances in supplementary weighting data.	See response and corrective action plan at IV-I-24	Fiscal Year 2025	Scott Comstock